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Canada

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OECD ECONOMIC SURVEYS

2000-2001

Canada

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BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km)	9 976
Agricultural area (1991, per cent of total area)	6.8
Population of major cities (thousands, 1999):	
Montreal	3 447
Toronto	4 666

THE PEOPLE

Population (2000)	30 714 701
Number of inhabitants per sq. km	3.1
Population, annual net natural increase (average 1996-2000)	123 681
Natural increase rate per 1 000 inhabitants (average 1996-2000)	4.1
Labour force (2000)	16 002 292
Employment in agriculture	373 000
Immigration (annual average 1996-2000)	206 455
Average annual increase in labour force (1996-2000, per cent)	1.6

THE PRODUCTION

GDP (million of Canadian dollars, 2000)	1 038 794
GDP per capita (Canadian dollars)	33 821
Gross fixed investment per capita (Canadian dollars)	6 519
Gross fixed investment (per cent of GDP)	19.3
Origin of gross domestic product (2000, per cent of total, 1992 prices):	
Agriculture, forestry and fishing	2.3
Mining and quarrying	3.5
Manufacturing	18.2
Construction	5.4
Non business sector	16.4
Other	56.6

THE GOVERNMENT

Government current expenditure on goods and services (2000, per cent of GDP)	18.4
Government gross fixed capital formation (2000, per cent of GDP)	2.2
Federal government current revenue (2000, per cent of GDP)	18.8
Federal direct and guaranteed debt (2000, per cent of current expenditure)	246.7

Composition of Parliament (May 2001):	Number of seats: House of Commons	Number of seats: Senate
Progressive conservative	12	32
Liberal	172	58
New Democratic	13	. .
Bloc Québécois	38	. .
Independent	. .	5
Canadian Alliance	66	1

THE FOREIGN TRADE

Exports (2000)	
Exports of goods and services (per cent of GDP)	45.8
Main merchandise exports (per cent of total):	
Wheat	0.9
Natural gas	4.8
Lumber and sawmill products	4.4
Pulp and paper	5.5
Other metals and minerals	7.3
Motor vehicles and parts	23.1
Other manufactured goods	31.6
Main customers (per cent of commodity exports):	
United States	86.1
European Union	5.0
Japan	2.4

Imports (2000)	
Imports of goods and services (per cent of GDP)	41.1
Main merchandise imports (per cent of total):	
Industrial materials	18.6
Motor vehicles and parts	21.3
Producers' equipment	33.8
Consumer goods	11.0
Main suppliers (per cent of commodity imports):	
United States	73.7
European Union	9.2
Japan	3.2

THE CURRENCY

Monetary unit: Canadian dollar	
Currency units per US$	
Year 2000	1.485

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Canada by the Economic and Development Review Committee on 28 June 2001.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 20 July 2001.

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The previous Survey of Canada was issued in August 2000.

Assessment and recommendations

Following strong performance in the late 1990s…

The Canadian economy continued to expand strongly until the autumn of 2000. While propitious external influences – buoyant US demand and improving terms of trade – contributed, favourable performance in the late 1990s also reflected better underlying conditions for growth brought about by the macroeconomic and structural policies pursued over the past decade. Large fiscal deficits have given way to substantial surpluses, reducing risk premia built into Canadian long-term interest rates. Inflation-control targets have successfully reined in increases in the price level. And labour-market reforms have lowered structural unemployment, thereby enhancing the economy's potential output. Nonetheless, with the unemployment rate falling to its lowest level since the mid-1970s, the economy was beginning to press against capacity limits in 2000 despite strong fixed capital formation. Still, while "headline" inflation was pushed up by energy-price increases, core inflation only just reached the mid-point of the official 1 to 3 per cent target range last year. At the same time, enhanced competitiveness, favourable terms of trade and rapid export-market growth all contributed to a rising current-account surplus, bringing down Canada's net external debt as a share of GDP to its lowest level since the 1950s.

… economic activity has slowed markedly

While some moderation in growth was both expected and desirable, given the high level of capacity utilisation, the downturn has been much more pronounced than projected in the last *Survey*. Beginning in late 2000, economic activity weakened markedly, with real GDP probably growing at an annual rate of only around 1½ per cent in the first half of 2001, well below the estimated rate of expansion in potential output of some 3 per cent. Nonetheless, consumer

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price inflation has continued to rise. Tightening monetary conditions in the first half of 2000 might have begun weighing on spending. But the abrupt slowdown in growth reflected above-all the negative trade shock from the United States. The sudden easing in US demand, especially for motor vehicles and information and communications equipment, led Canadian businesses to revise their growth expectations and to cut back on both fixed and inventory investment. Available information suggests, however, that, supported by tax reductions, gains in final domestic demand were robust in the early part of 2001, partly compensating for continued export weakness and stock adjustment. The dichotomy in demand is mirrored by output developments: weakness in some high-profile manufacturing sectors, where exports figure most prominently, contrasts with persistent strength in energy, construction and most service sectors.

The downturn is expected to be short-lived…

Economic growth in Canada is projected to strengthen again in the second half of this year and in 2002. This reflects a number of positive influences: the projected rebound in the US economy (to growth above 3 per cent in 2002); the completion of the inventory correction; the continued impact of tax cuts; and the recent easing in monetary conditions. With export demand and stockbuilding no longer acting as drags on growth, the economy is projected once again to grow faster than estimated potential through 2002. Nonetheless, given the re-emergence of some excess supply this year, inflation pressures are not expected to appear until late in the projection period. In the absence of renewed energy-price increases and with continued wage moderation, overall consumer-price inflation should converge toward the mid-point of the target band. The external surplus may narrow somewhat due to declining real net exports and deteriorating terms of trade but is projected to remain substantial, making for a further fall in net foreign indebtedness.

… although there are downside risks to the outlook

The main risk to this outlook is the possibility that the slowdown in the United States could be deeper and more protracted than anticipated. Yet improved macroeconomic fundamentals together with the business sector's favourable financial condition have put Canada in a much better position

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to withstand an international downturn than it was in the early 1990s. Moreover, the domestic economy has maintained considerable momentum, providing some protection from the effects of a US slowdown. Nonetheless, the fact that the overwhelming majority of Canadian exports go to the United States, along with a close correlation of stock-price movements, leaves the country strongly exposed to developments south of the border. And, apart from the direct trade and financial effects, confidence and thus spending propensities of businesses and households in Canada might be adversely affected if a recession developed in the United States or the rebound in the US economy were delayed. Such risks and the uncertainties about their impact on Canada raise a number of issues for macroeconomic policy making.

Monetary easing looks likely to have been sufficient and may well need to begin to be reversed next year

As noted, the Bank of Canada tightened monetary conditions in the first half of 2000, although its measure of core inflation continued to run in the lower half of the official target range. This reflected concerns both about the strong momentum of activity at home and potential inflationary spillovers from faster-than-expected US growth. The monetary tightening during that period, which still left Canadian interest rates below their US counterparts, was appropriate and well calibrated: latest Bank and OECD estimates suggest that the economy was operating with some excess demand in 2000, and, as a result, core inflation began to pick up towards the end of the year. Against this backdrop, while taking account of the deteriorating US situation, the Bank has eased the monetary stance less aggressively so far this year than the US Federal Reserve, allowing differentials to move back in Canada's favour. Moreover, policy decisions have been made only on the newly established fixed announcement dates, which were introduced to focus attention more squarely on Canadian developments. Given the expected re-emergence of some slack in the economy, the gradual reduction in interest rates since late January has been consistent with the official inflation-control target. With the recent uptick in core inflation and the diminished risk of a US recession, this process should have reached an end, unless incoming indicators point to a longer- or stronger-than-expected downturn. A start to the process of reversing

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this year's interest-rate declines would be required when activity again approaches potential output, which is currently expected in mid-2002.

The inflation-targeting framework has been renewed, with few major changes

The government and the Bank of Canada have just agreed that the official inflation target should be maintained, largely unchanged. When the targeting framework was introduced ten years ago, the focus initially was on bringing inflation down, but it was envisaged ultimately to define a long-term objective consistent with price stability. The 1995 target had been extended twice, each time for a three-year period, because it was felt that the functioning of the framework should be assessed over a full cycle before making a final decision. The authorities had recently engaged in extensive research on the merits of changing the current 1 to 3 per cent range and/or refining the targeting framework to enhance its effectiveness. Given the potential costs of changing a system that has been working well, it is understandable that the ultimate decision was to renew the framework for a further five years, albeit with a slightly broader measure of core inflation as an operational guide and with greater emphasis on the 2 per cent midpoint of the target band. It is also welcome that the Bank has agreed to report on the reasons for any persistent deviation from the midpoint, as well as the steps (if any) it would take to remedy the situation, and to provide an assessment of when the deviation would be expected to disappear. The reinforced focus on the midpoint and heightened transparency should improve the predictability of inflation over the medium term.

While the automatic stabilisers should be allowed to work, additional fiscal stimulus would not be advisable

Reflecting buoyant economic activity over most of the year, the general government financial surplus rose further in 2000, exceeding previous record levels relative to GDP observed a generation ago. The fiscal stance, as measured by the cyclically-adjusted balance net of debt interest payments, moved towards a neutral position, following a long period of retrenchment. This can largely be traced to a first round of tax cuts at the federal level together with ongoing provincial tax reductions. With the federal government's medium-term tax-reform programme gathering momentum and less favourable cyclical conditions, general government net lending is projected to decline this year and next but to

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remain substantially positive. However, if economic developments were to unfold less favourably than expected, the question arises as to how the authorities should respond. Given the improvement in government finances in recent years, the fiscal room for manoeuvre has clearly increased. Thus, automatic stabilisers could be allowed to work. Despite widespread balanced-budget legislation, this is also possible at the provincial level, since most of the laws provide a degree of flexibility to address an economic downturn. On the other hand, it would not seem advisable to take discretionary action to support activity. Recent tax reductions and spending initiatives at both the federal and provincial levels already provide substantial stimulus, and lowering government debt over the medium term remains a worthy priority.

Over the medium term, the focus should be on debt reduction and creating room for further tax cuts

While considerable work remains in reducing Canada's public debt ratio to more appropriate levels, fiscal surpluses at all levels of government have put it on a pronounced downward path. The net debt-to-GDP ratio for general government has fallen by over 20 percentage points from its peak of 88½ per cent in 1995. Nonetheless, declines so far have only brought the ratio back to its level in the early 1990s, when it was already relatively high by international comparison. This is reflected in sovereign credit ratings and risk premia on Canadian interest rates as well as in a still high debt-service burden. Thus, further reducing public debt is clearly desirable, although there are no easy answers as to the optimal pace of debt reduction. In this regard, the federal government's commitment to maintaining its debt ratio on a permanent downward track is to be commended. However, a more ambitious debt-reduction plan might be desirable, given that Canada's public debt ratio is still higher than that of most other OECD countries. It would also allow more room for tax cuts over the medium term. This would be better than the current rule of thumb by which the government aims to allocate roughly half of excess net revenues over the government's mandate to new spending initiatives, a policy which could then be phased out. The government's decision last October to expand the tax-reduction package announced in the 2000 Budget was a welcome move. While primarily reflecting supply-side considerations, it

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has fortuitously turned out to be well timed from a demand perspective. Apart from reducing distortions stemming from tax differentials across sectors, the reductions will bring the combined federal-provincial corporate and capital-gains tax rates below current US levels by 2004, thereby removing one of the incentives for firms to locate there rather than in Canada. On the other hand, despite the significant cuts enacted, statutory and especially average personal income taxes remain higher than south of the border, and recently enacted US measures will, over time, broadly re-establish the previously existing statutory personal income tax gap. Thus, pressures to make further adjustments to the tax system are likely to resurface.

This requires continued tight control and greater efficiency of public spending

Maintaining the momentum of debt reduction while making room for further tax relief necessitates a high degree of spending discipline and quality. The impressive turnaround in the fiscal position in the mid-1990s was largely attributable to radical cuts in programme spending. However, with the achievement of budget surpluses, pressures to increase public expenditure have mounted. Social spending, in particular on health care, has begun to re-emerge as a priority, and pressures in this regard will build as the population ages. To meet social-policy objectives without again increasing the size of the public sector will require boosting spending efficiency at all levels of government.

Spending initiatives need to be framed in a longer-term perspective

Partly as a result of the inclusion of an amount for an extra degree of economic prudence in the federal government's budget planning approach, and partly because economic forecasters have underestimated the strength of the economy during the cyclical upswing, the government has, in the past few years, found itself near the end of the fiscal year with net revenues beyond budgeted levels. A drawback of this approach is that some of these have been regularly used to fund one-off year-end spending initiatives. It would clearly be preferable if spending decisions were not made on an *ad hoc* basis but within a medium-term framework and after careful evaluation of their benefits. Indeed, one way to achieve this would be to publish a ranking of contingent year-end spending proposals at the beginning of the fiscal year. In addition, some elements of the earlier

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Programme Review, which was a major factor behind the success of budget consolidation in the mid-1990s, should be reinstated, in particular the evaluation of new initiatives in comparison with existing measures and a re-allocation of funds to areas that produce the greatest benefits. Finally, the government has recently moved to presenting five-year fiscal projections based on private-sector forecasts for the purposes of budget planning. It would be preferable if the budget also presented the full impact of all new measures on the five-year fiscal projection.

Better co-ordination between levels of government would be desirable

Provincial governments should adopt similar frameworks, given the need to frame their options for new initiatives in a longer-term perspective and to enhance expenditure-control mechanisms. As noted, they are facing increasing fiscal pressures because health care, education and social services represent a large part of their spending. Together with local governments, they are also responsible for transportation infrastructure, where there would seem to be a clear need for increased investment. Because governments have independent budget processes, they do not adhere to an overall fiscal strategy that aligns federal, provincial and local spending priorities within an overall budget constraint. Hence, the question becomes whether governments can enter into co-operative fiscal arrangements so that national and local spending objectives can be met while containing overall public expenditure. Progress in co-ordinating policies requires a broad consensus on the facts regarding the vertical and horizontal fiscal imbalances between governments.

Controlling social spending remains a challenge

Governments have achieved greater control over public spending in large part by reforming social programmes, such as the Employment Insurance (EI) system and social assistance. Recent changes to the EI system (see below) are a step back, however, as they loosen fiscal control of the programme. Another problematic development has been that the EI surplus far exceeds the amount required to meet programme objectives, thereby leading to pressures for benefit enrichments. Moreover, as the eligibility criteria for income-support programmes have tightened, social assistance caseloads have fallen, but the number of social

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assistance disability claims has risen markedly. The eligibility of disability-benefit recipients needs to be monitored carefully to make sure that the programme is not being misused. In other areas of social spending, following earlier substantial cuts, the government has again enriched the Canada Health and Social Transfer to the provinces, given that Canadians consistently rank adequate health care as the top policy concern. With increased grants from the federal government and their own resources, provinces have begun to raise health expenditure considerably. More research needs to be done, though, to help illuminate how far improvements in the health-care system require more funds as opposed to being achieved through reforms. Provinces have committed themselves to developing indicators on the results of health-care spending, which should provide much needed information on the effectiveness of various programmes. A chronicling of best practices would be helpful in containing spending pressures.

The effectiveness of new governance arrangements remains unclear

The government has initiated a large number of new governance arrangements where third parties rather than federal employees, contractors or agents take part in directing and managing public spending. They cover a wide range of areas, from child support to air transportation, and their success has been mixed. The creation of the National Child Benefit was exemplary in the way the federal, provincial, territorial and Aboriginal partners worked together to set precise objectives, define their roles and responsibilities and establish clear and measurable outcomes. As a counter-example, the transfer agreement under which the Canadian Airport Authority was established illustrates the problems that occur when a framework of accountability, evaluation and monitoring is not established at the outset. It is still not clear how the Authority's creation has affected the government's fiscal position, and whether it is a better way to deliver services. Apart from a lack of clear objectives and subsequent monitoring, a problematic feature of many of the new arrangements is that funds are committed up front, and often for several years. This provides little incentive to test the quality of such outlays and limited opportunity to reallocate them to potentially more efficient programmes that governments might want to initiate in the future. Moreover,

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once these new arrangements come into effect, they operate outside standard ministerial and parliamentary scrutiny, thereby making problems more difficult to correct, especially if mechanisms for redress are lacking. Overall, therefore, it is still too early to tell whether those innovative arrangements are superior to traditional organisational forms.

Public-sector management could be improved

The federal government has taken steps towards performance reporting that holds managers accountable for achieving results. It has also implemented a Financial Information Strategy designed to provide consistent reporting among departments. As government activities become increasingly decentralised and results-oriented, there has been a greater reliance on the judgement and initiative of managers and employees. The government has set out basic principles that will guide civil servants in meeting results and recently introduced a system of incentives that rewards achievement at the executive level. Moreover, following government downsizing, human resource management reforms are necessary to replenish its stock of talented and well-educated employees, reduce the workload of existing staff, and streamline the costly and cumbersome administrative system. Such measures should help to improve service delivery, which has become better but is still considered unsatisfactory by Canadians. The government's Service Improvement Initiative appropriately commits departments to achieving client satisfaction comparable to that recorded in the private sector and local governments, and to measure it on an ongoing basis.

Structural reforms may have begun to yield private-sector productivity gains

While the pick-up in trend growth in the second half of the 1990s coincided with a cyclical upswing, the expansion of potential output in the business sector appears to have edged up too, partly reflecting increased productivity gains. It is too early to be sure about their extent, but a number of factors offer grounds for optimism about future growth prospects. Besides the surprisingly benign inflation outcomes in recent years, these factors include the strong pace of machinery and equipment investment, especially on information and communications technologies. Moreover, the wide-ranging programme of structural reforms pursued over the past decade has resulted in substantial business restructuring. Trade liberalisation in North America, in particular, has

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increased the need to boost efficiency in order to cope with stronger competition from foreign rivals. Recent and prospective tax reductions should also bring about tangible longer-term benefits by enhancing incentives to work and invest. Even so, there are some areas of structural policy that deserve further attention.

Despite liberalisation efforts, frictions remain in the trade-policy area

Canada has actively pursued trade liberalisation at multilateral, regional and bilateral levels. It strongly supports a rules-based trading system and has been involved in various WTO panel disputes, both as a complainant and a defendant. It has complied with the 2000 panel decision on the Auto Pact by extending the existing 6.1 per cent duty to all vehicles imported from outside North America. A better way to end discrimination and at the same time benefit Canadian consumers would have been to phase out tariffs on all imports of automobiles and parts, regardless of origin. Canada has also, thus far, not accepted the agreement negotiated in the OECD on imposing greater discipline on export credits on farm products, thereby preventing its implementation. Moreover, in spite of a generally liberal trade regime, there is still substantial protection provided to some traditionally sensitive sectors, such as textiles and clothing as well as certain agriculture products.

Parts of agriculture, especially the dairy sector, are still a major exception to the free-trade rule

Significant progress has been made in increasing the efficiency of the agricultural sector by reducing government support and raising the reliance on market mechanisms over the past decade or so. Safety-net programmes have been completely overhauled, the most recent change coming in mid-2000 with a three-year Framework Agreement on Agricultural Risk Management. But that did not prevent sizeable one-off emergency payments to grain producers under stress in 2000. These additional payments, based on past entitlements, came as a supplement, rather than a substitute for those payments that distort trade and production decisions. In 2000 Canada's producer support rose strongly, approaching the US level in relation to gross farm receipts and reversing some of the hard-won gains made since the 1980s. Indeed, if grain farmers perceive that governments are willing to continue to provide stop-gap funding beyond legislated levels, moral-hazard mechanisms will

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hinder adjustment to market-price signals. Furthermore, while overall support levels are still significantly below the OECD average, they remain very high for so-called supply-managed products. Support to the dairy sector, which accounts for almost half of overall producer support and nearly three-quarters of total market price support (one of the most distortive types), is now well above the OECD average. Pressure from the WTO has contributed to the beginnings of reform of the sector. It is unlikely that Canadians can continue to protect the sector from foreign competition and expect market-opening measures by other countries in farm products where Canada has a comparative advantage.

There have been some advances in making growth more environmentally sustainable, but plenty of room remains for further progress

In the past year Canada has made modest progress in implementing the recommendations made in the previous *Survey*'s in-depth chapter on environmentally sustainable growth. The tax treatment of the resource sector is being made more neutral; capital gains taxation of the proceeds of fishing license retirements has been lowered, encouraging further desirable shrinkage of that industry; and a task force to improve environmental knowledge was established in September 2000. Furthermore, in October 2000 the government unveiled its plan to deal with the question of global warming. Since it is unclear whether one of the measures of the plan aimed at encouraging limited voluntary participation in greenhouse gas (GHG) emission trading pilot schemes will prove to be a success, further analysis of a domestic emissions trading system has been undertaken by a federal, provincial and territorial working group. Canada is also assessing additional measures to further reduce GHG emissions. Moreover, it has reaffirmed its commitment to the 1997 Kyoto Protocol, despite the fact that the global agreement to reduce such emissions from their 1990 levels under the UN Framework Convention for Climate Change has been partially weakened by the withdrawal of US support for the Protocol. The 2000 *Survey* also recommended that water use be metered to a greater extent; that the polluter pays principle be applied more systematically through, for example, a greater use of economic instruments; and that more cost-benefit analysis in setting and implementing objectives in this field should be undertaken and published. These remain appropriate recommendations.

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Recent changes to labour-market policy are a matter of concern

Comprehensive labour-market reforms during the 1990s have contributed to improving economic performance by boosting employment and lowering structural unemployment. It is therefore unfortunate that the authorities backtracked on key elements of the 1996 employment insurance reform. In particular, the intensity rule, which was designed to discourage frequent use of the system, was eliminated even before the measure was fully implemented. The reversal of this limited move towards experience rating is regrettable and sends wrong incentive signals to both firms and employees that in the past have unduly benefited from the system and diminishes the scope for job-boosting reductions in payroll taxes. It may be true that the resulting adverse effect on structural unemployment is small, but the latter is still significantly higher than in the United States, and further declines would be desirable to enhance potential output. The abolition of the intensity rule combined with the perverse incentives of regional extended benefits, which hamper labour mobility and slow adjustment, makes progress in this direction difficult. Previous *Survey* recommendations to move towards experience rating and to reduce the variation in regional employment insurance generosity are therefore still appropriate. Achieving higher labour mobility, with the ensuing efficiency gains, would be greatly assisted by the completion of the provisions of the Agreement on Internal Trade and Social Union Framework Agreement, which are behind schedule. Without their implementation, Canada will not reap the full economies of scale of its fairly large internal market.

In sum, the economy is better prepared to handle the slowdown, but challenges remain

After its impressive performance in the late 1990s, the Canadian economy has slowed as foreign demand has faltered. But in most respects it is now better positioned to cope with such external developments than in the past. Economic imbalances have given way to solid fundamentals – low inflation as well as fiscal and external surpluses. Following a period of structural adjustment the business sector is in good shape. And a sound policy framework is now in place. Nonetheless, the precarious external environment, together with the uncertainty as to the sign and size of the output gap complicates the task of policy makers. Given the probable re-emergence of some excess supply in the economy, the

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recent easing in monetary policy has been appropriate, but further interest-rate cuts should not be necessary unless new information points to the likelihood of persistent economic slack. On the other hand, the monetary authorities should be prepared to act promptly when activity again approaches potential output in order to prevent inflation pressures from developing over the medium term. While automatic fiscal stabilisers should be allowed to operate, monetary policy should be the main instrument used in attempting to sustain economic expansion. Fiscal policy should maintain a medium-term focus, keeping a tight rein on spending in order to ensure ongoing repayment of Canada's still high public debt and to create room for further tax cuts. While commendable advances have been made in controlling and increasing the efficiency of public spending, there is scope for further improvements in this respect. In the area of structural policies, it will be important to avoid any backsliding at a time when past reforms finally appear to be paying off in the form of an enhanced growth potential. Unfortunately, recent developments in some fields, for instance labour markets and agriculture, are a step back following substantial progress over the previous decade. Maintaining the momentum of structural reform is crucial to consolidating recent efficiency gains and thereby creating the conditions necessary for a sustained improvement in Canadians' living standards.

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I. Macroeconomic performance

The Canadian economy ended the 1990s on a strong note. After moderating somewhat in the aftermath of the Asian financial crisis, real GDP growth averaged 4¾ per cent in 1999-2000, lifting the annual average for the past decade to 2½ per cent (Table 1). While this still falls short of the rate of expansion achieved in the 1980s, it is a much better outcome than could have been expected following the lacklustre performance earlier in the 1990s when the economy went through a difficult adjustment process. Business restructuring during that period in response to both micro- and macroeconomic reforms has paid off, however, in the form of an enhanced growth potential. Although this accommodated to some extent the stronger pace of expansion in recent years, slack in product and labour markets that had persisted over an unusually long period was finally eliminated by the end of the decade. Thus, some moderation in economic growth was necessary to fend off the emergence of inflationary pressures, but it then came a bit earlier and has been more pronounced than expected.

The recent economic downturn, which began in late 2000, is primarily attributable to external influences (see below), which led businesses to cut back on investment. At the same time, the energy sector and domestically-oriented industries have continued to show considerable underlying strength, limiting the setback to growth. Nonetheless, protracted economic weakness abroad could undermine confidence and growth in the sectors where activity so far has held up well. Thus, the main uncertainty facing the Canadian economy would seem to be the timing and momentum of the projected rebound in the United States. The remainder of this chapter, after a brief overview of the external and policy environment, reviews recent and prospective economic developments in more detail.

The external and policy environment

A number of favourable external factors enhanced economic performance in the late 1990s. Reflecting above all strong US growth, but also a rapid recovery in parts of Asia and accelerating economic activity in Europe, Canada's export markets expanded at double-digit rates (Figure 1, Panel D). At the same time, the country's terms of trade improved markedly on the back of rising energy prices. As

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Table 1. **Demand and output**

Percentage change, seasonally adjusted annual rates, volume (chained 1997)

	1979/1973	1989/1979	2000/1989	1998	1999	2000	Q4 2000	Q1 2001
Private consumption	–	–	2.3	3.0	3.4	3.6	1.2	3.6
Government consumption	–	–	0.9	1.8	2.6	2.2	3.5	4.8
Gross fixed investment	–	–	2.3	2.4	7.3	6.7	–1.2	–3.9
Public	–	–	2.1	–0.9	12.3	7.6	2.2	–3.6
Private	–	–	2.3	2.8	6.7	6.6	–1.7	–4.0
Residential	–	–	–1.3	–3.5	5.3	2.7	3.9	6.4
Non-residential	–	–	4.0	5.3	7.2	8.1	–3.5	–7.5
Final domestic demand	**–**	**–**	**2.0**	**2.6**	**4.1**	**4.0**	**1.1**	**2.2**
Stockbuilding[1]	–	–	–0.1	–0.4	–0.3	0.2	–2.3	–1.2
Total domestic demand	**–**	**–**	**1.9**	**2.2**	**3.8**	**4.2**	**–1.2**	**1.0**
Exports of goods and services	–	–	7.8	8.9	9.9	7.6	–0.1	–5.7
Imports of goods and services	–	–	6.3	4.9	7.3	8.1	–9.1	–11.0
Foreign balance[1]	**–**	**–**	**0.6**	**1.7**	**1.3**	**0.2**	**3.8**	**1.9**
Error of estimate[1]	–	–	0.0	0.0	0.0	0.0	–0.9	–0.4
GDP at market prices	**–**	**–**	**2.5**	**3.9**	**5.1**	**4.4**	**1.6**	**2.5**
Agriculture	–0.6	2.2	1.2	3.2	8.0	–1.7	–15.3	–6.5
Mining	–3.3	1.1	2.2	–1.7	–3.3	6.7	4.4	9.1
Manufacturing	2.6	2.2	2.7	4.1	6.3	5.6	–2.1	–6.3
Construction	4.5	2.7	–0.2	–0.2	4.2	3.2	2.7	2.0
Services	4.4	3.1	2.6	3.4	4.1	4.4	3.4	2.8
GDP at factor costs[2]	**3.5**	**2.8**	**2.4**	**3.1**	**4.3**	**4.5**	**1.9**	**1.1**
Memorandum item:								
GDP per capita	–	–	1.4	3.0	4.2	3.6	–	–

1. Contribution to GDP volume growth. OECD estimates.
2. Constant 1992 prices.

Source: Statistics Canada and OECD.

a result, corporate profit margins rose sharply, to levels not seen in two decades. This, together with improving labour-market conditions, underpinned business and consumer confidence (Figure 1, Panel E). The situation changed in the latter part of 2000, when US demand – especially for motor vehicles and information and communications equipment – weakened abruptly. This entailed a marked slow-down in the expansion of Canada's export markets, which has continued into 2001.

Monetary conditions were quite stimulatory following the Asian crisis, contributing to the spurt in economic growth in 1999-2000 (Figure 1, Panel B).

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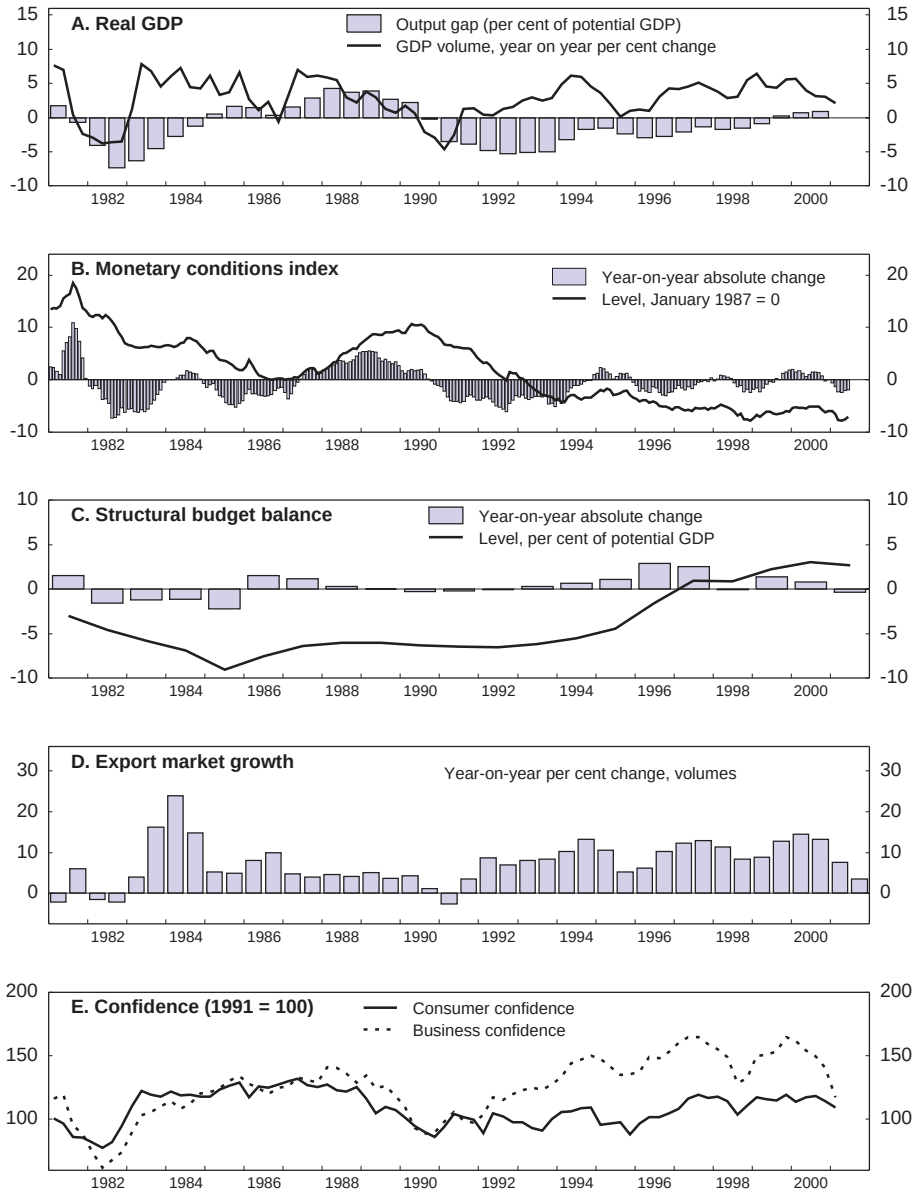
Figure 1. **Conditions for growth**



Source: Statistics Canada; Bank of Canada; Conference Board of Canada; OECD.

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They then gradually tightened until mid-2000, at first through some strengthening in the exchange rate in response to rising commodity prices, and from late 1999 as a result of interest-rate increases. The latter were aimed at, and might have led to, some cooling off in buoyant domestic demand but have not been a major factor behind the pronounced slowing in economic activity of late. As discussed in more detail in the next chapter, the reversal of previous interest-rate hikes together with a weaker exchange rate in recent months have brought monetary conditions back to their expansionary levels prevailing in late 1998. The resulting stimulus to the economy is being reinforced by recent budgetary-policy developments. The tax reductions announced in the 2000 Budget, and expanded in the October "mini-budget", imply an easing in the fiscal stance this year after a protracted period of retrenchment (Figure 1, Panel C). Together with continued tax cuts at the provincial level, these measures have buttressed consumer confidence, which has remained relatively high while the business climate has been adversely affected by external developments.

Following a period of strong growth, activity has slowed markedly

After increasing by 4 per cent on average over the first three quarters of 2000, real GDP rose at an annual rate of only 1½ per cent in the fourth quarter of the year. Economic growth then picked up to 2½ per cent in the first quarter of 2001 before weakening again. The strength of activity during the two years preceding the current slowdown reflected the fact that the recovery was broadly based (Table 1 and Figure 2). This has changed in the recent period, which has again seen increasingly diverging trends in demand and output. To some extent, this is to be expected during an economic downturn. However, despite the different cyclical sensitivity of demand and output components, their fluctuations have normally shown a high degree of synchronisation. What so far distinguishes this downswing from many of its predecessors is the resilience of the household sector. In contrast to the recession of the early 1990s and the temporary interruption of the recovery in the mid-1990s, residential investment and consumer spending on durable goods have held up fairly well. Economic weakness has been concentrated in the export-oriented sector, with sluggish exports prompting an adjustment in business fixed and inventory investment in the industries most concerned, although stock-market developments may also have played a role. It is worth noting, though, that despite the export-led nature of the downturn, the real foreign balance has contributed to economic growth of late, after acting as a drag on activity in the last phase of the upturn. This is because the demand components that have weakened most (exports, machinery and equipment investment, stockbuilding) all have a very high import content.

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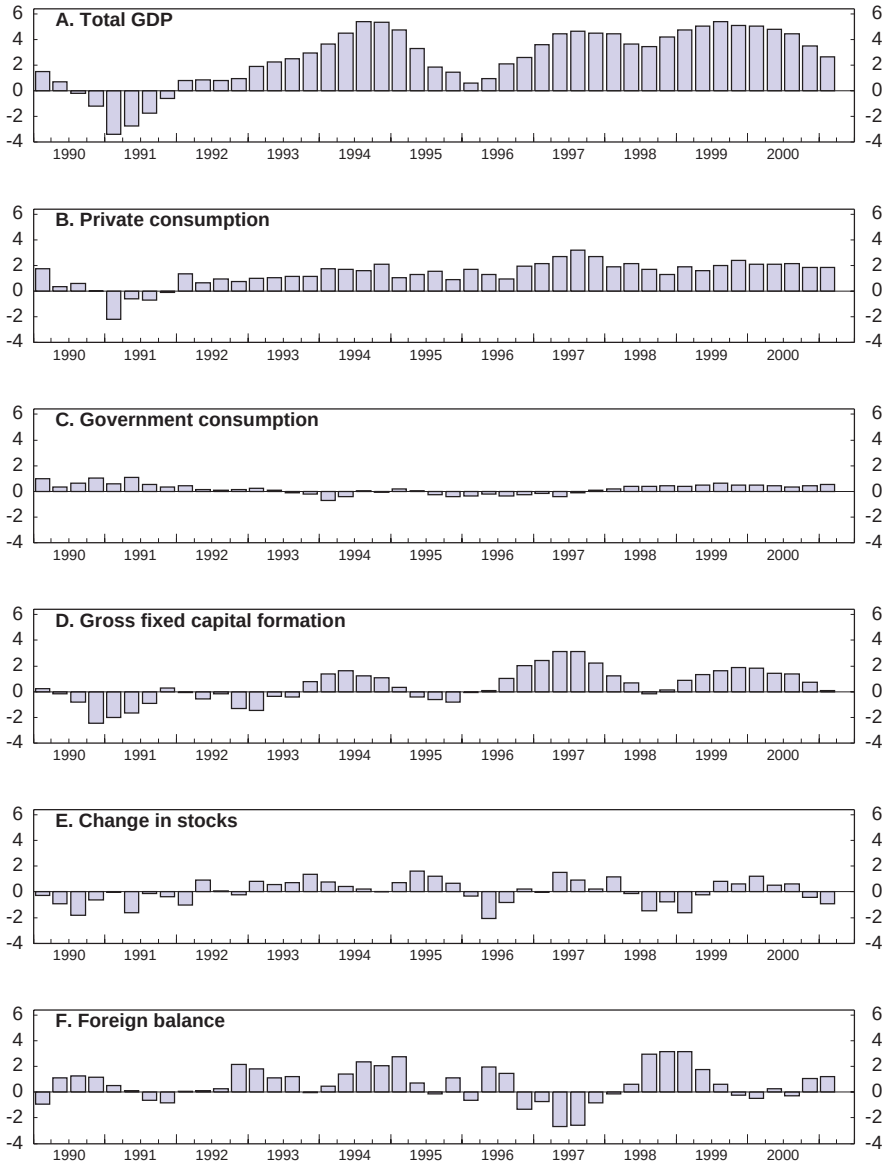
Figure 2. **Contributions to changes in real GDP**

Per cent changes over 4 quarters



Source: Statistics Canada; OECD, *National Accounts*.

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Diverging trends in demand…

Among the major demand components, *private consumption* has been the least affected by the economic downturn, remaining robust through year-end and into 2001. The major factor behind this strength has been the solid growth in real per capita disposable income, which advanced by 3 per cent in 2000, the strongest annual gain since 1989. Helped by significant tax cuts at the beginning of the year, this pace of income growth has been sustained in early 2001. While private consumption slowed in late 2000, this was mainly the result of the ending of the motor vehicles incentive programmes, which had led to a sharp rise in sales in the third quarter. Excluding vehicle sales, consumption growth actually strengthened, reaching almost 5 per cent (at an annual rate) in the fourth quarter of 2000. Spending on durable goods rebounded in the first quarter of 2001 and there are reasons to believe that it will remain robust. Interest rates have declined, and there is evidence that households have yet to finish rebuilding their consumer-durable stocks depleted in the first half of the 1990s, despite robust spending on durable goods in recent years (Figure 3, Panel A). In 2000, consumer-durable stock accumulation just returned to its historical average share of disposable income after remaining well below this benchmark for a decade, implying substantial pent-up demand. Other fundamentals are also rather supportive of a continued momentum in consumer spending. Household balance sheets remain on a sound footing.[1] And, while the personal saving ratio declined markedly over the 1990s, its fall has slowed considerably in recent years as income growth has strengthened (Figure 3, Panel B). Moreover, although the personal sector has tended to save less out of the current flow of income, its rate of overall savings (including capital gains and durable assets growth) has remained relatively stable. The strong growth in this sector's net worth in recent years has likely slowed of late due to stock market developments. Yet, while equities have risen in importance in household finances, overall wealth gains have been broadly based across a variety of asset holdings. Combined with a low propensity to spend out of equity wealth, this means that the risk to consumer spending from fluctuations in equity prices is small.

Residential investment has also held up quite well, especially if compared to previous cyclical downturns (Figure 3, Panel A). Its underlying performance is actually better than suggested by global data. Excluding volatile items (such as mobile homes, cottages, etc.), the growth in housing investment in 2000 was not much lower than in 1999, remaining robust through the end of the year. This said, some moderation in residential investment is consistent with the deterioration in housing affordability due to rising mortgage rates (up to mid-2000), house prices and constructions costs, which counteracted the positive influence of strong employment and income growth and high consumer confidence. However, affordability (that is, households' ability to carry the cost of servicing a mortgage) has remained quite favourable by historical standards, improving again more recently with the

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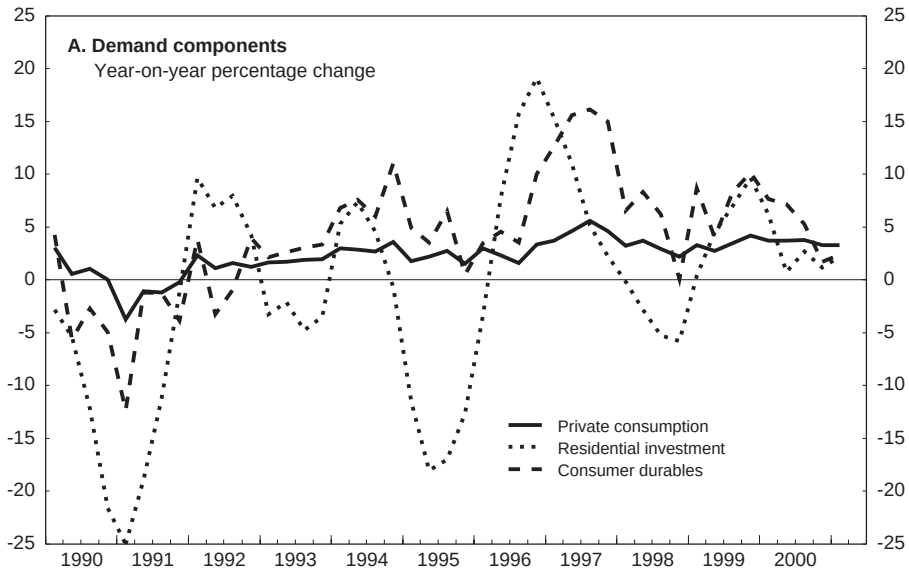
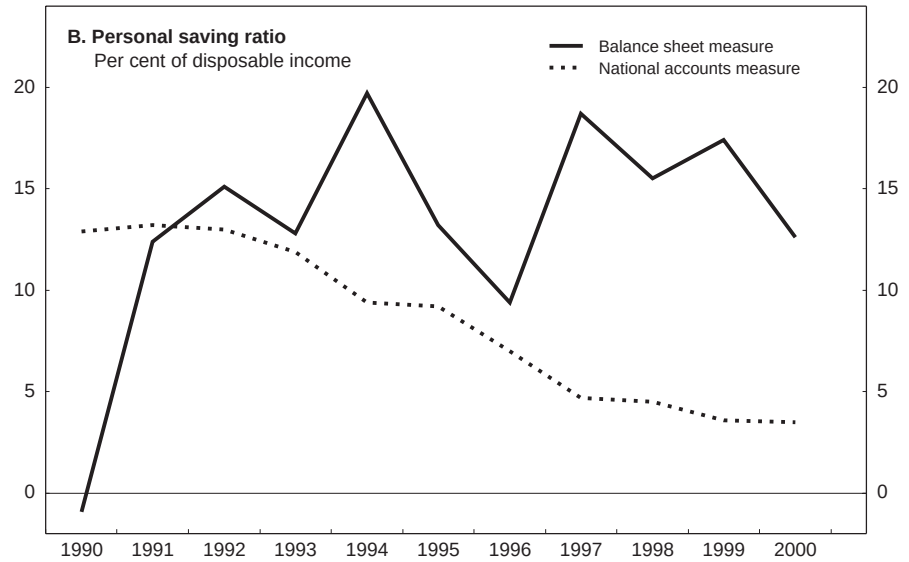
Figure 3. **Household demand**





Source: Statistics Canada; Department of Finance.

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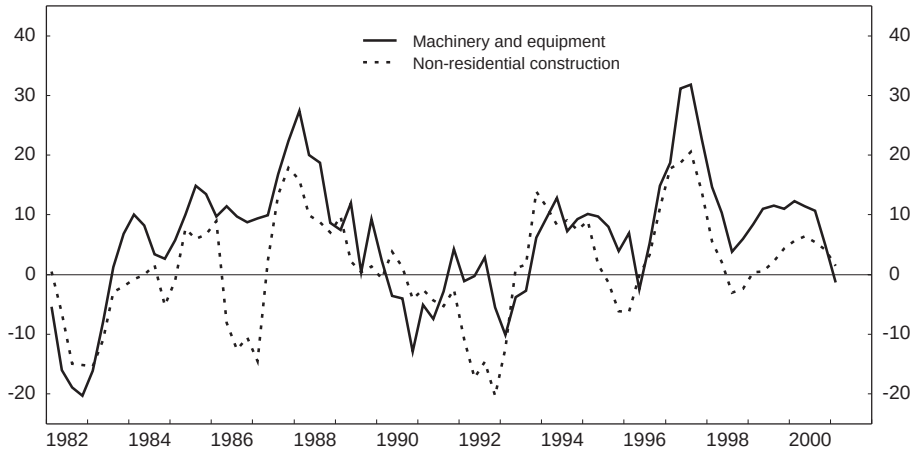
decline in interest rates. One factor that has delayed the completion of construction projects and may persist for a while is the shortage of skilled labour in this sector. In general, however, conditions are propitious to sustained growth in the housing market. Although housing starts exceeded estimated demographic requirements last year, pent-up demand appears to have remained substantial. Indeed, growth in residential investment strengthened in the first quarter of 2001, and intention surveys point to a solid expansion in the year as a whole.

In stark contrast to household demand, *business fixed investment* has shown a sharp turnaround. After growing at a rapid pace through the second quarter, it fell off at the end of 2000 and into 2001 (Table 1). This was due to a marked decline in spending on machinery and equipment, which had expanded particularly strongly in the late 1990s (Figure 4). Businesses reduced expenditure on automobiles, trucks, other transportation equipment, telecommunication equipment and computers. At first glance, these developments appear surprising. In the fourth quarter of 2000, profits as a share of GDP reached their highest level in two decades, providing corporations with strong cash flow to finance new investment. At the same time, capacity utilisation, albeit easing somewhat, remained well above its historical average (see below). However, the growth in corporate profits has slowed of late, capacity utilisation has continued to moderate, and businesses

Figure 4. **Business fixed investment**
Volume change (year-on-year)



Source: Statistics Canada.

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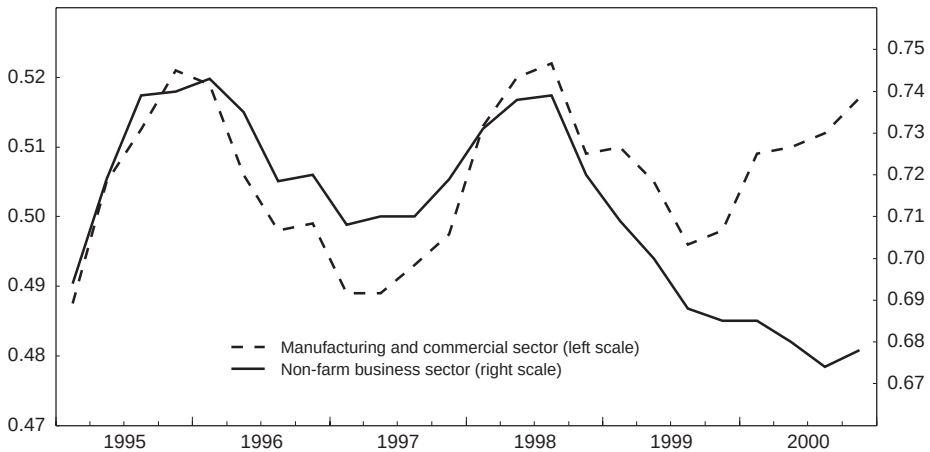
Figure 5. **Inventory-to-sales ratio**
Quarterly



Source: Statistics Canada; Department of Finance.

have revised planned output growth downwards. Thus, fixed capital formation will probably take time to recover. Intention surveys point to relatively weak capital spending in 2001 as a whole, with non-residential construction holding up better than machinery and equipment investment. Intentions are not uniform across sectors, though, ranging from marked declines in manufacturing to substantial increases in the oil and gas industry. Interestingly, investment growth in the information and cultural services sector (which includes telecommunications) is expected to remain fairly robust.

Inventory investment has been a major factor behind the economic downturn, subtracting significantly from GDP growth in the fourth quarter of 2000. Nonetheless, given the marked weakening in final demand, the inventory-to-sales ratio rose slightly, although it remained near its record low recorded in the third quarter. This broad picture, however, hides strongly divergent developments in some sectors of the economy. While the overall (non-farm business) inventory-to-sales ratio continued to trend downward, the ratio for the combined manufacturing and commercial sector began to rise in late-1999 (Figure 5). This reflected the fact that some industries failed to adjust output to slowing demand and thus saw their inventories accumulating quickly. In the commercial sector, this phenomenon was concentrated in automobile wholesale trade. In manufacturing, it was more widespread but

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concerned primarily transport equipment and machinery. Stockbuilding has remained a drag on output growth in early 2001, largely reflecting further inventory correction in the automotive sector.

... have been reflected in output developments

The dichotomy in demand components described above is reflected in diverging output trends. While manufacturing production has declined following a period of rapid expansion, output growth has been relatively steady in other sectors, except for agriculture where it has dropped sharply after 1999's bumper crop (Table 1). Within manufacturing, the automotive and the information and communications technologies (ICT) sectors have been most affected. Given their favourable relative unit labour cost position and increases in capacity, Canadian producers were well placed to benefit from the sharply rising demand for motor vehicles in the United States in the late 1990s and boosted their share of the North American market. However, this has made them more vulnerable to the recent downturn in US sales. To bring inventories back to more normal levels, they had to cut output drastically. Production of motor vehicles and parts fell by 23 per cent (at an annual rate) in the fourth quarter of 2000, and a further marked decline occurred in the first quarter of this year. Given tax reductions and a relatively older fleet of cars, demand conditions at home are more favourable. However, as the bulk of Canadian consumption is satisfied by imports, it has only a limited impact on domestic output. Developments in the ICT sector have been very similar, although the outlook there seems to be more favourable. Canadian manufacturers have benefited substantially from booming sales of ICT equipment to the US market. In the year ending in the third quarter of 2000, Canadian output of electrical and electronic products rose by 40 per cent. Concerned about rising inventory levels associated with the fall in US demand, Canadian ICT manufacturers then reduced output growth in the fourth quarter and cut back production in early 2001.

Capacity pressures emerged before the downturn

A number of indicators suggest that the economy was operating in excess demand at the onset of the recent downturn. According to OECD estimates, the output gap that had emerged at the beginning of the decade was closed in late 1999 (Figure 1, Panel A). However, given the margin of error attached to estimates of productive potential, it is possible that excess supply was eliminated somewhat later. Statistics Canada's measured rate of capacity utilisation in the non-farm, goods-producing sector exceeded the level reached in the late 1980s, when capacity pressures were high, during the first three quarters of 2000. Since then, this indicator has eased. Reflecting output developments, declines have been particularly pronounced in machinery and transportation-

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equipment-producing industries. By contrast, capacity utilisation has continued to rise in the petroleum sector and the utilities industry, where strong demand for electricity south of the border has pushed capacity use to record highs. Consistent with the slowing in the pace of activity to below the economy's growth potential, which is estimated to be expanding at an annual rate of just over 3 per cent, excess demand in the economy is likely to have disappeared in the first half of 2001.

The decline in unemployment has bottomed out

With buoyant output growth, the unemployment rate declined rapidly in the late 1990s, to reach just over 6½ per cent in mid-2000, its lowest level since the mid-1970s. This probably implied some excess demand in the labour market. Since then, unemployment has edged up to 7 per cent of the labour force, which is a little higher than the OECD estimate for its structural rate, suggesting that some marginal labour-market slack has re-emerged. The renewed rise in unemployment reflects the fact that labour demand has decelerated with a lag in response to slowing output growth while labour supply so far has continued to expand at a relatively steady pace (Table 2).

Employment growth, which had approached 3 per cent per annum in the late 1990s, has fallen back to a twelve-month rate of 1½ per cent. This decline can be largely traced to the goods-producing sector, while job creation in the service sector has remained robust (Table 2). However, even in the goods-producing sector there are still pockets of strength. In the natural-resource, utilities and construction industries, in particular, employment growth has remained high. By contrast, employment has plunged in the agricultural sector, given falling output and low producer prices. This contributed to a marked decline in self-employment in 2000, following significant increases every year since 1986. More fundamentally, improving labour-market conditions may explain the shift towards dependent employment, which rose by 3½ per cent in 2000 and 3 per cent in the year to the first quarter of 2001.

As labour demand only gradually adjusts to output developments, productivity stalled in late 2000 and into 2001, following substantial gains in the final stage of the economic upswing. In 2000 as a whole, real GDP per person employed rose by nearly 2 per cent, though the advance in output per hour in the business sector, at just over 1½ per cent, was less impressive (Table 2). In the first quarter of 2001, twelve-month growth in hourly labour productivity was slightly negative as compared with still 2¾ per cent in the United States, where productivity gains have also slowed during the economic downturn. Thus, while there are reasons to believe that trend labour productivity growth in Canada has picked up (see Chapter IV), the fact that annual productivity advances did not much exceed

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their long-term average in the face of strong activity suggests that improvements have been limited.

On the supply side, continued solid growth in the labour force in excess of that in the working-age population reflects the ongoing recovery in labour-force participation, which nevertheless has not yet reached its previous peak level recorded in the late 1980s. The rise in participation rates has been widespread but has been most pronounced for young people, who had shown the strongest propensity to leave the labour market in the early 1990s (Table 2). Older people have also tended to re-enter the labour force in recent years, possibly as a result of skill shortages in some sectors and improved job opportunities more generally. However, contrary to other groups, the participation rate of older people has levelled off recently. This is consistent with anecdotal evidence of diminishing labour shortages in recent months.

Table 2. **Labour supply and demand**

Per cent change, annual rates

	1979/1973[1]	1989/1979	2000/1989	1998	1999	2000	Q1 2001/ Q1 2000
Working age population	2.2	1.4	1.4	1.3	1.3	1.3	1.4
Labour force	3.2	2.0	1.2	1.8	2.0	1.8	1.8
Employment	2.9	2.0	1.3	2.7	2.8	2.6	1.6
Goods producing sector	1.6	0.6	0.1	3.0	2.6	2.1	0.2
Service sector	3.6	2.6	1.7	2.5	2.9	2.8	2.2
Public sector	2.8	2.3	0.9	1.0	2.4	2.1	0.7
Unemployment rate[2]	7.2	9.4	9.3	8.3	7.6	6.8	7.0
Youth (15-24)	–	14.7	15.1	15.2	14.0	12.7	12.6
Older workers (55+)	–	6.2	7.1	6.3	5.5	5.1	5.3
Participation rate[3]	61.7	65.5	65.5	65.1	65.6	65.9	66.1
Youth (15-24)	–	68.9	64.5	61.9	63.6	64.5	65.1
Older workers (55+)	–	28.3	24.8	24.6	25.1	25.7	25.6
Employment ratio[3]	57.3	59.4	59.5	59.7	60.7	61.4	61.5
Memorandum items:							
Labour productivity[4]	1.3	0.9	1.3	1.2	2.2	1.8	1.0
Hourly labour productivity[5]	. .	. .	1.5	2.2	2.4	1.6	–0.2
Total factor productivity[5]	0.6	0.4	0.8	0.7	1.7	1.6	–

1. Not strictly comparable to other columns because of changes in definitions.
2. Per cent of labour force.
3. Per cent of population 15 years and over.
4. Total economy. Per employed person.
5. Business sector.

Source: Statistics Canada.

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Inflation has not yet receded

Wage growth edged up as slack in the labour market was taken up and skill shortages increased (Table 3). The rise in compensation per employee reached 3¼ per cent in 2000 as a whole, boosted by the effect of federal-government pay-equity settlements and unusually large bonus payments in the business sector. Collective settlements have trended up, with public-sector agreements catching up and exceeding those in the private sector over the past year. The rate of increase in average hourly earnings of permanent workers in the business sector, which is considered a good indicator of underlying wage trends, has remained in the 3 to 4 per cent range in recent quarters. With higher wage growth and diminishing productivity gains, the twelve-month increase in unit labour costs has moved to 2¾ per cent. Nonetheless, profit margins continued to rise until the end of last year.

After picking up sharply through 1999 and into 2000 due to surging energy prices, the year-on-year increase in the consumer price index (CPI) has averaged around 3 per cent in the year to May 2001, with an uptick recently (Figure 6). While the rise in fuel and gasoline prices has tended to ease, tight supplies of natural

Table 3. **Wages, prices and profits**
Per cent change, annual rates

	1979/ 1973	1989/ 1979	2000/ 1989	1998	1999	2000	Q4 2000/ Q4 1999	Q1 2001/ Q1 2000
Wages								
Compensation per employee	10.2	6.8	3.0	2.1	2.7	3.2	2.6	1.9
Wage rate (business sector)	9.3	7.0	3.0	3.5	3.4	3.6	3.0	–
Hourly earnings in manufacturing	11.6	6.1	2.5	2.1	0.1	3.3	2.2	–
Major collective settlements	–	6.4	2.1	1.7	2.3	2.5	2.9	3.6
Unit labour costs								
Total economy	9.6	5.8	1.4	0.8	0.8	2.3	2.7	2.8
Manufacturing	9.3	4.8	0.7	2.8	–0.0	1.9	2.3	–
Profits								
Pre-tax	14.0	5.5	7.1	–2.4	21.9	21.8	13.2	11.2
After tax	14.2	4.4	7.1	–7.2	25.4	25.2	16.7	8.4
Pre-tax per unit of output	9.7	2.6	4.5	–6.1	15.9	16.7	9.3	8.3
Prices								
GDP deflator	9.5	5.9	1.8	–0.4	1.3	3.7	3.5	3.6
Consumer price index	9.2	6.5	2.2	1.0	1.7	2.7	3.1	2.8
Private consumption deflator	9.1	6.3	2.1	1.2	1.6	2.0	2.2	2.0
Export price deflator	12.4	3.4	2.0	–0.6	0.9	6.5	8.1	8.8
Import price deflator	11.6	2.2	2.3	3.7	–0.2	2.1	5.0	5.6
New housing price index	–	–	–0.2	0.9	0.9	2.2	2.4	2.5

Source: Statistics Canada.

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Figure 6. **Inflation indicators**
Percentage change over 12 months

Source: Statistics Canada; OECD.

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gas have pushed up overall energy prices further. Some provinces have alleviated the resulting cost to consumers by assistance programmes. The reversal of energy rebates partly explains the rebound in CPI inflation. But food prices have also risen considerably in recent months, keeping "headline" inflation high. By contrast, CPI inflation excluding energy, food and indirect taxes – the Bank of Canada's measure of core inflation and short-term operational policy guide until May 2001 – remained in the lower half of the official 1 to 3 per cent target band through most of 2000, before moving up to the mid-point of the range.[2] This somewhat erratic profile largely reflects the withdrawal of costly incentives by automobile manufacturers in late 2000 in an attempt to improve profitability. Excluding motor vehicles, this indicator shows a gradual increase during 2000 and into 2001, consistent with the emergence of excess demand and cost pressures in the economy. Despite the large divergence between headline and core inflation, so far there is little evidence of second-round effects of energy price increases.

The surge in world energy prices has had a greater impact on Canada's export prices than its import prices (Table 3). This largely explains why the annual growth rate in the GDP deflator has risen more than that of consumer prices. Other indicators of inflation pressures, such as real estate prices, are also not a matter of concern. The annual increase in new home prices has edged up but has remained moderate on average. While selling prices of existing housing have shown somewhat stronger increases, their year-on-year rise actually eased somewhat through 2000.

The external balance has moved into substantial surplus

The external balance has continued to improve. In 2000 as a whole, the current account registered a surplus of 2½ per cent of GDP, the highest on record for a calendar year (Figure 7). The dominant factor moving the external balance over the past year has been the continuing improvement in Canada's terms of trade. As noted, Canada has benefited from the fact that it is a net exporter of energy. Another favourable influence has been that price declines for machinery and equipment, in particular high-technology products, have been both more pronounced and have had a larger impact on the import side. Canada's relative cyclical position, which had offset to some extent the negative effect of deteriorating terms of trade after the Asian crisis, has had a limited influence since then as demand has expanded broadly in line with that in major trading-partner countries. However, as noted, the real foreign balance has improved in recent quarters due to changes in the composition of aggregate demand. Canada's competitive position, as measured by relative unit labour costs in a common currency, has weakened somewhat over the past year but has remained favourable by historical standards. Nonetheless, Canada's exporters have lost ground in regions other than the United States, partly due to less competitive exchange rates but probably also

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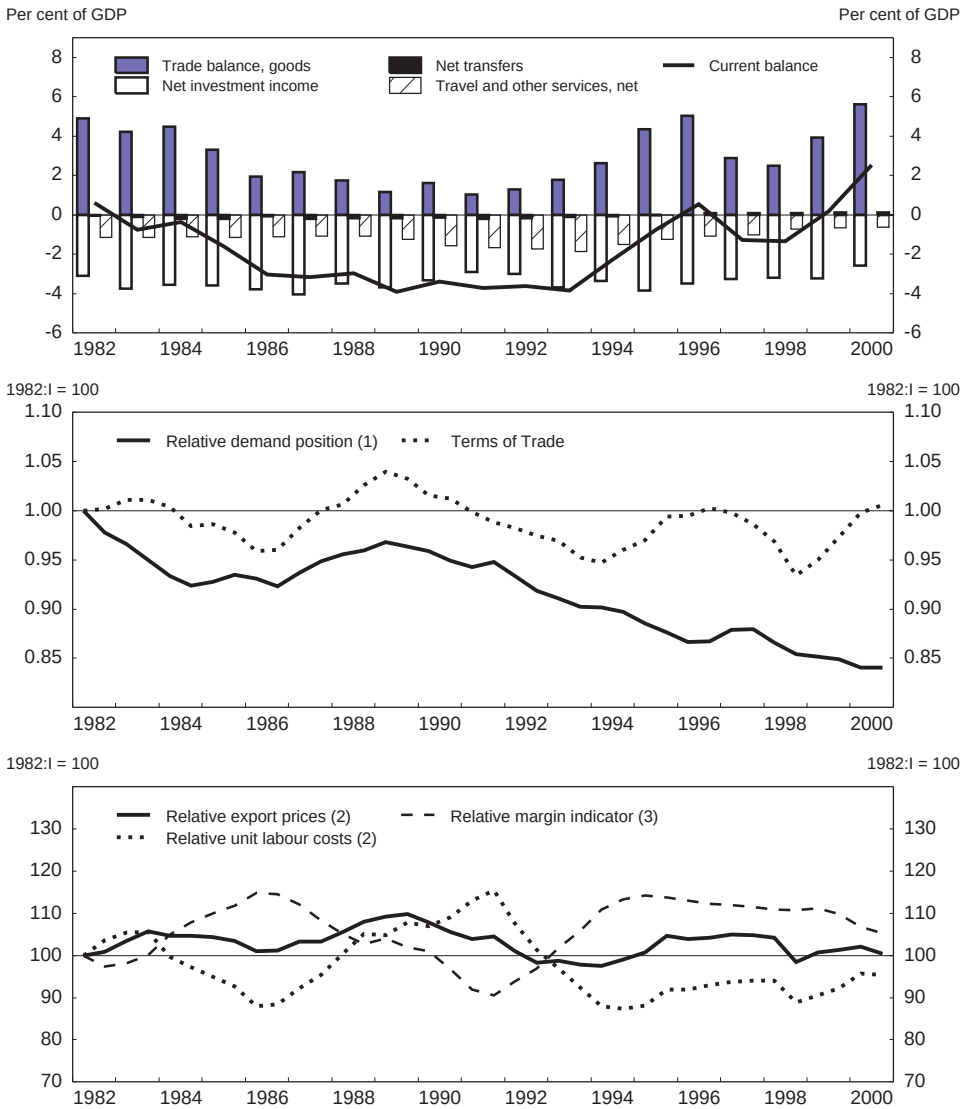
Figure 7. **The current balance and its major components**



1. Index of Canadian final domestic demand divided by an export share weighted index of final domestic demand of major trading partners.
2. In manufacturing. Common currency.
3. Ratio of relative export prices to relative unit labour costs.

Source: Statistics Canada; OECD.

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because they tend to sell mainly products for which demand has been increasing relatively slowly in these areas.

Movements in the merchandise trade balance are usually the driving force behind changes in Canada's external position (Figure 7). The year 2000 was no different, with the widening in the traditional visible trade surplus largely accounting for the positive swing in the current account (Table 4). Exports of energy and of machinery and equipment were the chief reasons for this result. The latter replaced automotive products as the most important export category as they were less affected by the economic downturn south of the border (at least up

Table 4. **Balance of payments**
C$ billion, annualised

	1997	1998	1999	2000	Q4 2000	Q1 2001
	Seasonally adjusted					
Goods exports	303.4	326.2	365.2	422.6	437.3	440.9
Goods imports	277.7	303.4	326.8	363.3	369.0	357.4
Trade balance	**25.7**	**22.8**	**38.4**	**59.3**	**68.3**	**83.5**
Travel and other services, net	–8.9	–6.6	–6.5	–6.7	–6.5	–6.0
Investment income, net	–28.9	–29.2	–31.4	–27.1	–29.0	–29.4
Transfers, net	0.7	0.7	1.1	1.5	1.3	2.8
Current balance	**–11.4**	**–12.3**	**1.7**	**26.9**	**34.1**	**50.9**
	Not seasonally adjusted					
Current balance	**–11.4**	**–12.3**	**1.7**	**26.9**	**37.0**	**37.4**
Capital account	**7.5**	**4.9**	**5.0**	**5.3**	**4.6**	**4.9**
Canadian assets (net flows)	–62.5	–67.3	–45.3	–134.9	–147.9	–96.4
of which:						
Official international reserves	3.4	–7.5	–8.8	–5.5	–5.2	–10.0
Canadian liabilities (net flows)	70.8	67.3	28.3	114.5	150.3	89.6
Financial account[1]	**8.3**	**0.0**	**–17.1**	**–20.4**	**2.4**	**–6.8**
Statistical discrepancy	–4.4	7.3	10.3	–11.7	–44.0	–35.5
	Seasonally adjusted					
Memorandum items:						
Current balance (s.a.)						
US dollars	–8.2	–8.3	1.2	18.1	22.8	32.3
Per cent of GDP	–1.3	–1.3	0.2	2.5	3.2	4.6
Net external liabilities						
Canadian dollars	304.0	317.1	270.7	243.7	–	–
Per cent of GDP	34.4	34.6	27.8	23.1	–	–

1. A minus sign denotes an outflow of capital resulting from an increase in claims on non-residents or a decrease in liabilities to non-residents.
Source: Statistics Canada.

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to the end of 2000). Despite the slump in US demand at the end of the year, the share of Canadian exports going to the United States increased further in 2000, exceeding 86 per cent. On the import side, dependence on the United States diminished somewhat, to below 74 per cent, reflecting higher energy-price revenues of producer countries and possibly exchange-rate developments. With real exports falling less than real imports and the terms of trade improving further, both the trade and current account surplus achieved new record levels in the first quarter of 2001.

In contrast to the trade surplus, the large deficit on invisibles – a legacy of sizeable external deficits in the past – has shown only limited fluctuations. In 2000 as a whole, net investment income outflows declined somewhat (Table 4), reflecting the cumulative effect of lower interest rates in recent years and a rebound in foreign earnings of Canadian corporations. This was partly offset by slightly higher deficits on travel and transportation services. As for the capital account, both assets and liabilities rose markedly due to the record levels of direct investment flows into and out of Canada, especially with the United States and Europe. In addition, portfolio outflows increased substantially, as the strong demand for foreign stocks by Canadian residents continued. At the same time, US investors raised sharply their purchases of Canadian stocks, particularly in technology-related sectors. The improvement in the external balance has led to a marked decline in Canada's net foreign indebtedness. By the end of 2000, net liabilities to non-residents had fallen to 23½ per cent of GDP, their lowest level since the 1950s.

Short-term prospects

Economic trends observed in late 2000 – sluggish export demand and business investment outlays, together with an inventory correction – have continued in the early part of this year, as discussed above. The resulting drag on activity has been partly offset by relatively robust household spending on consumer goods and housing, owing to the fiscal boost to disposable income and lower interest rates. Nonetheless, real GDP is projected to have increased by an annual rate of only 1½ per cent in the first half of 2001 (Table 5), implying a virtual stagnation in the second quarter. From mid-year, a gradual recovery in the US economy (expected to grow above 3 per cent in 2002) and the transmission of monetary easing at home should make for a revival in activity as aggregate demand becomes more broadly based. During the course of 2002, real GDP growth is projected to exceed its potential rate again.

The re-emergence of a modest degree of slack in the economy, which will probably not be taken up before late in the projection period, should put some downward pressure on prices. There are, however, some factors that are likely to limit the impact of excess supply on inflation. Although unemployment is

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Table 5. **Short-term projections**[1]

Percentage change over previous period, s.a.a.r., volume

	1997 C$ billion[2]	2001	2002	S1 2001	S2 2001	S1 2002	S2 2002
Private consumption	512.5	3.0	2.7	2.3	2.4	2.7	3.0
Government consumption	171.7	1.7	1.5	1.6	1.5	1.5	1.5
Gross fixed investment	167.9	2.1	5.8	1.1	4.0	6.2	6.6
Public	18.5	3.6	3.5	4.0	3.5	3.5	3.5
Private residential	45.1	4.5	4.2	6.0	3.2	4.3	4.8
Private non-residential	104.2	0.9	6.7	–1.0	4.3	7.4	7.8
Final domestic demand	**852.1**	**2.6**	**3.1**	**2.4**	**2.6**	**3.2**	**3.5**
Stockbuilding[3]	10.6	–0.3	0.1	–0.3	0.0	0.1	0.1
Total domestic demand	**862.7**	**2.2**	**3.2**	**2.0**	**2.5**	**3.3**	**3.6**
Exports of goods and services	346.5	1.4	6.8	–0.6	5.4	6.9	7.8
Imports of goods and services	331.5	1.7	7.0	0.8	5.9	7.1	7.9
Foreign balance[3]	**15.0**	**–0.1**	**0.2**	**–0.6**	**0.0**	**0.2**	**0.3**
Error of estimate[3]	0.2	0.0	0.0	0.0	0.0	0.0	0.0
GDP at market prices	**877.9**	**2.2**	**3.2**	**1.5**	**2.5**	**3.4**	**3.7**
Unemployment rate		**7.2**	**7.2**	**7.0**	**7.2**	**7.2**	**7.2**
Inflation and wages							
GDP implicit price deflator		2.2	2.1	2.0	2.1	2.1	2.0
Private consumption deflator		2.4	2.0	2.4	2.2	2.0	1.9
Private compensation per employee		3.0	3.4	3.7	3.5	3.4	3.4
General government balance (per cent of GDP)		**2.6**	**2.2**	**2.9**	**2.3**	**2.2**	**2.2**
Interest rates							
Short-term		4.7	4.6	4.8	4.5	4.5	4.7
Long-term		5.4	5.3	5.5	5.3	5.3	5.3
Current balance (per cent of GDP)		**2.9**	**3.0**	**3.0**	**2.8**	**2.9**	**3.0**

1. Updated version of the projections published in the OECD *Economic Outlook* 69, June 2001, taking account of national accounts revisions and new information available by mid-July. Other than the current balance, however, the only changes are to the first half of 2001. Revised projections will be released only in November in the next *Outlook*.
2. Current prices.
3. Contribution to GDP volume growth.

Source: Statistics Canada and OECD.

expected to show a further modest increase, wage growth will take time to moderate. Moreover, according to some indicators, longer-term inflation expectations have moved up somewhat (Chapter II). Nonetheless, overall consumer price inflation is expected to converge to the mid-point of the official 1 to 3 per cent target range, on the assumption that world energy prices remain close to current levels. The external balance is expected to weaken a bit, due to some terms-of-trade losses and declining real net exports, but should remain in comfortable surplus.

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Risks to the outlook would seem to concern mainly developments in the United States. Improved macroeconomic fundamentals together with the business sector's favourable financial condition have put the economy in a better position to withstand an international downturn than it was in the early 1990s. Nonetheless, given the strong trade and financial linkages between the two countries, a US recession would obviously have serious consequences for the Canadian economy. On the domestic side, there may be some downward risk to capital spending, although the fact that Canadian businesses have invested less in ICT-related goods and services in recent years than their US counterparts suggests that over-investment is not a serious concern. There is also some risk that slower employment growth and recent drops in equity prices could weaken consumer confidence, tempering increases in household spending. On the other hand, there is the possibility that stimulatory policies both abroad and at home lead to a stronger economic upturn next year than expected. The projections assume unchanged exchange rates and incorporate a modest interest-rate increase in mid-2002 when activity is projected to approach potential output again. While this would seem to be consistent with the official inflation-control target, significant deviations from the central scenario described above would require adjustments to monetary conditions.

The medium-term outlook

Assuming that the risks to the near-term outlook just discussed do not materialise, the OECD medium-term scenario (Table 6) is that over the first half of the new decade real GDP growth in Canada could average just over 3 per cent per annum. This is the same rate as projected for the OECD as a whole and would be a better performance than realised on average over the last decade. It would mean, however, slower growth than achieved in recent years, even though the rate of expansion in estimated potential output has increased somewhat. This is because the economy is now seen to be operating close to capacity; during the 1990s there was slack to be taken up, allowing above-potential growth. Domestic demand is projected to grow faster than GDP, reflecting renewed growth in government expenditure and robust fixed capital formation. Real net exports are expected to fall somewhat as external markets expand at a slower rate than in recent years. The current account is nevertheless projected to remain in surplus, on the assumption that recent gains in Canada's terms of trade can be largely sustained. At the same time, inflation is expected to stay easily within the (current) official target range, even if somewhat higher than in the past given the absence of excess supply. On the assumption of ongoing fiscal surpluses, the government debt-to-GDP ratio is projected to continue to fall swiftly, which should help keep interest rates low.

A major uncertainty related to this favourable scenario is whether recent improvements in potential output growth can be sustained. Labour-force participation might not hold up so well as assumed. If recent changes to labour-market

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Table 6. **A medium-term scenario**
Average annual percentage change, volumes

	1992-1999[1]	2000-06
Private consumption	2.9	3.0
Government consumption	–0.2	1.7
Fixed capital formation	5.2	5.8
Stockbuilding[2]	0.2	0.0
Total domestic demand	2.9	3.4
Exports	9.5	6.6
Imports	8.3	7.3
Real foreign balance[2]	0.5	–0.2
Real GDP	3.4	3.1
Output gap[3]	–2.6	0.0
Potential output	2.6	3.1
Labour productivity	1.5	1.6
Employment	1.9	1.5
Participation rate (per cent)	65.4	66.5
Unemployment rate (per cent)	9.6	7.0
Private consumption deflator	1.5	2.0
GDP deflator	1.2	2.3
Private compensation per employee	2.8	3.4
Current balance[2]	–1.7	1.8
General government financial balance[2]	–3.8	2.4
Real exchange rate	–3.2	–0.1
Short-term interest rate (per cent)	5.3	5.0
Long-term interest rate (per cent)	7.3	5.5

1. The historical data is based on data before the recent revisions to the national accounts in order to be comparable with the medium-term projections.
2. Per cent of GDP.
3. Per cent of potential output.

Source: Statistics Canada and OECD.

policies (see Chapter IV) continue, the structural rate of unemployment could rise significantly. At the same time, the projected rate of fixed capital formation may prove to be optimistic, while it is still not clear to what extent trend productivity has picked up. Finally, even if potential output were to develop as projected, the fact that the economy is now operating much closer to capacity than over most of the 1990s is a challenge to policy makers, as it heightens the risk of inflation pressures developing. Some of the microeconomic issues which impinge on the economy's potential are addressed in the last chapter of the *Survey* while the next chapter discusses the macroeconomic policy settings which could contribute to continued favourable performance.

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II. Macroeconomic policies

The macroeconomic policy framework that has been put in place over the 1990s with a view to re-establishing stability and thus enhancing economic performance has been put to the test during the past year. The challenge for monetary policy since mid-2000 has been to balance the risk of inflationary pressures developing against spreading signs of a weakening in external demand. The authorities' task has been complicated by the fact that, while most conventional measures of the output gap suggested that the economy was operating above potential in the second half of 2000, underlying inflation remained relatively benign during that period. An additional difficulty has been the divergence between headline inflation, which repeatedly overshot the official inflation target, and indicators of underlying inflation, which have remained well within the target range. In light of the slowing pace of growth and movement towards a position of excess supply, the Bank of Canada has reduced interest rates in several steps since late January 2001, albeit to a lesser extent than the US Federal Reserve. This reflects the Bank's assessment that the economic slowdown has been largely a consequence of the marked easing in US growth, with final domestic demand maintaining its underlying momentum. Fiscal policy has changed course, too. Following the achievement of substantial budget surpluses, the authorities have moved to lowering the tax burden on households and businesses. While this was decided well before the economic slowdown manifested itself and was primarily motivated by supply-side considerations, the tax reductions – which had risked adding demand to an economy that risked overheating – have turned out to be well timed and should help sustain economic expansion. The following sections review monetary and fiscal policies in more detail.

Monetary management

The operational framework

In conducting monetary policy, the Bank of Canada is guided by explicit inflation-control targets established jointly with the government. The current 1 to 3 per cent target range, which has been in place since 1995, has recently been extended through 2006 (see below). The inflation target is expressed in terms of

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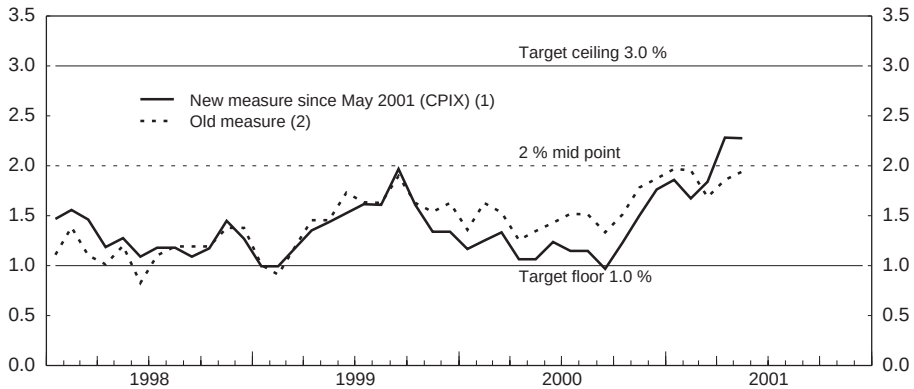
Figure 8. **Measures of core inflation**
Percentage change (year-on-year)



1. CPI excluding the eight most volatile components (fruits, vegetables, gasoline, fuel oil, natural gas, mortgage interest, inter-city transportation and tobacco products) as well as the effect of indirect taxes on the remaining components.
2. CPI excluding food, energy and the effect of indirect taxes.

Source: Bank of Canada.

the year-over-year rate of increase in the total Consumer Price Index (CPI). However, as a basis for policy actions, the Bank uses a core CPI that excludes the more volatile components as well as the effect of indirect-tax changes and is thus a better measure of underlying inflation (Figure 8). Indeed, since monetary policy works slowly (its effects being spread over one to two years), it would be counterproductive to try and offset short-term price fluctuations, though it is important to guard against temporary shocks leading to second-round effects on wages and prices. Because the overall CPI and the core CPI measure have tended to move together over time (since divergences from the trajectory of the core rate reflect temporary supply-side shocks), achieving the target for the latter should also achieve it for the former. Nonetheless, if there were likely to be a persistent divergence in the movements of the two indicators, the total CPI measure would ultimately provide the basis for inflation targeting.

Because of the lags between monetary policy actions and their effects on the price level, central banks that target inflation treat the projected rate of inflation as the intermediate target of policy. This has given the model-based inflation forecast a central role in the Bank's decision-making process. However, these forecasts have always been modified by judgmental adjustments and supplemented by, and confronted with, other indicators of future inflation, such as monetary

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aggregates. Recently, this informal cross-check has been formalised. A forecast based on monetary aggregates (also model-based with added judgement) is now presented to the Bank's management together with the model-based projection, complemented by information contained in other financial measures (such as the spread between long- and short-term interest rates, and between the yields on conventional and indexed bonds). At the same time, information that the Bank's regional representatives gather from a survey of businesses and associations across the country is assessed. The relative weight given to each of these three sources will evolve over time with their respective track records in forecasting inflation.

The Bank implements monetary policy by changing the target overnight rate, the rate at which it conducts its open-market operations. The target is at the mid-point of the operating band, the lower bound of which is the interest rate on deposits at the Bank of Canada and the upper bound is the rate on loans from the Bank. By modifying official rates the authorities influence other interest rates as well as the exchange rate of the Canadian dollar. The Bank now places less emphasis on the Monetary Conditions Index (MCI), which tries to capture in one measure the combined effect of short-term interest rates and the effective exchange rate, although it still uses the concept of "monetary conditions" in describing policy. As discussed in last year's S*urvey*, the MCI posed problems as an operational target and has not been particular helpful as a communication device.

Nonetheless, given the high degree of openness of the Canadian economy, the exchange rate continues to play an important role in the assessment of monetary conditions. However, before responding to exchange-rate movements, the authorities carefully analyse their likely causes. If they appear to reflect a "real" shock to fundamentals, the Bank is prepared to intervene only should a lack of confidence in Canadian dollar assets lead to extrapolative expectations of a sharp and sustained drop in the currency.[3] While it is sometimes difficult to make a judgement on the source of, and the appropriate response to, exchange-rate movements, the authorities consider that the inflation-targeting framework and the floating-exchange-rate regime work well together, and indeed reinforce each other. The inflation target helps to anchor expectations regarding the currency's value in world markets. In turn, the floating exchange rate provides Canada with the scope to pursue an independent monetary policy and buffers the effects of external shocks to the economy.

The authorities consider that monetary policy works better when the central bank effectively communicates its objectives and the rationale for policy moves against the backdrop of its assessment of the current state and outlook for the economy. In the past year, a number of new initiatives have been taken to improve the public's understanding of the reasoning behind the Bank's actions. After introducing "Recent Developments: An Update to the Monetary Policy

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Report" in the winter 1999-2000 Bank of Canada Review, the Bank began publishing a formal *Update* to its semi-annual *Monetary Policy Report* in August 2000. This ensures a continuous (quarterly) flow of information. Moreover, following a consultation process, the Bank decided that, beginning on 5 December 2000, official interest-rate changes would be made only on eight pre-established dates per year, except in extraordinary circumstances. The dates were fixed primarily with reference to the release of important Canadian economic data. The Bank expects that fixed announcement dates will help to make monetary policy more effective by removing uncertainty in financial markets about the timing of interest-rate changes. They are also intended to focus greater attention on the economic and monetary situation in Canada and to underscore the medium-term perspective that underlies monetary policy. The transition to the new regime has gone quite smoothly, with no significant disruptions in financial markets between policy announcements in the United States and Canada. A great deal of attention is still being focused on US developments, but this is understandable given the high degree of linkage between the two economies.

The recent conduct of policy

With the exchange rate having weakened and interest rates being cut, monetary conditions have eased markedly over the past year (Figure 9). Both interest rates and the exchange rate are now back to about their levels prevailing in the aftermath of the Asian financial crisis. Following a series of interest-rate increases from November 1999 to May 2000, which were aimed at reducing inflationary risks of rapid growth, the Bank held official rates constant (at 6 per cent for the overnight rate target). Although the economy continued to expand briskly, core inflation had kept running in the lower half of the official target range, leading the Bank to raise its estimate of productive potential and to re-assess inflationary risks. While official interest rates remained unchanged, three-month commercial-paper rates began to drift downward, however, in the second half of 2000. Market participants were apparently becoming increasingly convinced that the tightening cycle had come to an end, given signs that the US economy was slowing down.

On its first fixed announcement date in early December, the Bank left official interest rates unchanged, and then lowered them by only 25 basis points on the next announcement date in late January. The decision to ease the monetary stance less aggressively than the US Federal Reserve reflected the Bank's assessment that economic slack had been largely absorbed along with the fact that inflation had accelerated a little faster than expected. However, with increasing downside risks to US demand and new information showing that Canadian economic growth in late 2000 was not as strong as previously assumed, the authorities reduced interest rates by 50 basis points in early March, and again by 25 basis points both in mid-April and late May. The decisions taken on the first two

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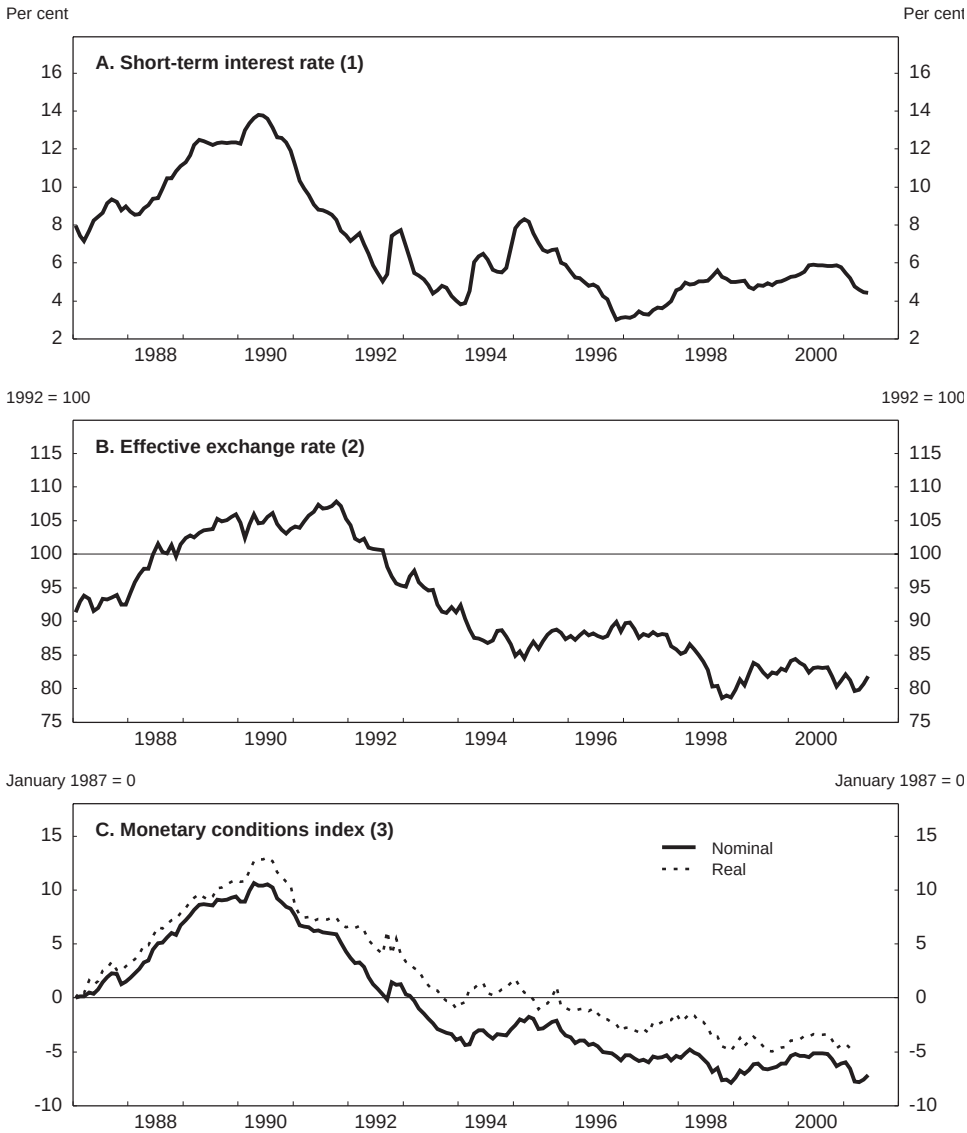
Figure 9. **Monetary conditions**



1. 90-day commercial paper rate.
2. Canadian dollar against 6 major foreign currencies (weighted average index).
3. Weighted average of changes in the interest rate (¾) and in the effective exchange rate (¼).

Source: Bank of Canada.

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announcement dates were broadly in line with market expectations. Subsequently, market interest rates declined much faster than official rates. This tendency was reversed only recently, with commercial-paper rates hardly moving at the time of the latest official rate cut. Markets have apparently revised their expectations concerning future interest-rate developments and accepted the Bank's stated policy to refrain from making interest-rate changes between announcement dates. With cumulative rate cuts (of 125 basis points) falling well short of those in the United States (250 basis points), the negative short-term interest-rate differential that existed through most of the past five years and throughout 2000 has disappeared (Figure 10, Panel A).

Like short-term interest rates, the exchange rate started weakening in the second half of 2000. This trend was temporarily reversed around the turn of the year but resumed thereafter. The ephemeral exchange-rate appreciation reflected an adjustment of the US dollar against other major currencies in response to the faster slowdown in the United States than generally in the rest of the world and the decline in US interest rates. This tendency was short-lived, however, as "flight to safety" considerations have apparently gained the upper hand in an uncertain economic environment. The effective depreciation of the Canadian dollar over the past year is attributable to the strength of its US counterpart. Against other major currencies, the Canadian dollar has appreciated or remained stable over that period. Nonetheless, its historically low value against the US dollar has become an issue in the public debate. Some have argued that it reflects the size of the public sector relative to the United States. However, the effect of higher taxes and government spending on the exchange rate is demonstrably not robust. The major causal factor seems to be the development of non-energy commodity prices, which have weakened over time and again in the recent period. While commodity exports have declined as a share of gross exports, their importance in terms of net exports and GDP has actually grown. Still, given improved economic fundamentals (and in particular a sizeable current-account surplus), there would seem to be scope for the Canadian dollar to appreciate somewhat over the medium term. Indeed, it has strengthened somewhat since April.

In contrast to short-term interest rates, long-term rates have remained broadly stable over the past year. After being inverted for most of 2000, the yield curve has become increasingly upward sloping beginning in late November (Figure 10, Panel B). The steeper yield curve may reflect market participants' view that economic activity will recover after a temporary easing in interest rates given unchanged long-term inflation expectations. Since long-term interest rates in the United States have declined somewhat over the past year, a positive Canada/US long-term interest-rate spread has re-emerged (Figure 10, Panel A). This is partly due to the expectation that the economic downturn in Canada will be less pronounced than in the United States, and that short-term interest rates would therefore have to decline less than their US counterparts in order to revitalise the

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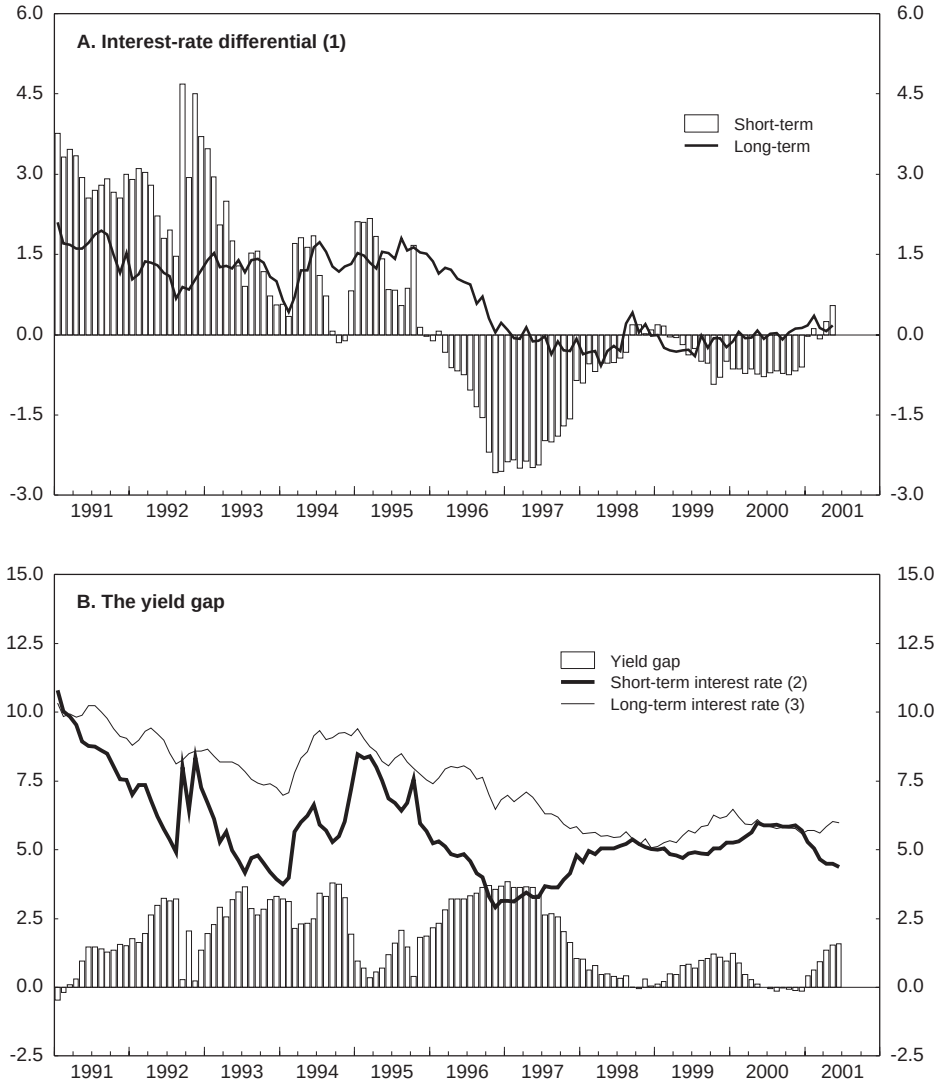
Figure 10. **Interest-rate differentials and the yield gap**

Per cent



1. *Vis-à-vis* the United States.
2. 3-month commercial paper rate.
3. Over-10-year government bond yield.

Source: Statistics Canada and OECD.

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economy. In addition, rising uncertainty in global financial markets and a "flight to safety" have pushed US bond yields down relative to Canadian yields. The positive long-term interest-rate differential is likely to continue so long as economic growth in Canada is expected to outpace that in the United States and global financial-market nervousness persists. The differential between conventional and real return bonds has exceeded 2 per cent. The Bank has emphasised that it cannot be inferred that long-term inflation expectations are exactly at the level implied by this measure. Nonetheless, it seems clear that such expectations have moved up from the lower half to the central area of the official inflation-control range.

Money and credit aggregates

Despite some slowdown, growth in the narrow monetary aggregates remains strong (Table 7). Excluding the various distortions in the data and incorporating the current negative outlook for the US economy, the evolution of the narrow aggregates implies some 3 per cent real GDP growth in 2001 (stronger than the Bank's model-based forecast), and core inflation of around 2 per cent in the same period. The expansion of M2++, the Bank's preferred measure of broad money, has also maintained a relatively rapid pace, reflecting the increasing size

Table 7. **Money and credit**

Per cent change over previous period, annual rates

	1997	1998	1999	2000	Q4 2000	Q1 2001
Monetary growth						
Gross M1	16.1	10.9	7.2	14.5	9.3	11.5
M1	15.8	11.7	3.1	15.5	8.7	8.2
M2	–0.1	–0.0	2.7	5.9	4.9	4.2
M3	4.6	3.9	3.1	7.9	4.9	4.4
M2+	0.9	–0.5	3.5	5.3	3.7	6.1
M2++	7.7	7.7	6.4	8.5	10.7	7.4
Credit expansion						
To business sector	8.0	10.8	5.8	7.1	6.7	3.0
of which: Short-term	7.2	11.7	1.1	6.4	11.9	–1.5
To household sector	6.6	6.4	5.3	6.7	5.0	5.6
Consumer credit	10.1	10.6	7.4	11.8	8.0	6.2
Residential mortgages	5.3	4.8	4.4	4.6	3.7	5.3
Memorandum items:						
Nominal GDP growth	5.5	3.5	6.5	8.3	2.7	7.6
Income velocity (GDP/M1)	–8.9	–7.3	3.2	–6.2	–5.4	–0.6
Income velocity (GDP/M2)	5.6	3.5	3.6	2.3	–2.0	3.3
Income velocity (GDP/M3)	0.8	–0.4	3.3	0.4	–2.1	3.1
Income velocity (GDP/M2++)	–2.1	–3.9	0.0	–0.2	–7.2	0.2

Source: Statistics Canada.

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of mutual funds. Its recent growth would imply somewhat higher core inflation than suggested by the narrow aggregates, close to the upper limit of the inflation-control target range in the near term.

Business-sector credit expansion has slowed markedly in recent months (Table 7), reflecting the slowdown in activity. Short-term credit, in particular, has been quite weak of late since, with increased uncertainty over the economic outlook, firms have been favouring long-term financing. Credit conditions, as measured by corporate/government bond yield spreads, have tightened somewhat (albeit much less than in the United States) as lenders have become more risk-averse at this point in the cycle. Survey evidence suggests that non-investment grade borrowers face significant credit constraints, while investment grade borrowers have seen little deterioration in credit availability. Indeed, with high profits limiting the demand for external financing, corporate debt ratios have declined significantly in recent years to historically low levels. Household-sector credit growth has also moderated somewhat but has remained near its average rate recorded in the 1990s. This is consistent with sustained growth in personal spending on consumer goods and housing as described in the previous chapter.

The renewal of the inflation-control target

When the authorities introduced the inflation-targeting framework ten years ago, they set a path for inflation reduction up to the end of 1995 and announced that there would be further reductions thereafter until price stability was achieved. Subsequently, the decision on the definition of price stability was delayed and the 1995 target (that is, 1 to 3 per cent) extended until the end of 1998. The authorities felt that more experience in operating under conditions of low inflation would be helpful before an appropriate longer-term objective was determined. They also argued that Canadians needed more time to adjust to the improved inflation outlook. Another extension of the target through to the end of 2001 was intended to enable the authorities to assess the functioning of the framework over a full cycle. In recent years, they have been engaged in extensive research on the merits of changing the inflation target and/or refining the framework to enhance its effectiveness.[4]

In mid-May the authorities announced that they would maintain the current target range for another five years, but that the Bank would strengthen the way the framework is implemented. In particular, they emphasised that monetary policy needs to aim at the 2 per cent target mid-point in order to both maximise the likelihood that inflation stays within the target range and enhance the predictability of inflation over longer-time horizons. Moreover, if CPI inflation persistently deviates from the target mid-point, the Bank will give special attention in its reports to explaining why this has occurred, what steps are being taken in response, and when inflation is expected to return to the mid-point. In addition,

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as an operational guide to policy, the Bank decided to adopt a broader measure of core inflation, which includes 84 per cent of the consumer basket as opposed to the 74 per cent included in the current measure of core CPI (Figure 8). These moves address a number of concerns for the current framework and should enhance its effectiveness and credibility.

Research has focused on the implications of downward nominal-wage rigidity, and the possible improvement in performance that might result from introducing an element of price-level targeting. The issue of wage rigidity is critical to defining the appropriate long-run target for monetary policy. Moving further towards price stability (that is, in the case of Canada, CPI inflation around ½ per cent, given the measurement bias) would entail efficiency gains to the economy, although these are difficult to evaluate. The question is whether they can be expected to outweigh potential costs associated with downward nominal rigidities that impede economic adjustment and increase employment and output volatility. Different researchers have reached quite different conclusions regarding the extent and impact of downward nominal-wage rigidity in Canada. The majority view is that there is evidence of downward rigidities at the micro level, but that their effect on aggregate employment and output appears to be small. It is possible, however, that nominal wages are flexible only over a narrow range and that larger declines could meet more resistance. Thus, it is not clear whether moving to a lower inflation target would produce significant net benefits.

Price-level targeting (with or without trend growth) would provide a firmer anchor for expectations since it precludes long-run price-level drift, which is possible under the inflation-targeting framework. However, it involves a higher probability of deflationary episodes because monetary policy is required to reverse an overshooting of the target level. Although recent research suggests that such an approach might reduce inflation variability without increasing output volatility, such results are based on a number of assumptions such as a persistent output gap, forward-looking expectations and credibility of the price-level target. Even if these conditions are met, the costs of the transition from an inflation- to a price-level target need to be considered. There may also be problems in trying to explain such a regime to markets and the public.

The fiscal stance

The strategy

Since 1993, the federal budget has been based on two key elements: a two-year planning horizon and systematically prudent macroeconomic assumptions. This framework contributed to the rapid elimination of the large budget deficit, which had been nearly 6 per cent of GDP at that time. In recent years, a balanced budget has been targeted *ex ante*, with a commitment to use the contingency

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reserve, when it is not needed, to pay down public debt. Given rising *ex post* budget surpluses, last October the government enhanced this commitment: each autumn it will announce an amount for that year's debt reduction (beyond the contingency reserve), depending on the economic circumstances of the day. Moreover, it expects to bring down its debt from somewhat over 50 per cent of GDP currently to 40 per cent of GDP (public-accounts basis) within five years. The government has also reconfirmed its rule of thumb to allocate any budget surpluses so that, over the course of its mandate, one half goes to debt reduction and tax cuts, and the other half is spent on new programmes (see Chapter III).

In terms of revenues and expenditures, the provinces and territories combined are more important than the federal government. While their budget strategies differ widely, they have tended to introduce more formal fiscal frameworks than exist at the federal level. Most of them have implemented legislated fiscal rules (see Chapter III). Legal obligations to repay debt are not so widespread, but the majority now has balanced-budget legislation, with varying degrees of flexibility. Importantly, the two largest provinces, Ontario and Quebec, which together account for more than half of Canada's population, have recently adopted such a fiscal framework.

General government

The general government financial surplus, which had remained relatively small in 1997 and 1998, widened markedly thereafter, to reach 3¼ per cent of GDP in 2000 (Figure 11). This compares favourably with the United States and the OECD average, where surpluses amounted to 2¼ per cent and ½ per cent of GDP, respectively. It also represents a remarkable turnaround from the situation prevailing in the early 1990s, when Canada's deficit peaked at around 9 per cent of GDP. The further rise in government net lending in 2000 reflects the strong expansion of the economy and easing debt-service charges. Although the overall structural budget balance continued to improve (Figure 11, Panel B), the stabilisation of the cyclically-adjusted primary surplus suggests that the fiscal stance was broadly neutral for the government as a whole. At the same time, however, budget surpluses entailed a significant decline in the public debt-servicing burden (Figure 11, Panel C), which nevertheless remains relatively high both by historical and international standards.

All levels of government registered a further improvement in their fiscal positions in 2000. It was most pronounced, however, in the case of the federal government (Figure 10, Panel A), where net lending rose from ¾ per cent to 1¾ per cent of GDP, accounting for more than two-thirds of the overall improvement in government finances. The provincial surplus showed only a small further increase to just over 1 per cent of GDP. Local government finances moved into slight deficit although provinces stepped up transfers to municipalities. At the same time, with

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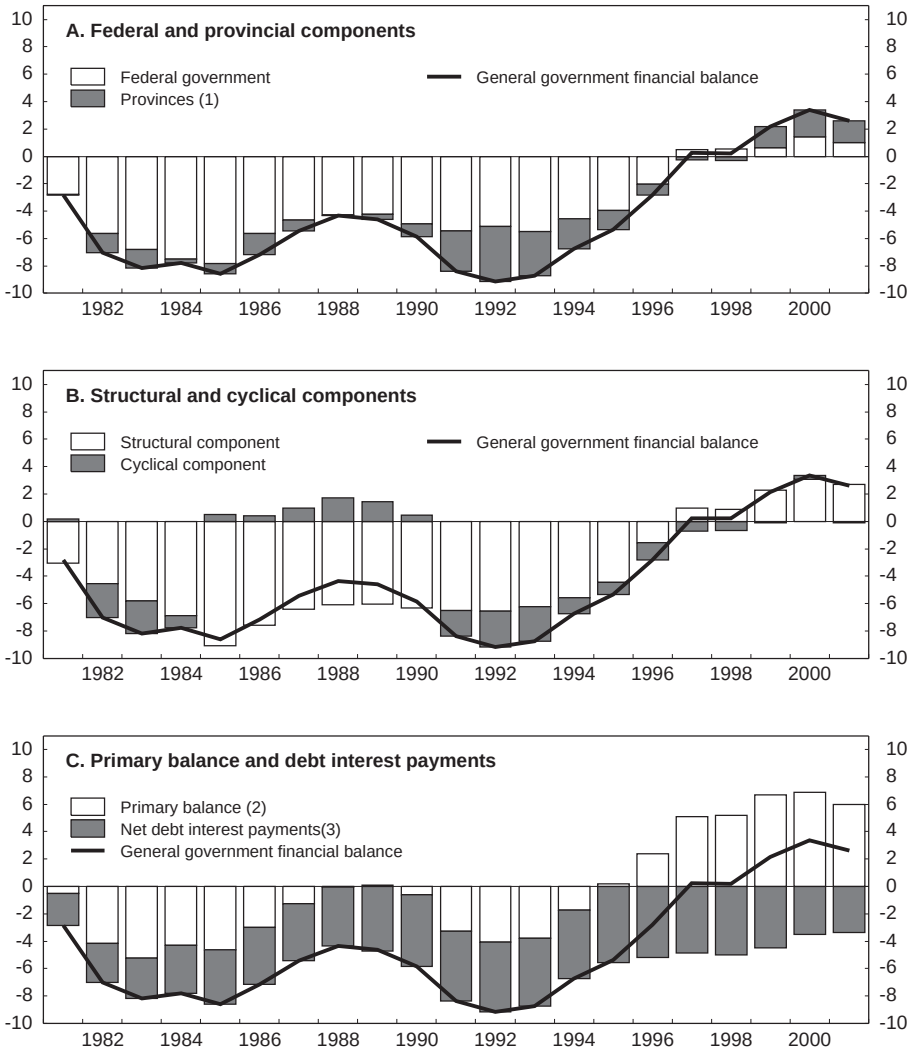
Figure 11. **Decomposition of the general government financial balance**
Per cent of GDP (National Accounts basis)



Note: 2001 data are OECD projections.
1. Including territories, local governments, hospitals and Canada and Quebec Pension Plans.
2. Excluding debt service.
3. Interest payments are shown with a negative sign.
Source: Statistics Canada; OECD estimates.

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the accelerated rise in contribution rates decided three years ago to partially prefund public pensions, the Canada and Quebec Pension Plans have produced growing surpluses, contributing ⅓ percentage point of GDP to the increase in general government net lending in 2000.

Tax cuts and spending increases in recent federal and provincial budgets imply an easing in the fiscal stance. In addition, cyclical conditions are less favourable than during the past few years. As a result, the general government financial balance is likely to deteriorate in 2001 for the first time since the early 1990s. Nonetheless, on the basis of current budget plans and OECD projections for the economy, government finances should remain in a comfortable surplus position. The following sections review budget developments at the federal and provincial levels in more detail. While the discussion so far was based on national-accounts statistics, it will henceforth refer to public-accounts data, which in practice have tended to show somewhat less favourable budgetary balances.

Federal government

In the February 1999 Budget, the federal government committed itself to "a balanced budget or better" for the fiscal year ending in March 2000. This objective was reconfirmed in the February 2000 Budget, with net revenue windfalls due to stronger-than-expected economic expansion being used for new spending initiatives in priority areas (health care, education, innovation). The final financial data for 1999-2000, published in the autumn, then showed, however, that, despite these initiatives, the budget outcome was much better than expected. While in the two previous fiscal years the fiscal surplus was limited to the C$ 3 billion contingence reserve, it exceeded C$ 12 billion (1¼ per cent of GDP) in 1999-2000. This was mainly due to the fact that revenues, and in particular income tax receipts, had continued to surprise on the upside as the economic recovery gathered momentum (Table 8). In the February 1999 Budget, nominal income growth, based on private-sector forecasts adjusted for prudence, was projected to be only about 2½ per cent. In the end, it turned out to have been more than double that rate. More-favourable-than-assumed economic conditions also resulted in lower transfers to persons, in particular employment-insurance benefits. Given additional spending (primarily in the form of higher transfers to other levels of government), total programme expenditure in 1999-2000 was somewhat higher than envisaged in the 1999 Budget. However, it remained significantly below the level estimated at the time of the 2000 Budget because of unexpectedly favourable net profits of Crown corporations and lower-than-assumed year-end liabilities. Together with buoyant personal income tax collections towards the end of the fiscal year, this explains the substantially higher budget surplus for 1999-2000, all of which was applied to reducing the net public debt.

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Table 8. **Federal budget scorecard for 1999-2000**
C$ billion

	Difference from estimates in the	
	1999 Budget	2000 Budget
Revenues	**9.0**	**5.8**
Personal income tax	4.4	2.9
Corporate income tax	2.3	0.7
Other income tax	0.6	0.2
Employment insurance	0.2	0.0
Excise taxes and duties	0.6	0.9
Non-tax revenues	0.8	1.1
Programme spending	**0.6**	**–3.7**
Transfers to persons	–2.2	–0.3
Transfers to other levels of government	3.0	–0.3
Direct programme spending	–0.1	–3.1
Public debt charges	–0.9	0.1
Contingency reserve	–3.0	–3.0
Budgetary outcome	**12.3**	**12.3**
Memorandum items:		
Nominal GDP (percentage points)	4.0	1.1
Short-term interest rates (basis points)	–38	2
Long-term interest rates (basis points)	–5	5

Source: Department of Finance and Statistics Canada.

The February 2000 Budget allocated nearly C$ 8 billion (¾ per cent of GDP) for new initiatives in 2000-01 (Table 9). More than half of this amount was devoted to tax relief, as the first instalment of a five-year tax reduction plan (see below). New funds were provided for health care, education, public infrastructure and the environment, building upon measures introduced in previous Budgets. Given the much larger than foreseen surplus finally recorded for 1999-2000, in its October 2000 Economic Statement and Budget Update, the government then presented a "mini-budget", where it expanded the announced tax reductions and introduced some additional spending initiatives while accelerating debt reduction. Although the new measures amounted to more than ½ per cent of GDP, a minimum of C$ 10 billion (1 per cent of GDP) was targeted for debt repayment in 2000-01. Since the October Update, most of the major revenue components have continued to register stronger-than-expected gains, in spite of the slowing in economic growth. As a result, the surplus for 2000-01 is likely to have been higher than that achieved in 1999-2000 (in its May Economic Update the government indicated that it might have exceeded C$ 15 billion or 1½ per cent of GDP). In the current fiscal year, the budget surplus will start falling, but OECD projections suggest that debt repayment well in excess of the C$ 3 billion contingency reserve should again be possible.

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Table 9. **Recent federal budget initiatives**
C$ billion

	2000 Budget		Between 2000 Budget and October Update	
	2000-01	2001-02	2000-01	2001-02
Spending initiatives	3.1	3.9	3.5	3.6
of which:				
Canada Health and Social Transfer	–	–	–	2.8
Tax relief	4.6	8.1	1.6	7.0
of which:				
Personal income tax	2.8	4.4	1.4	5.7
Corporate income tax	–	0.3	–	0.2
Debt reduction	–	–	10.0	–
Total	7.7	12.0	15.1	10.6

Source: Department of Finance.

The tax measures announced in the October 2000 "mini-budget" not only speed up those announced in the February 2000 Budget and summarised in last year's *Survey*, they also go further in some respects. At the beginning of 2001, all personal income tax rates were lowered (including the middle tax rate, which was already reduced in July 2000) and the deficit-reduction surtax on high incomes was eliminated (rather than reduced). Marginal federal tax rates now range from 16 to 29 per cent, with a newly created fourth tax bracket. Moreover, the income inclusion rate for capital gains was cut again to one-half in October 2000. At the same time, a specific schedule was set for lowering the basic federal corporate income tax rate. After being reduced by 1 percentage point at the beginning of 2001, it is to be cut by 2 percentage points in each of the following three years. The basic rate applies to corporate income not eligible for special tax treatment, concerning industries other than manufacturing and processing (which already benefit from a lower rate) or the resource sector (which benefits from special tax preferences). Its reduction will thus diminish distortions in the tax system by levelling the playing field. When the tax cuts are fully implemented in 2004, the combined federal-provincial corporate and capital gains tax rates would be below current US levels. On the other hand, despite the significant reductions enacted, personal income tax rates remain higher in Canada than in the United States (except for the lowest incomes). The US tax cuts proposed by the Administration, if fully implemented, would broadly re-establish the previously existing personal income tax gap between Canada and the United States.[5] Given Canada's choice to provide a higher level of public services and its larger debt-service burden, the scope for further tax relief is limited, however.

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Provincial governments

Although the provinces began to cut taxes earlier than the federal government, their fiscal position has also improved in recent years as robust economic growth and higher energy prices have boosted own-source revenues and federal transfers have been stepped up again. Following more than 30 years of continuous deficits, the provincial-territorial sector moved into a slight surplus position in the fiscal year 1999-2000 (Table 10).[6] While most of the Atlantic provinces and territories

Table 10. **Provincial budgetary balances and debt**
Public accounts basis, per cent of GDP[1]

	Budgetary surplus/deficit (–)				Net debt/asset (–)[12]			
	1998-99	1999-2000	2000-01	2001-02	1998-99	1999-2000	2000-01	2001-02
Newfoundland[2]	0.0	–0.2	–0.2	–0.2	43.5	41.1	38.9	–
Prince Edward Island	0.2	–0.2	–0.2	0.0	34.7	34.2	33.0	31.8
Nova Scotia[3]	–1.8	–3.4	–0.8	–0.4	48.7	50.1	48.7	48.0
New Brunswick	–0.9	0.0	0.2	0.2	33.9	37.0	34.5	33.2
Quebec	0.1	0.0	0.2	0.0	42.5	40.3	37.3	36.0
Ontario[4]	–0.5	0.2	0.7	0.0	30.8	28.7	25.6	24.7
Manitoba[5]	0.1	0.0	0.1	0.0	22.6	21.7	21.3	21.1
Saskatchewan[6]	0.1	0.3	0.2	0.0	24.8	23.5	21.7	21.0
Alberta[7]	1.0	2.3	4.6	0.4	4.6	1.8	–3.0	–3.3
British Columbia[8]	–0.9	0.0	1.0	0.8	10.9	10.8	9.0	8.5
Yukon[9]	2.8	–1.5	–3.2	–2.3	–7.6	–5.9	–4.3	–2.2
Northwest Territories	–1.3	–0.6	1.1	0.1	–1.7	–1.4	–2.5	–2.5
Nunavut[10]	–	7.4	–5.2	–4.7	–	–8.4	–3.1	1.6
All Provinces and Territories	**–0.3**	**0.3**	**1.0**	**0.2**	**27.3**	**25.5**	**22.6**	**–**
Federal government[11]	**0.3**	**1.3**	**1.4**	**0.6**	**63.0**	**57.9**	**52.0**	**50.5**
Total	**0.1**	**1.6**	**2.4**	**0.8**	**90.3**	**83.4**	**74.6**	**–**

1. GDP figures for individual jurisdictions are based on pre-June Statistics Canada estimates. GDP figures for the federal government and the aggregates are from the June 2001 *National Accounts*.
2. Budgetary balance includes a contingency reserve of C$ 30 million for 2000-01.
3. Budgetary balance takes into account sinking funds earnings, consolidation adjustments for government service organisations and the net income (losses) of government business enterprises.
4. Budgetary balance includes the impact of electricity restructuring in 1999-2000 and 2000-01 and the C$ 1 billion reserve in 2001-02.
5. Budgetary balance includes transfers to/from the Fiscal Stabilisation Fund and contributions to the Debt Retirement Fund.
6. Budgetary balance includes transfers to/from the Fiscal Stabilisation Fund.
7. Budgetary balance includes the net change in capital assets and deducts the contingency reserve.
8. Budgetary balance is on a Summary accounts basis. It includes a forecast allowance of C$ 150 million in 2000-01 and C$ 300 million in 2001-02. Net debt is on a consolidated revenue fund basis.
9. Budgetary balance includes contingency reserves of C$ 1.5 million in 2000-01 and C$ 2.5 million in 2001-02.
10. Budgetary balance includes a contingency reserve of C$ 10 million in 2001-02.
11. Based on private-sector forecasts. Budgetary balance for 2001-02 includes a contingency reserve of C$ 3 billion.
12. Net debt includes unfunded pension liabilities in all jurisdictions except Newfoundland, Manitoba, Saskatchewan and the Yukon.

Source: Department of Finance.

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were still in deficit, this was more than offset by the fact that both Ontario and British Columbia achieved broad budget balance for the first time in ten years and that rising oil-related revenues pushed Alberta's budget into sizeable surplus.

The 2000 provincial budgets again emphasised spending on social programmes and reductions in the tax burden, implying a small deterioration in the fiscal balance for the provincial-territorial sector in 2000-01. In the event, a surplus of around 1 per cent of GDP appears to have been achieved. This reflects much higher-than-budgeted revenues, which more than compensated for additional spending of nearly ½ per cent of GDP (primarily on health care and social services). However, these extra revenues were concentrated in a few jurisdictions. Indeed, higher-than-expected resource royalties in Alberta, British Columbia and Saskatchewan account for almost two-thirds of the revenue windfall. Alberta, in particular, has benefited from booming energy prices: more than half of the aggregate provincial-territorial budget surplus in 2000-01 can be traced to this province. By contrast, a number of provinces and territories seem to have kept running deficits, although their fiscal position has also shown some improvement since the mid-1990s.

In the latest budgets, the jurisdictions that have not yet achieved fiscal balance generally aim at making further progress in this direction. However, at the same time, where surpluses have already been recorded, they are projected to decline. This tendency is most pronounced in Alberta, where the budget surplus is expected to fall from over 4 per cent to around ½ per cent of provincial GDP. While this is partly due to lower resource royalties, it also reflects strong spending increases (on health care and infrastructure) and further substantial tax cuts. As a result, Alberta's personal and corporate income tax rates are generally below those in other provinces. Moreover, it will stand out as the only province that does not levy capital taxes. These developments have put pressure on other jurisdictions to take similar measures, even if their budget situation remains less favourable. Nonetheless, despite widespread new tax and spending initiatives, their latest budgets imply a slight surplus for the provincial-territorial sector, which should be attained in the absence of a severe economic downturn.

Debt developments

Fiscal surpluses at all levels of government have put Canada's public debt ratio on a clear downward track since the mid-1990s (Figure 12). In recent years, public indebtedness has fallen more in Canada than in other G7 countries. By the end of this year, the cumulative decline in the general government's net financial liabilities as a share of GDP is projected to reach 27 percentage points. Nonetheless, this only broadly reverses the rise in the debt ratio in the first half of the 1990s. Moreover, public indebtedness in Canada is still much higher than in the United States, where it has also declined. Canada's debt position relative to

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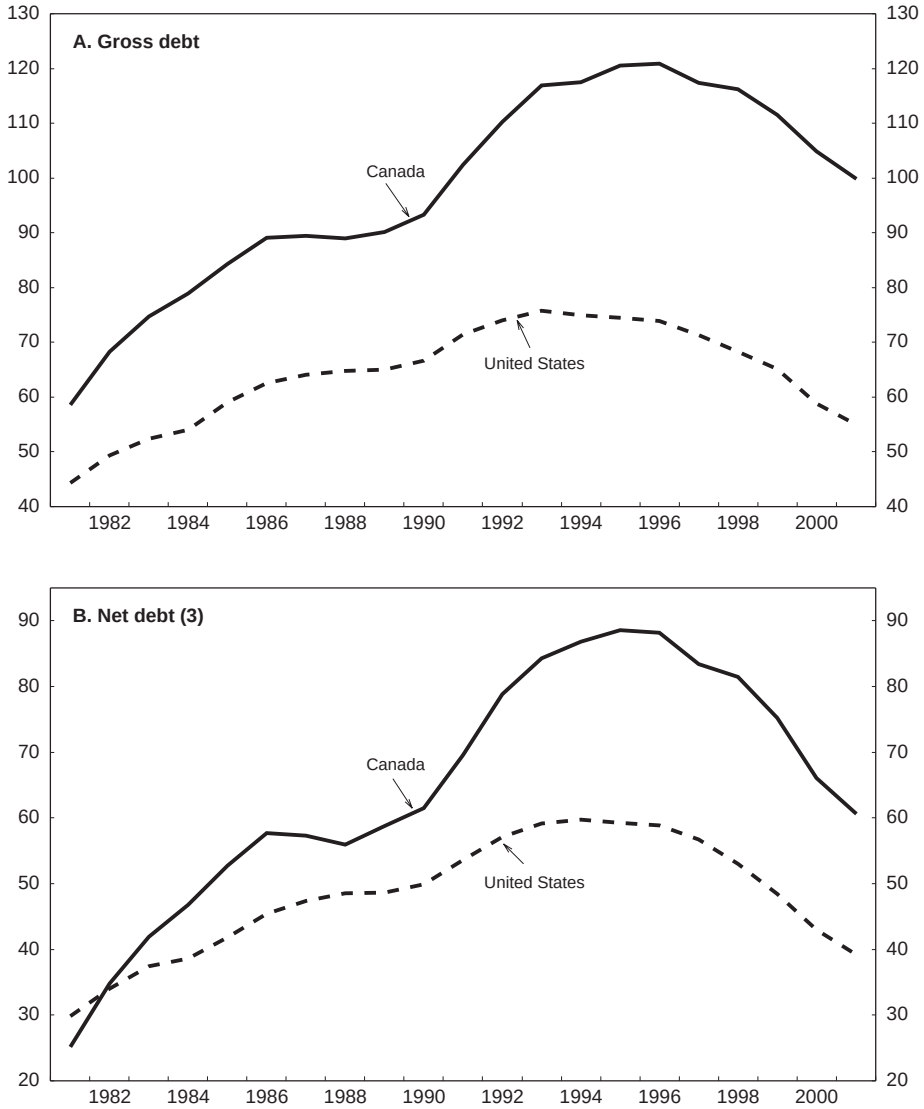
Figure 12. **Government debt**[1]
Per cent of GDP



1. General government; National Accounts definitions. 2001 data are OECD projections.
2. Liabilities less financial assets.
Source: Statistics Canada; OECD.

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the OECD area is less clear because, as to a large extent in the United States, Canadian data include funded government employee pension liabilities, which overstates its public debt relative to countries that have large unfunded liabilities for such pensions. But even taking account of such distortions, general government debt as a share of GDP would seem to be still above the OECD average. This has so far prevented Canada from obtaining optimal sovereign credit ratings, with agencies giving as major constraints high interest payments relative to government revenues and a high public-sector external debt relative to exports compared with rated peers.

Although the federal government's debt ratio has declined faster than that of the provincial-territorial sector, it is still more than twice as high (Table 10). The situation differs widely among the provinces, however. While Alberta has moved into a net asset position, in some provinces public indebtedness (relative to their GDP) is almost as high as that of the federal government. Differences in the debt burden are reflected in the proportion of revenues consumed by interest payments. For the federal government, this ratio, which is closely watched by credit rating agencies, is still relatively high at 25 per cent, although it has fallen by about 11 percentage points since the mid-1990s. At the same time, the corresponding ratio for the provincial-territorial sector, which hides large divergences among jurisdictions, has dropped by about 3 points to below 12 per cent. In recent years, all levels of government have increasingly financed their diminishing capital needs in Canadian markets. The share of marketable federal debt held by non-residents has declined to below one-quarter. Foreign debt exposure of the provinces is still somewhat higher but has also decreased noticeably. If sustained, these developments should finally bring the public-sector external-debt burden into line with that of best-rated debtor countries, thereby reducing risk premia built into Canadian interest rates.

Challenges ahead

The federal government has not presented a formal Budget this year but has indicated that, in keeping with the fiscal rule established in the late 1990s, it aims at a "balanced budget or better" in 2001-02 and 2002-03. In practice, this is also the approach generally pursued at other levels of government, with only a few provinces projecting a (small) budget deficit in 2001-02. If the economic downturn is limited and temporary, as expected both by the OECD and the Canadian authorities, government finances should remain in a comfortable surplus position, allowing continued debt repayment. However, should economic growth fail to pick up in the period ahead, the question arises as to how the authorities should respond to such a development. Given the improvement in government finances in recent years, the fiscal room for manoeuvre has increased considerably. Although the public-debt ratio is comparable to that prevailing in the early 1990s,

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large deficits at that time have given way to surpluses. Thus, automatic stabilisers can be allowed to work. Despite widespread balanced-budget legislation, this is also possible at the provincial level, since most of the laws provide a degree of flexibility to address an economic downturn. On the other hand, it is probably not advisable to take discretionary measures to support the economy. Tax reductions at both the federal and provincial levels already provide substantial stimulus, and additional fiscal easing could jeopardise the achievement of significantly lower public-debt ratios over the medium term.

There are no easy answers concerning the pace of debt reduction that the government should choose and the appropriate longer-term fiscal-policy settings more generally. The recent announcement of a medium-term projection for the federal debt ratio is welcome, as it should help anchor expectations. However, it would only gradually improve Canada's position relative to other OECD countries, which also intend to reduce their public-debt burdens. Thus, a more ambitious debt reduction plan might be desirable. In the area of taxation, recent measures have brought Canadian rates more in line with comparable US rates, but the gap will widen again following the implementation of tax reductions in the United States. As a result, pressures to make further adjustments to the tax system are likely to resurface. Maintaining the momentum of debt reduction while making room for further tax relief requires tight control over, and careful evaluation of, public expenditure, which is the topic of the following chapter.

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III. Improving public-spending outcomes

After a long period of fiscal retrenchment, Canada has entered a phase of budget surpluses. At this juncture it is important to take stock of public spending and find ways to build on the progress that has been made in improving spending performance. There are competing demands for the budget surplus: as noted in Chapter II, the federal government has recently undertaken a number of short-term spending initiatives and implemented tax cuts, despite the medium-term imperative of reducing a still heavy debt burden. Social spending has begun to re-emerge as a political priority, and, in the years to come, pressures will build as society ages and there are demands for more health-care services and pensions. Current and projected public demands are in areas mainly under provincial jurisdiction. To meet policy objectives without again increasing the size of government will require high levels of spending efficiency, which combines elements of forward-looking budget planning, allocative and technical efficiency, and transparency.

This chapter is a complement to the 1997 *Survey* chapter on the Canadian tax system. The analysis, though, necessarily takes a broader approach because, unlike tax policy, there is no single, comprehensive spending policy that acts as the standard on which to build an analytical framework. Indeed, in many cases public policy objectives can be achieved through other means than public spending, such as tax incentives and regulation, and through a variety of other delivery mechanisms. This chapter, therefore, takes a broad look at issues of supply, allocation, funding, budgeting and management in terms of how they might affect the quality of public spending. The following section briefly describes the characteristics and underlying determinants of government expenditures in Canada. The chapter proceeds with an assessment of public-spending outcomes in relation to priorities and fiscal constraints. The final section discusses several policy challenges.

Trends in and forces shaping government spending

In many ways the structure of public expenditure in Canada more closely resembles the European model, with relatively high social spending, than the US model, which gives greater weight to the private provision of services (Annex I).

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With spending on health care, education and social services rising strongly, public expenditure exceeded 50 per cent of GDP in the early 1990s, before receding to below 40 per cent – and approaching the OECD average – due to budget consolidation efforts at all levels of government. Despite considerable improvements in public finances, spending power is still limited by high debt-service payments reflecting past budget deficits. Another outstanding feature is that the provinces and territories of Canada spend more than the federal government, as they are responsible for the bulk of social expenditure (the main exceptions being unemployment insurance and elderly benefits).

Fiscal constraints and competitive pressures from globalisation have compelled governments to move toward a more efficient social and economic union. An important development in federal-provincial relations in the past was a trend towards restraining transfers (Box 1) while devolving responsibilities towards lower levels of government. Under the Social Union Agreement, signed in 1999, federal, provincial and territorial governments (except Quebec) affirmed a new partnership arrangement to promote equality of opportunity for all Canadians everywhere in Canada, use the federal spending power to improve social programmes, eliminate barriers to mobility and work together on shared social objectives. The federal government has committed to not use its spending powers to create new programmes

Box 1. Federal transfers to lower levels of government

Currently the federal government transfers around 4 per cent of GDP to the provincial and territorial governments through three major programmes. About three-quarters goes through the Canada Health and Social Transfer (CHST), which supports provincial activities in the areas of health care, post-secondary education, early childhood development and social assistance (see also Box 4). The Equalisation programme, which accounts for almost one-quarter of transfer spending, provides less prosperous provinces with revenues so that Canadians in all regions can receive reasonably comparable levels of government services at reasonably comparable levels of taxation. A minor portion goes to the Territorial Formula Financing (TFF), which ensures that territorial governments can provide adequate services, given the higher costs of living in the North. The main beneficiaries of federal transfers are the province of Quebec, which receives nearly one-half the net benefit of transfer programmes (Richards, 2000), and the Atlantic Provinces. Between the mid-1980s and the mid-1990s, these transfers have provided over one-third of all revenues to the six smallest provinces. Another form of "equalisation" began in the 1970s when the Unemployment Insurance programme was modified to redistribute income from the low-unemployment regions to those with high unemployment, which proved to be Quebec and the Atlantic provinces.

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that are explicitly in the provincial jurisdiction unless a majority of provinces agree. Provinces that do not wish to participate in new programmes that the federal government initiates will be provided funding to set up their own equivalent programmes. The disentanglement and co-ordination of federal and provincial spending remains a point of continued discussion and re-negotiation among governments (see below).

Demographic developments will both create spending pressures and influence the distribution of activities across levels of government. The population is continuing to concentrate in large urban areas, creating pressures on local infrastructure. Virtually all recent immigrants[7] have moved to metropolitan areas, where they receive social services and education that helps them to integrate successfully into Canadian society. Well-educated youth are highly mobile[8] and readily move from low-income to high-income provinces. Yet regional policies have discouraged the mobility of the underemployed and unemployed, and wide disparities in income and employment – and hence in fiscal pressures – among provinces persist.[9] Aboriginal youths aged 15 to 24 are the largest growing segment of the Canadian youth population. They face serious problems of poverty, social fragmentation, inadequate health care and low levels of education. Finally, the population is ageing: currently those over 55 make up over 20 per cent of the population, but by 2026 the proportion will be close to 35 per cent, according to Statistics Canada projections. Canada is better placed than many other countries to manage the fiscal implications of these developments (OECD, 2001*a*). In particular, it has taken action to deal with the long-term financing problems of public pensions. But spending pressures are also building in other areas, such as health care and local infrastructure. At issue will be how federal and provincial governments co-operate in financing, administering and delivering programmes in response to these pressures.

Assessing public expenditure outcomes

The macroeconomic context

Budgeting at the federal level

The federal government's Budget, described in OECD (1999*b*), follows a process of planning and evaluation that is more systematic and integrated than it was a decade ago. The current practice evolved as a means to rein in the large and persistently underestimated deficits through the 1980s and early 1990s and to restore credibility to the budget process. In the early 1990s, a medium-term fiscal framework had been in place.[10] In 1993-94, the government then moved to a two-year rolling horizon, adopted conservative planning assumptions and made iron-clad commitments to hit short-term deficit targets. To meet the targets, it initiated two programmes to be run in tandem: a new *Expenditure Management System* and a *Programme Review* (Box 2). With its focus on a short-term framework, conservative

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Box 2. The Expenditure Management System and Programme Review

Initiated in 1995, the *Expenditure Management System* (EMS) reformed the budget process by establishing a hard budget constraint and setting up the mechanisms needed for the budget constraint to be met. The purpose of the EMS is to formalise the scrutiny of expenditure programmes and priorities in the following way:

- Decide new spending initiatives and reallocations within an integrated budget process.
- Finance all new initiatives and cost increases through reallocation from lower-priority programmes.
- Eliminate central policy reserves because they do not encourage ongoing review of programmes.
- Take a business planning approach within departments that reflects budget targets and government priorities.
- Provide Ministers with the flexibility to manage effectively within their resource constraints.
- Introduce performance information on expenditure trends and priorities to provide the context for examining spending estimates.
- Improve performance information for better planning and evaluation.

Most aspects of the EMS remain in effect. However, since 1998, when the deficit was eliminated, the cap on spending established in the EMS has been effectively lifted: new spending is no longer required to be funded through reallocation from other items.

Programme Review was a comprehensive evaluation of all aspects of direct programme spending, which is about 45 per cent of total spending. The three-year exercise, launched in 1994, realigned priorities in spending and re-evaluated the role of government in delivering services. Each department was instructed to review all programmes according to six key tests:

- Does the programme serve the public interest?
- Is this an appropriate role for government?
- Could this be done by another level of government – such as provincial or municipal?
- Could this be left to the private sector or the volunteer sector?
- Could this programme be delivered more efficiently?
- Is it affordable?

Each department was also given a target by the Department of Finance and Treasury Board Secretariat for expenditure reductions from 5 to 60 per cent starting in 1995-96. In the event, Programme Review resulted both in a major realignment of programmes and cost savings. It succeeded because it took a principles-based approach to deficit reduction rather than simply making arbitrary across-the-board cuts.

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Box 2. **The Expenditure Management System and Programme Review** (*cont.*)

The advantage of the Programme Review was that it created a formal process for evaluating the relative merits and costs of ongoing programmes and a way to assess new ones relative to existing ones. It also set budget targets for all programmes.

The *Programme Integrity* exercise conducted by Treasury Board since 1999 has some of the features of Programme Review in that it examines and assesses critical risks to existing programmes, highlighting issues for budget consideration. Yet it is not a formal, ongoing exercise based on the key tests of Programme Review.

Source: Government of Canada (1995) and Treasury Board of Canada (1997).

projections and improved expenditure management, the government succeeded in regularly bettering its fiscal targets and restoring credibility to the budgeting process. However, when the deficits turned to surpluses beginning in 1997-98, the short-term focus tended to offer less fiscal discipline, partly because the rigorous expenditure constraints and priority-setting exercises were relaxed. Although the government continues to set short-term fiscal targets based on projections with a built-in conservative bias, there has been a recent shift toward greater fiscal transparency and a more medium-term orientation in the budget process.

The government has consistently bettered its fiscal targets since 1994-95 in part because it adopted "prudent" budget projections and in part because it benefited from unanticipated strength in the economy (Figure 13). This has meant that it moved with greater alacrity toward a balanced budget and gained credibility as a disciplined fiscal planner. However, now that the government is running budget surpluses, this "prudent" approach has some risks attached to it (OECD, 1999*a*). Apart from "using up" the surplus that would otherwise have been assigned to debt reduction, new initiatives in response to short-term revenue windfalls may raise longer-term spending demands. Moreover, spending initiatives decided in the late stages of the budget cycle might not be the same ones that were ranked as high priority in the deliberations by Cabinet Committees earlier in the budget cycle. In short, prudent fiscal and economic assumptions may, in a surplus environment, contribute to imprudent spending choices. One way to reduce this risk would be to publish a ranking of contingent year-end spending proposals at the beginning of the fiscal year.

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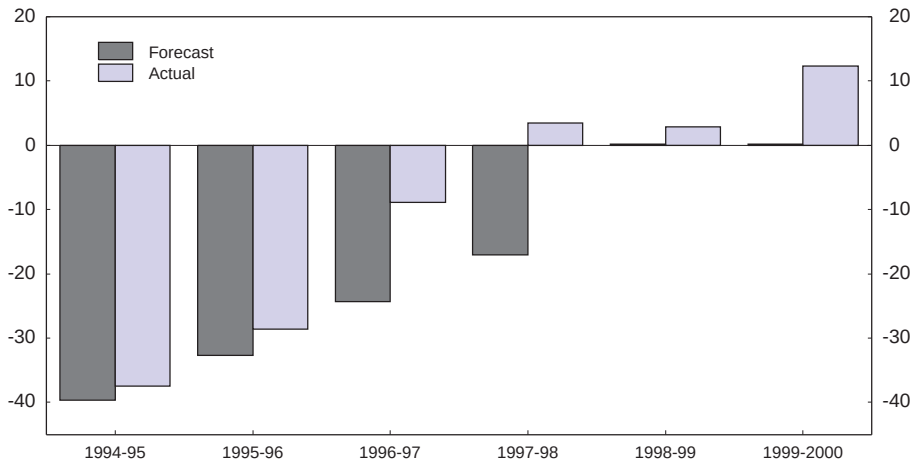
Figure 13. **Federal budget balance**
C$ billions



Source: Department of Finance, *Annual financial reports.*

The government now produces five-year fiscal projections,[11] but continues to make budget decisions over a two-year horizon. The government maintains that the two-year budget framework is the best way to keep the focus on short-term, achievable targets and to have room to manoeuvre in the event of unanticipated economic developments.[12] From the lessons learned in the early 1990s, the authorities place a high political cost on erring on the side of excessive optimism. The outstanding success of eliminating the deficit cannot be denied. However, the government has not yet made the full transition from its short-term, concerted plan to reduce the deficit to a longer-term strategy for debt control. Moreover, it no longer has in place the fiscal constraints that helped erase the deficit and improve efficiency in spending: the expenditure targets for programmes have been lifted, and new spending is no longer required to be funded through reallocation from other items. Without the strict expenditure controls that were in place during the deficit-cutting exercise, it not only risks spending slippage but may also increase its exposure to economic shocks through increased risk premia and interest-rate volatility. Some elements of Programme Review should be reinstated (see below). In addition, it would be helpful if the budget presented the full impact of all new measures on the five-year fiscal projections.

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The federal government has followed two very broad fiscal constraints since the surpluses emerged in 1997-98: a "balanced budget or better" rule and a rule of thumb[13] that allocates one half of any fiscal surplus to new spending and the other half to tax cuts or debt reduction. There are no built-in triggers that activate sanctions should targets not be met. The government has put in place C$ 170 billion in spending, tax relief and debt reduction measures since 1997-98 (Table 11). If tax expenditures are counted as spending, then about one-half of the emerging surpluses have indeed been allocated to spending and one-half to tax cuts and debt reduction, and so the rule of thumb has been broadly respected. However, with better-than-expected budget outcomes, recently a higher share of the fiscal dividend has been allocated to tax and debt reductions. Debt repayment on a larger scale is clearly desirable, and in fact the government made it a higher priority in the *Economic Statement and Budget Update* 2000 (see Chapter II).

The Cabinet's economic and social committees have the responsibility for preparing a ranked list of spending priorities for consideration by the Finance Minister and the Prime Minister at the final stages of the budget process. Although Cabinet Committees still provide an important role in identifying and assessing initiatives for potential funding in the upcoming budget, the lack of a strict surplus

Table 11. **Cumulative amount of new federal spending, tax relief and debt reduction**[1]
1997-98 to 2002-03

	Tax expenditures counted as:			
	Tax reduction		Spending	
	C$ billions	Per cent of total	C$ billions	Per cent of total
Spending initiatives				
Improving the quality of life of Canadians	39.3	23.1	49.3	29.0
Making Canada's economy more innovative	18.4	10.8	21.9	12.9
Providing essential public services	7.7	4.5	7.7	4.5
Total spending initiatives	65.4	38.4	79.0	46.5
Tax expenditures and general tax relief				
Tax expenditures				
Improving the quality of life of Canadians	10.0	5.9	–	–
Making Canada's economy more innovative	3.4	2.1	–	–
Tax fairness measures	0.2	0.1	–	–
General tax relief	46.2	27.1	46.2	27.2
Employment insurance premium reductions	16.2	9.5	16.2	9.5
Total tax initiatives	76.0	44.7	62.4	36.6
Debt reduction	28.7	16.9	28.7	16.9
Total	170.1	100.0	170.1	100.0

1. Includes initiatives from 1997-98 Budget to Economic Statement and Budget Update 2000.
Source: Finance Canada (2000), *Economic Statement and Budget Update* 2000, Annex 1.

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management regime has led to an erosion of their effectiveness in setting overall spending priorities. Without the expenditure controls and rigorous prioritising that were in place during the years of fiscal consolidation, Ministers have less incentive to follow a disciplined procedure for submitting or ranking new spending proposals. There has been an increase in the volume of spending submissions by Ministers, with less attention paid to programme design and costing. Ministers are not required to follow clearly defined criteria like those that were laid out in Programme Review and so do not rank the priorities of proposed spending initiatives alongside the spending programmes currently in place. Prospective surpluses and the government's stated intent to allocate a portion to address key spending priorities make it difficult to continue to rigorously monitor and evaluate existing expenditure in terms of its ongoing effectiveness, at the same time as new spending is being introduced. As noted by the Auditor General, the government needs to continuously challenge Ministers and programme managers to examine the worth of their programmes and how they serve national priorities. Programme Review did this on a one-time basis, but it should become a regular feature of the public expenditure management system. The Auditor General has suggested that the Programme Review rules be recast into four evaluation questions to be asked as part of a systematic, ongoing review of government programmes so as to ensure that they remain useful, efficient, effective and affordable (Box 3).

Two major initiatives by the federal government have reduced the risk of budget overruns from unanticipated spending. Reforms to the system of transfers to provinces implemented in 1996 made them more cost effective and allowed the federal government greater spending control. The Canada Health and Social

Box 3. Questions to evaluate the ongoing effectiveness of government programmes

1. Does the programme still serve a clearly defined public purpose that matters to Canadians?
2. Would we establish the programme today if it did not already exist?
3. Is it desirable to maintain it at the current level?
4. Can it be delivered more effectively or efficiently? Have there been changes (in the service environment infrastructure, technology, etc.) since the programme's inception that would now permit an alternative means of achieving its objective with greater economy, efficiency or effectiveness?

Source: Office of the Auditor General (2000).

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Transfer (CHST) consolidated three transfer programmes into a single block grant,[14] thereby reducing the vulnerability of the federal government to provincial spending increases. Provinces now have a greater incentive to improve the efficiency of their own programmes because they now bear the full incremental costs of any programmes they initiate.[15] In 1996 the federal government also made structural reforms to Employment Insurance (EI), a programme whose costs had spiralled in the 1980s and 1990s because it had certain design features that created work disincentives and encouraged repeat use.[16] The reduction in EI benefits has been substantial, and a large part of the fiscal consolidation can be attributed to the savings in the EI account. Still, as noted in previous S*urveys*, the programme could be moved even further towards insurance principles: the variation across regions in qualifying rules and duration of benefits could be reduced[17] so as to improve work incentives for those in high-unemployment regions. Experience rating of employers could also be introduced to mitigate moral hazard by encouraging them to organise their workforce more efficiently and to rely less on the subsidy element of EI. Instead, as discussed in more detail in the next chapter, the federal government has decided to ease off the insurance principles adopted in 1996 by reducing penalties for frequent claimants and increasing access to sickness and maternity benefits. These moves will be a step back from the reforms that allowed the government to take fiscal control of the EI programme. Pressure to revert to a more generous EI programme seems to have built with the rapidly accumulating surplus in the EI account (see below).

B*udgeting in the provinces and territories*

Budgeting practices vary widely among the provinces and territories. They oversee and control their own spending and plan their budgets independently of the federal government (OECD, 1997*a*). Several provinces have multi-year plans (ranging from two to four years), which are in some cases required by legislation (Table 12). The smallest provincial-territorial governments are the ones most likely to prepare only current-year fiscal plans. As is the case with the federal government, the provinces and territories that move to a medium-term fiscal horizon will have the means to put in place more disciplined government expenditure and debt-reduction plans. A longer planning horizon would also enable governments to better co-ordinate their policies.

Most provincial and territorial governments have adopted formal fiscal frameworks as part of their budget consolidation measures (Annex II). They generally follow some form of balanced-budget legislation in which fiscal targets have been clearly laid out over a specified time frame, subject to certain exemptions when revenue or expenditure changes are entirely beyond the control of the legislature. In many cases, a deficit in one year must be followed by a surplus in the next year. A few provinces have penalties whereby the Cabinet must take a substantial cut in salary if the targets are missed. Some of them also require referenda

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Table 12. **Provincial-territorial budgeting horizons**

Province-territory	Budgeting horizon[1]
Newfoundland	Current fiscal year only
Prince Edward Island	Current fiscal year only
Nova Scotia	4 years The *Financial Measures Act* (2000) requires that the Nova Scotia government present a 4-year fiscal plan in each budget.
New Brunswick	Current fiscal year only
Quebec	2 years
Ontario	2 years
Manitoba	4 years
Saskatchewan	4 years Under *The Balanced Budget Act* (1995), Saskatchewan must present a 4-year financial plan after each election. An annual update must be prepared at budget time with revisions to the current fiscal year and remaining years covered by the 4-year fiscal plan.
Alberta	3 years The *Government Accountability Act* (1998) requires that Alberta must present a 3-year consolidated fiscal plan.
British Columbia	3 years The *Budget Transparency and Accountability Act* (2000) stipulates that the government present a 3-year fiscal forecast.
Yukon Territory	4 years
Northwest Territories	Current fiscal year only
Nunavut	Current fiscal year only

1. Includes current fiscal year.
Source: Department of Finance, Canada, Fiscal Policy Division.

before they can implement tax increases, creating the strong incentive to cut expenditures rather than raise taxes to control budget overruns.

While all provinces improved their operating balances during the 1990s (Richards, 2000), the degree of fiscal redress varied considerably (Table 13). The provinces that showed the greatest fiscal discipline were the ones that faced a "hard" budget constraint (Oates, 1999) in that they relied to a greater extent on their own revenues than on federal transfers to balance their budgets.[18] The closer tax and expenditure coincidence for these provinces provided stronger incentives to assess their incremental spending against incremental taxation. In Atlantic Canada, just one-quarter of the fiscal consolidation stemmed from the province's own initiatives, that is, from own-source revenue increases or spending reductions, and the remainder came from increased federal transfers.[19] Quebec relied on federal transfers for about one-sixth of the improvement in its finances. In provinces west of Quebec, own initiatives exceeded the net improvement in operating balances as transfers declined. Overall,

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Table 13. **Changes in operating balances for federal and provincial governments**
Per cent, fiscal years 1991-92 to 1998-99

Level of government	Relative contribution of:		
	Own initiatives[1]	Increase in federal cash transfers	Total
Federal	100.0	–	100
Provinces	104.1	–4.1	100
Total	101.8	–1.8	100
By region:			
Atlantic	27.0	73.0	100
Quebec	82.1	17.9	100
Ontario	114.4	–14.4	100
Prairie provinces	125.9	–25.9	100
British Columbia	103.4	–3.4	100

1. "Own initiatives" are the sum of a government's own-source-revenue increases plus its programme-spending reductions – or less its programme-spending increases.
Source: Richards (2000).

the degree of added provincial fiscal discipline was inversely related to the degree of dependence upon transfer payments from the federal government.

Macroeconomic co-ordination among levels of government

Federal and provincial governments have independent budget processes. They do not adhere to an overall fiscal strategy that aligns federal, provincial and local spending priorities within a total government budget constraint. All levels of government have made considerable progress in improving their fiscal positions by making programme cuts. Looking ahead, as noted, the provinces are facing increasing cost pressures because they are responsible for maintaining social programmes, many of which are likely to grow in the future. Health, education and social services comprise about three-quarters of provincial spending. Moreover, the provinces and local governments are almost entirely responsible for transportation infrastructure where there would seem to be the need for increased investment. The federal government, on the other hand, still has limited spending flexibility because of high debt charges and recent tax reduction initiatives in the United States. Thus, the question becomes whether governments can enter into co-operative fiscal arrangements so that national and local spending objectives can be met while containing overall public expenditure.

The discussion earlier in this chapter revealed that governments have already moved toward a more efficient economic and social union. The federal government has withdrawn from certain activities such as labour-market training, and federal and provincial governments have worked jointly to improve and

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streamline social programmes such as the National Child Benefit (see below). However, provinces continue to express concerns of perceived growing vertical and horizontal fiscal imbalances and the need to expand or redesign transfer programmes. The federal government maintains that current programmes are sufficient to correct for imbalances. Both sides need to come to a common understanding about the trends in federal and provincial fiscal indicators. Work also needs to be done to determine whether a redesign of the Equalisation programme could encourage development in the have-not provinces without undermining spending discipline. These issues are developed in the following section.

Achieving public policy goals through better allocation of resources

The current federal government set its priorities for the term of office commencing November 2000 in a *Four Part Plan* of social spending, investment in the knowledge economy, debt reduction and tax relief. Social spending is the top priority, with items like health care, children's issues and education ranking among the top issues on the public agenda (Table 14). To relieve child poverty, the

Table 14. **Top issues on the public agenda**

	Per cent
Poll 1:	
Most important issue facing Canada over the next five years (top 5 listed)	
Health care	36.0
Debt	11.0
Taxes	9.0
Economy	7.0
Education	6.0
Poll 2:	
Ranking from 1 to 7 of the top public issues	
Health care	6.26
Education	6.00
Children's issues	5.71
Environment	5.57
Crime	5.43
Unemployment	5.34
Taxes	5.34
Poll 3:	
Top issues on the public agenda (top 5 listed)	
Health care	55.0
Education	23.0
Taxes	19.0
Jobs/unemployment	15.0
Poverty	15.0

Source: Council for Canadian Unity Polling Database.

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government plans to enhance supplements to low-income families with children through the National Child Benefit. Funding to the Canada Health and Social Transfer (CHST) will be enriched and portions earmarked for childhood development, health infrastructure and health information technology. Investment in the knowledge economy will come from improvements to universities and research facilities, research subsidies for knowledge-based industries and a tax deduction for post-secondary students. As noted, the government has also reinforced its commitment to debt repayment and embarked on a tax-reduction programme until 2004-05 in a variety of areas, including personal and corporate rates, capital gains tax, and tax expenditures targeted to the social and knowledge-based sectors.

In late 1999, the Provincial and Territorial Finance Ministers developed a common position regarding spending priorities, which differs from the federal objectives in some key respects. They interpret the growing federal surplus as an indication of a vertical fiscal imbalance in the Canadian federation, noting that the key areas of provincial responsibility – health, education, income security and public infrastructure – have the greatest cost pressures and the highest public expectations, whereas the federal government has the greater revenue-raising capacity.[20] The Western Finance Ministers have expressed similar concerns and pointed out that the provinces are responsible for most of the fastest growing spending categories (Table 15). They also noted an emerging horizontal imbalance, that is, a divergence in the fiscal capacity between the provinces who receive federal Equalisation payments and those who do not, and have called for a change in the parameters of the Equalisation programme. Some Atlantic provinces have also expressed the need to redesign Equalisation in a way that allows them to retain a larger share of Equalisation payments when their resource royalties increase. The federal government has pointed out that, while the provinces face spending pressures, they have enough resources to meet their needs as evidenced by budget surpluses, tax cuts and increased spending. Where provincial and federal governments have agreed is on the need for the federal government to reduce income taxes[21] and restore the level of the CHST, both of which occurred in the Budget 2000 and the subsequent budget update along with an improvement in Equalisation payments. The latest Western Finance Ministers' Report recognises that these initiatives are a positive first step towards restoring balance in federal-provincial-territorial fiscal arrangements. Presented below is a discussion of the recent public spending choices that governments have made on behalf of Canadians and the impact of these choices on the allocation of resources and income distribution.

Reducing poverty and dependency

To improve the efficiency of social programmes, Canadian governments have attempted to balance the goals of providing income support for those in

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Table 15. **Federal and provincial revenue and expenditure**

Per cent

	10-year annual average growth rate	Federal share	Contribution to total government revenues	
			Federal	Provincial
		1999	1999	
Revenues				
Direct taxes, non-residents	8.2	100.0	1.9	0.0
Taxes on persons	4.9	61.3	46.7	24.4
Sales of goods and services	6.3	17.9	2.3	8.7
Indirect taxes	4.0	35.7	20.9	31.1
Taxes on businesses	7.0	65.9	13.7	5.9
Investment income	2.3	23.5	3.4	9.2
Contributions to social insurance	4.6	74.5	10.6	3.0
Transfers from governments	2.2	2.2	0.4	15.5
Transfers from persons	1.8	0.6	0.0	2.3
Total revenue	4.4	45.2	100.0	100.0

	10-year annual average growth rate	Contribution to total government expenditures	
		Federal	Provincial
		1999-2000	
Expenditures			
Provincial debt-servicing costs	6.3	–	12
Social services	3.8	–	11
Old Age Security	3.8	15	–
Health	4.3	–	33
Education	3.2	–	22
Federal debt-servicing costs[1]	0.7	27	–
Federal transfers to governments	–0.1	15	–
EI benefits	–0.3	7	–
Other federal expenditure	0.5	28	–
Other provincial expenditure	1.7	–	21
Defence	–1.0	7	–
Total provincial expenditure	3.6	–	100
Total federal expenditure	0.7	100	–

1. Growth in federal debt charges was reduced by an accounting change pertaining to public service pension plans.

Source: Statistics Canada, *National Accounts*; Finance Canada (2000), *Fiscal Reference Tables*.

need while reducing their dependency, and to a large extent are meeting the challenge (see OECD, 1999*d*; HRDC, 2000*a*). Two social issues have become priorities since the mid-1990s: reducing child poverty and helping people return to work. Poverty has become a longer-term phenomenon, and the inability to stay employed and low skills were shown to be leading factors behind long stretches of poverty. Moreover, the number of children living in poverty rose substantially in

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the 1990s.[22] At the same time, public views of the role of social assistance had shifted from one of providing an adequate standard of living over a long period of time to one of offering recipients temporary relief from poverty while they prepared to re-enter the labour market. With the redesign and cutback of the CHST, provinces had both the financial imperative and the flexibility to reform their social programmes and have experimented with various approaches such as earnings supplements for low-income parents and tightening welfare eligibility for the able-bodied. At the same time, measures have been enacted to reduce dependency and to help people re-enter the labour market.[23]

A noteworthy achievement has been the improved efficiency and co-ordination among federal and provincial programmes with the introduction of the National Child Benefit (NCB). Launched in 1998, the NCB is a tax-expenditure programme that offers benefits and services to families with children. The programme replaces most child benefits delivered through social-assistance systems at the provincial and territorial level. At the outset it was designed with a common understanding of the overall goals and elements: to reduce poverty among children while encouraging their parents to participate in the labour market.[24] The programme was designed with a clear accountability framework for overall results that includes annual reporting through the NCB Progress Report, first published in 1999. A co-ordinated evaluation plan for the NCB has been developed to determine if the stated objectives are being achieved and to identify best practices.[25]

Improving health care

Canadians consistently rank health care as the top public-policy concern. Opinion polls have shown a decline in satisfaction with the health-care system, with growing complaints of long waiting periods for specialists, crowded emergency rooms, high drug costs and limited access to special diagnostic equipment[26] (Table 16). The aggregate health and spending data do not support this dissatisfaction. In 1997, Canada had among the highest life expectancies in the OECD, although wide variations exist among communities across the country. At the same time, it spent 9.3 per cent of GDP on health care, the fifth highest share among OECD countries behind the United States, Germany, Switzerland and France. Canada's per capita spending is not out of line with its relative GDP per capita level. The number of physicians is also in line with that seen abroad, although the number of in-patient beds and high-technology diagnostic equipment such as MRI scanners compares less favourably with other OECD countries.

Large cutbacks in health-care spending occurred during a period of cost control in the 1990s, when the federal government reduced the Canada Health and Social Transfer (CHST) and provinces capped annual increases in physician services and cut hospital funding. Although health expenditure rose as a share of

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Table 16. **Health care issues for Canadians**

Health care in Canada	– 78 per cent Canadians agree that the healthcare system in their province is currently in a crisis.	
	– 25 per cent rate the overall healthcare system and the quality of service as excellent, compared to 61 per cent in 1 991.	
	– 71 per cent are confident that if they had a serious medical problem, they would get the health care services they needed.	
	– 38 per cent say that their provincial government has a good plan for managing their province's health care system.	
Factors that have the most influence on health (Scale of 1 to 7)	Environment	6.02
	Health care for the individual	5.73
	Lifestyle	5.68
	Income level	5.11

Source: Council for Canadian Unity Polling Database.

GDP, this was due entirely to higher private spending. In 1997, the private sector accounted for about 30 per cent of total spending.[27] More recently, provinces have devoted a larger share of their budgets to health spending, and the federal government has made significant reinvestments in the CHST (see Box 4). Provincial governments continue to maintain that the system is under-funded, but the management and delivery of services is also very important for reducing waiting times and improving the satisfaction with the health-care system (Fraser Institute, 2000). As discussed in last year's *Survey*, pressures on the system seem to be coming from a lack of continuity in health care that lowers the quality of care and extends waiting times while leading to unnecessary testing and patient visits. Provinces are experimenting with a variety of promising reforms such as new ways of assigning responsibilities and remuneration for patient care to physicians, community care and integrated community and hospital care. Before additional spending is considered, more information is needed on the quality and cost of different types of care, and how they relate to health-care outcomes. The recent commitment by provincial Premiers to agree on the indicators and standards for reporting and to submit reports on the quality of their health-care services will provide an important information base. A Commission set up recently will once again review the principles that guide the public administration of health care. There may also be some potential for a greater role of the private sector to offer competitive mechanisms to control costs. An increase in private-sector care will need to take into account public concerns that private provision would inevitably lead to a "two-tier" system where those who do not have access to private care have to queue for public services.

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Box 4. The Canada Health and Social Transfer

Canada's Medicare system provides universal comprehensive coverage for medically necessary physician services delivered in hospitals, in-patient and out-patient clinics. Provinces have constitutional responsibility for health care, but the federal government has had a history of using its spending powers to provide grants tied to health care. The 1984 Canada Health Act lays out explicitly the national health principles and practices of public administration, comprehensiveness, universality, accessibility and portability that are the conditions for federal funding.

In the 1995 Budget, the federal government moved away from cost-sharing arrangements to a single block fund for provincial programmes, initially called the Canada Social Transfer (CST) and later called the Canada Health and Social Transfer (CHST). The intent of the block funding laid out in the 1995 Budget was to release provinces from certain rules that stipulate which expenditures are eligible for funding, allow provinces the flexibility to innovate in their social-security policies and free the federal government from cost sharing on social programmes decided by the provinces. The provinces were still bound by national standards on health and social services through the provisions of the Canada Health Act and the obligation that there be no residency requirements for welfare. The initial allocation of funds for the transfer was a combination of tax points and a cash transfer, which was cut substantially from C$ 29.7 billion in 1995-96 to C$ 25.1 billion in 1997-98. In subsequent budgets a floor was placed on the cash component of the transfer, and the disparities in per capita entitlements, which were to the disadvantage of the three wealthiest provinces, were reduced.

The 1999 Budget announced an increase in CHST funding of C$ 11.5 billion over five years, dedicated "specifically for health care". The 2000 Budget then announced a further C$ 2.5 billion increase for the CHST and pledged to eliminate disparities in per capita funding by 2001-02. Regarding health, there has been a move toward more conditional grants insofar as the government stipulates that they be spent on health and more recently on specific types of health expenditure. Accordingly, in September 2000, when the government then committed itself to additional health funding of C$ 23.4 billion over four years, C$ 21.1 billion was added to the CHST and the remainder was earmarked for new medical equipment, primary care and health-information technology. Altogether, these moves will raise CHST funding from C$ 32½ billion in 2000-01 to nearly C$ 40 billion in 2005-06.

Supporting research, innovation and investment

The Department of Industry's 1998-99 Report on Plans and Priorities identified an "innovation gap" in Canada as a major reason for the unimpressive productivity performance over the past few decades. Currently Canada ranks fifteenth

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among OECD countries with respect to national expenditure on research and development (R&D). R&D spending in the business sector has been relatively modest, despite the fact that tax subsidies per dollar of R&D are the second highest in the OECD countries. In 1994, the government had launched a wholesale policy review and repositioned its policies in a new Science and Technology Strategy (OECD, 1997*b*). In this strategy the government vacated the role of a prime mover trying to pick "winners" and instead become a catalyst, creating partnerships or arm's-length agencies to deliver R&D spending. The strategy also involves the creation of networks between institutions and researchers so that knowledge and information can be shared. Building on initiatives already taken,[28] the government's goal is to rank in the top five countries for R&D performance by 2010 by more than doubling R&D expenditures.

The strategic aim of the federal government's investment policy is to create a sustainable market environment that encourages private-sector investment in traditional as well as "new economy" sectors. This is an improvement from previous industrial policies in moving away from the traditional industry subsidy model, which has tended to devote large blocks of public funds to offer unprofitable projects and become politically captured. Industry Canada has published research (Stiroh, 2000) that demonstrates that the case for direct government intervention to promote private-sector investment does not stand up to scrutiny, although a case can be made for direct government involvement in investments in physical and knowledge infrastructure. The main responsibility for infrastructure investment lies with the provincial, territorial and municipal governments. However, the federal government has also been involved in funding such investments.[29] Some issues relating to the effectiveness of public infrastructure programmes will be discussed below.

Education

In 1997 total spending from public and private sources for education institutions was 6.5 per cent of GDP in Canada and 6.1 per cent for the average OECD country (OECD, 2000*b*). As discussed in last year's *Survey*, Canada has attained impressively high graduation rates at the post-secondary level. Post-secondary education levels have increased at a rapid rate,[30] although new enrolments have levelled off since the mid-1990s, likely because the population of young adults has been declining. The record of high-school completion has also improved, with the share of young adults with less than high-school education falling from 20 to 13 per cent in the 1990s. The worst education prospects are for First Nations people who are three times as likely as the rest of the population not to have completed high school (HRDC, 2000*b*). As this poor record has persisted for a very long time despite substantial public spending, reform is urgently needed, especially given that First Nations youth are the fastest growing segment of the youth population.[31] Young

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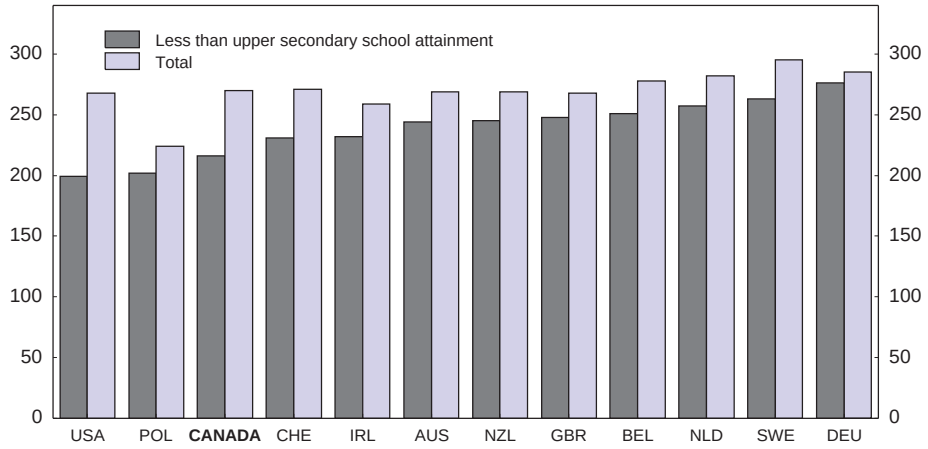
Figure 14. **Adults' mean scores on document literacy tests**
1994-95



Source: OECD and Statistics Canada, *International Adult Literacy Survey*.

people who do not complete high school have very poor labour-market prospects, given the especially poor literacy performance in Canadian dropouts (Figure 14).

In short, Canada has an excellent record at the post-secondary level, where federal funds are currently being concentrated, but there are some areas where policies are not meeting their objectives. Given that Canada has a relatively high level of education spending, consideration should be given to whether existing resources are being spent to achieve the greatest social benefit before expenditures are increased (in particular, to ensure that there is no overlap or duplication among the many generous post-secondary expenditures, while finding ways to help those at risk of dropping out of high school and to improve literacy levels).

Equalisation

Equalisation is the most important federal programme for reducing disparities among provinces in their capacity to raise revenues. It raises the per capita revenues of lower-income provinces up to a standard amount so that they are able to provide "reasonably comparable levels of public services at reasonably comparable levels of taxation" (Constitution Act of 1982). The representative

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standard is the average of per capita revenues of the five provinces excluding the Atlantic Provinces and Alberta, a standard which is slightly less than the national average. Seven provinces (Newfoundland, Prince Edward Island, Nova Scotia, New Brunswick, Quebec, Manitoba and Saskatchewan) receive equalisation payments, which totalled C$ 9.8 billion (around 1 per cent of GDP) in 2000-01. In 2000-01, the lowest-income province, Newfoundland, received C$ 1 billion in equalisation, which is C$ 1 700 per resident and about one-third of its total estimated revenues. Equalisation has a ceiling[32] to protect the federal government from unsustainable increases above GDP growth and a floor to protect provinces from excessive annual declines.

To redress horizontal fiscal imbalances, provinces have called for changes in the design of the equalisation formula. Some have suggested a move to a ten-province standard, notably allowing for the inclusion of the high-revenue province of Alberta and thereby increasing the generosity of the programme. The federal government has expressed concerns that such a change would considerably increase not only the cost of Equalisation but also the volatility of the underlying revenue base. Moreover, there is evidence that disparities among provinces have been decreasing. It has been argued that equalisation can adversely affect economic expansion in the have-not provinces, particularly the lowest-income Atlantic Provinces, and therefore stand in the way of badly needed regional adjustments that would reduce horizontal imbalances (Oates, 1999). Negotiations on a major industrial development of mineral deposits in Newfoundland's Voisey's Bay may have stalled in part because the province would have seen only a small fraction of the mineral royalties and business and personal income tax revenues from the project since equalisation payments would have declined almost as much as such revenues increased. However, provincial finance ministers have acknowledged that in general it would be very difficult for governments to turn down the job creation and reduced social costs associated with economic developments. Nova Scotia has raised similar concerns about the "claw back" in equalisation payments as royalties from offshore oil reserves increase, although it already enjoys favourable treatment whereby in this case equalisation payment is reduced by a maximum of 70 per cent. Equalisation was last renegotiated in 1999 and comes up for review every five years. The interim period between negotiations would be well spent on research to determine whether a redesign of the programme would be appropriate.

Operational and technical efficiency of government spending

First steps toward improved performance reporting

The federal government is in the process of making a fundamental change in the focus of public administration away from activities and outputs and toward

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results so that departments can account for what they have achieved with the public funds they were provided.[33] The government has identified the need for a system of objective performance indicators that hold managers accountable for achieving results and has stated its intent to apply results-based management in all its functions.[34] The goal is to make reporting more transparent, clarify accountability relationships across government departments and agencies and report annually on progress towards a results-based approach. The Treasury Board has laid out criteria for performance reporting in departments and agencies (see Annex III). The implementation has been gradual and involves testing an array of performance frameworks in pilot projects. The government recognises that it has some way to go to achieve full-fledged performance reporting. *Managing for Results*, initiated in 1995, reports on the annual progress of performance reporting by presenting a baseline of performance information and identifying departments where improvements have been made. But the Auditor General has observed only limited progress since 1997 in the use of performance information. Lack of progress of late can be traced in part to the curtailing of the evaluation function in many departments and in part to Treasury Board's limited leadership in guiding departments to improved performance reporting (Office of the Auditor General, 2000).

One initiative to improve performance reporting has been the recasting of the final part of the *Main Estimates*[35] into the *Report on Plans and Priorities*, which lays out performance expectations, and the *Performance Report*, which discusses how these expectations were achieved. Since 1998, all departments and agencies have produced these reports. To date, the performance reporting in these documents is still inclined towards activities and outputs, rather than intended outcomes. Objectives are at times vague, and the results are not always measurable or stated clearly and are often slanted toward the "good news". There is little linking of financial and non-financial information, and so departments' accomplishments are generally not costed (Office of the Auditor General, 2000). Undoubtedly it will take time for managers to learn and adopt these fundamentally different concepts and ingrain them in the public-service culture. The success of performance reporting will depend on central authorities gradually but steadily guiding the process forward.

Stronger financial-management capabilities needed

Financial management in government, which used to involve controlling budgets and processing transactions, is evolving into a more sophisticated, integrated process with better information to account for public resources, thereby helping managers make sound financial and policy decisions. The need for stronger financial-management capabilities dovetails with recent innovations in government operations, such as alternative forms of service delivery, the movement to more decentralised management and accounting systems, downsizing and cost-saving measures and working within a risk-management framework. The government

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has embarked on an ambitious Financial Information Strategy (FIS), which will provide more consistent government-wide reporting and better information for managers to make cost-effective decisions through the introduction of new modern integrated information systems and the adoption of full accrual accounting similar to what is practised in the private sector. All government departments and agencies successfully put in place the infrastructure to support the FIS by the deadline of 1 April 2001.

Under FIS, responsibilities for accounting will move from the centre to departments where managers will have a greater role in a department's financial affairs. To succeed in making government more efficient, FIS must be fully integrated into departments' daily operations. For example, information from the accruals-based system on the costs of depreciation and maintenance of buildings and capital equipment is intended to enable managers to make informed decisions about managing government assets in a cost-effective way. As the deadline for completion of FIS approaches, departments are still at the early stages of building their capacity to meet the requirements of the new system (Office of the Auditor General, 2000). Managers do not yet have the skills or training to make use of the new financial system, nor have they established the necessary links between their financial and operational data so that they can properly monitor their departmental operations and policies. The new accounting system changes fundamentally the way that departments use financial information in their daily operations, and a concerted effort by managers will be needed to take the new changes on board.

Human-resource management in transition

The Auditor General has highlighted the importance of streamlining the human resource management regime. He observed that the current management framework in the federal government is complex and centralised, with many costly and outmoded administrative systems (Office of the Auditor General, 2000). Employment cutbacks under Programme Review have increased workloads (Box 5), while greater demands have been placed on employees to make fundamental changes in performance and financial management. As in other jurisdictions, the public service is faced with a rapidly ageing workforce and staffing procedures present obstacles. Hiring is an extremely time-consuming, drawn-out process, taking up to eight months from the time the job is classified to the time positions are staffed. Managers are bound by extremely cumbersome classification and staffing systems that include countless minutiae on pay rates and administration.[36] At the same time managers have been required to become more accountable for the results of the services they supply to the public, to be more businesslike in their operations and to maintain the traditional values of public service (OECD, 1999*c*). Moreover, they must learn to work in large flexible networks

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Box 5. The federal public service

Six consecutive years of downsizing led to a decline in the federal public service employed by Treasury Board from 240 462 in 1993-94 to 186 314 in 1998-99. Increasing workloads in the public service emerged as an important issue.

During the 1999-2000 fiscal year, the creation of two separate agencies led to the transfer of about 40 000 employees from Revenue Canada to the Canada Customs and Revenue Agency (CCRA) and 3 900 employees from Canadian Heritage to Parks Canada, further diminishing the "core" federal public service to 146 689 by the end of March 2000. After these recent transfers, the share of federal government employees in the 65 departments and agencies in which the Treasury Board is deemed the employer was well under 50 per cent of total federal government employment. For example, the 41 federal Crown Corporations employ about 70 000 people. The creation of new government entities outside the Treasury Board purview has limited the scope for providing information about employment and compensation in the larger public sector.

Demographic trends combined with several years of downsizing increased the proportion of workers aged 45 to 54 to 40 per cent by 2000. The percentage of public servants aged 55 or over is expected to double in the next 10 years, creating a dearth of executive employees as this group reaches retirement. The proportion of federal public servants under 35 shrank from 23 per cent in 1992 to 13 per cent in 2000. Moreover, the occupational mix of the public service has shifted, and, between 1993 and 2000, the proportion of the federal public service holding scientific, technical or professional jobs increased from 40 to 52 per cent. These positions require highly skilled and well-educated employees. The impending retirement of "baby boomers", combined with the major change in the occupational mix of jobs, has created serious human-resource planning issues for the federal government.

Source: Treasury Board of Canada (2000*d*) and Office of the Auditor General (2000).

as more issues are dealt with horizontally across departments and as the central government works in co-operation with other levels of government and engages Canadians more directly. The Auditor General has also identified the need to recruit university graduates more aggressively because of increased competition for highly educated and qualified candidates and because of the need to replace the rapidly ageing workforce. As noted, the Treasury Board (2000*b*) has laid out a management framework for improving the public service that is less rules-based and more results-based.[37] The framework sharpens its focus on service to citizens and highlights the importance of sound public-service values and responsible spending of taxpayers' money. The importance of modernising the public service

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was recognised in the latest speech from the Throne. A task force has been established and work is under way to fundamentally reform human resource management.

Room to further improve service delivery

The demand for government services has increased significantly in the past five years, while delivery of services has been transformed by new information technology, alternative delivery methods and innovations by managers and staff. With these changes, certain aspects of service delivery have improved at the expense of others. In a 1998 survey, Canadians ranked their satisfaction with federal-government services slightly lower than in other sectors in terms of timeliness, competence, courtesy, fairness and outcome, although satisfaction with federal services is showing improvement according to a subsequent survey.[38] Canadians identified access to services and service performance as particularly in need of improvement in the federal government. Delivery has shifted towards telephone calls, the volume of which increased over 50 per cent between 1996 and 1999, and away from counter service. Clients received faster responses – once calls were answered: unanswered calls were as high as 50 per cent in some offices. With the switch to telephone services, the government is working on improving government directories and increasing the provision of electronic information kiosks so that the public has a better idea of where to seek service. The Treasury Board's *Service Improvement Initiative* commits departments to achieve a target of a minimum 10 per cent increase in measured client satisfaction with their services by 2005 and work towards continuous improvement by measuring client satisfaction on an ongoing basis. If this target were achieved, client satisfaction would exceed current levels in the private sector and in local governments.

Some departments may have more difficulty achieving the target than others. Human Resources Development Canada (HRDC) provides services, mostly at the local level, to about one-third of Canadians. The Auditor General has found that HRDC has made progress in redefining its service delivery commitments in recent years, but these commitments have not yet been communicated to clients. Many do not know how to lodge a complaint or obtain redress. HRDC has not clearly established performance targets in service delivery: for example, Employment Insurance payments have become timelier, but at the same time the incidence of incorrect payments has increased. Moreover, many employment-assistance services are provided by non-government entities paid by HRDC. While the accountability and reporting requirements of third party contractors currently in place enable monitoring of their activities, choosing the entities that will likely provide the best service is a challenging task. Action plans on how to improve service cost-effectively should be developed and carried out.

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Serious inefficiencies in grant and contribution programmes

Grants and contributions[39] for employment-related initiatives have demonstrated fundamental and chronic technical inefficiencies over the last few decades,[40] from non-compliance with programme needs, weak programme design, poor financial management and control, to shortcomings in measuring and reporting results. More recently, after the release by HRDC of an internal audit early in 2000, public criticism erupted over the management of the Transitional Jobs Fund and its successor the Canada Jobs Fund, as well as other employment-related grants and contribution programmes run by HRDC. The Auditor General later identified serious breaches of authority, payments made improperly, very little monitoring of finances, and activities and approvals that were not made in accordance with established processes. Part of the problem lies in the direct involvement of politicians and political operatives in the decision making process: each project required a written recommendation from a Member of Parliament. This arrangement created a conflict, since Parliamentarians have the job of holding government accountable for spending. Some projects did not meet eligibility requirements, but Ministers approved them anyway. Problems also stemmed from the Department's emphasis on service delivery rather than financial and management controls, due in part to directives from the centre to reduce red tape at a time when government was downsizing. HRDC developed an action plan to take immediate corrective steps. However, the problems have become ingrained in the day-to-day operations in the delivery of grants and contributions, and it will take time to correct them. In June 2000, the Canada Jobs Fund was discontinued and the funds reallocated to regional economic development agencies, which may have removed the problem from public scrutiny but does not address the problems endemic in employment-related grants and contributions: political influence can undermine the economic objectives of these programmes; goals will not be achieved without clear targets and carefully monitored results; and, lax controls lead to programme misuse.[41] While these are serious issues, it should be noted that the government has more than 350 transfer programmes and there is no evidence to suggest that most of them have similar problems. Moreover, in addition to HRDC's moves to review and improve the management of its grants and contribution programmes, the government has issued a revised policy on transfer payments which significantly strengthens requirements for financial management and due diligence, accountability, transparency and reporting on performance and results.

Some policy challenges

The discussion, so far, has reviewed the progress that Canada has achieved in improving the outcomes of public spending and identified some issues that need to be addressed. This section sets out some additional broad

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areas in which Canada is facing or in the process of meeting policy challenges in the area of public spending and concludes by summarising the recommendations made in the chapter.

Promoting fiscal transparency

When budget matters are conducted in a transparent manner, the public has an opportunity to engage in an informed debate about government policies and spending. Governments will more likely be encouraged to adopt a high standard of fiscal discipline and to make sound policy choices that have wide public support. Citizens will take advantage of the improved information to better inform their views about spending. The OECD and IMF have each put forward codes of fiscal transparency in order to guide governments in providing the public with the information necessary to inform the debate (Annex IV). The government of Canada adheres to the OECD best practices and comes close to satisfying the principles of the IMF code (see Annex V). In particular, it has progressed in making the budget process more transparent by improving the accuracy and timeliness of budget information and drawing the public into budget consultations. However, improvements could be made in clarifying the roles, responsibilities and ethical standards of government and allowing the public greater access to the information they seek on government spending.

The budget process

The government's budget process (see OECD, 1999*b*) is largely in keeping with the OECD's *Best Practices for Budget Transparency*. The budget usually follows a cycle[42] that culminates with the tabling of the Budget towards the end of the previous fiscal year. In the autumn, pre-budget consultations held by the Commons Standing Committee on Finance lay out budget issues and the financial constraints and trade-offs that the government faces. The pre-budget consultation process began in the mid-1990s to apprise the public of the seriousness of Canada's debt situation and the government's deficit-reduction plan. It continues as a way to make the budget process more transparent and to allow the public to participate and the government to test new proposals.

The government publishes detailed financial and performance reports (Annex VI) throughout the year. However, fiscal transparency also requires a comprehensive, integrated accounting system that is accurate and provides consistent and timely information on the budget. As noted, a Financial Information Strategy (FIS) was initiated several years ago to modernise the government's accounting practices and financial systems.[43] The FIS is now operational in all departments and agencies, and the government has committed to full accrual accounting by 2001-02. Full implementation of the FIS will be needed in order to properly

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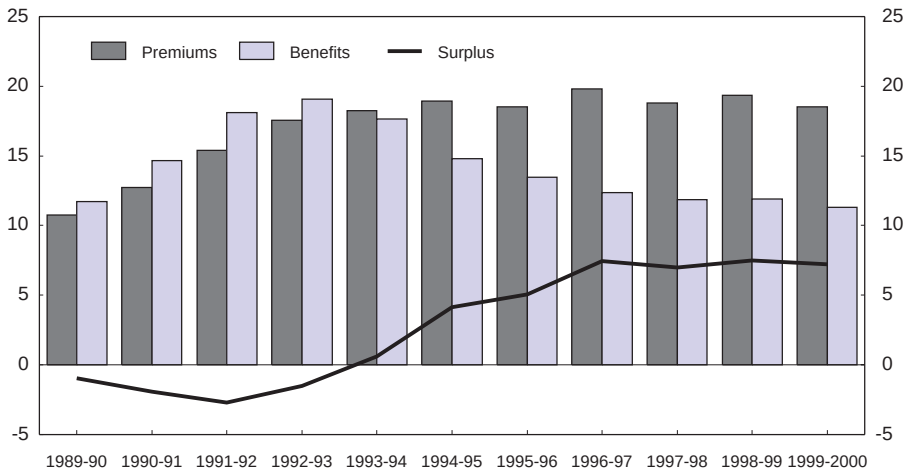
assess what government owes and what state the capital stock is in. It is also essential for the government's ability to produce auditable departmental financial statements and Public Accounts.

Programme objectives and responsibilities

One element of fiscal transparency is the disclosure of programme objectives to allow an assessment of whether they match outcomes. As noted, the Employment Insurance (EI) account has shown a large and growing surplus in the past six years even though the supposed intent of the *Employment Insurance Act* is that premiums should be set to keep the account broadly in balance over the business cycle (Figure 15). By end-March 2000 the cumulated balance in the account reached C$ 28.2 billion, almost twice the maximum estimated by the Chief Actuary of Human Resources Development Canada as necessary to provide a reserve in the event of an economic downturn. The EI account is consolidated with the government's financial statements, and so any surplus is absorbed into the overall budgetary position. Therefore, the EI surplus has made an important contribution to the improvement in the budget balance. However, apart from adversely affecting labour-market performance, high premium rates risk encouraging

Figure 15. **Employment insurance premiums, benefits and surplus**
C$ billions (Public accounts basis)



Source: Department of Finance.

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unnecessary spending in response to criticisms that there are plenty of surplus funds to restore some of the more generous programme elements that were discontinued under the EI reforms in the 1990s. There is a need to clarify the rationale for allowing the EI surplus to accumulate. Then the public can conduct an open debate about the purpose and consequences of setting EI premiums and the relationship between persistent high premium rates and the intent of the government to maintain its overall surplus position (Office of the Auditor General, 2000). Indeed, the government is committed to review the premium-rate-setting process over the next two years in order to clarify the current situation.

It is a general principle that transparency is maximised if government budget transactions are shown on a gross basis so that revenues and expenditures are clearly stated. However, the federal budget presents revenues and expenditures net of payments for the GST credit and the Child Tax Benefit. The difference was approximately C$ 9.5 billion in 2000-01. Payments should be recorded as part of government spending because they are transfers to persons (Office of the Auditor General, 2000). Offsetting these expenditures against revenues can produce a misleading financial impression because tax revenues and programme spending are both shown as much lower than they really are. This practice also makes it more difficult to interpret fiscal rules adopted by the government and to determine whether the government is adhering to them. Hence, like the Annual Financial Report, the budget should report transfer payments also on a gross basis to clearly indicate how much is spent on these programmes.

Another condition for fiscal transparency is that the boundary between the government sector and the rest of the economy is clearly drawn so that roles and responsibilities in government can be precisely defined. In Canada, the boundary between government and the private sector is becoming more diffuse with the creation of new types of governance arrangements where the government collaborates with partners or delegates the delivery of services to third parties (see below). These new arrangements can provide innovative ways of delivering new services because they operate beyond the traditional rules and limitations of government. However, while some of them do report to Parliament, they tend to be beyond parliamentary control and so do not have the same mechanisms for transparent reporting and accountability. To be sure, the government must continue to have discretion to determine the most appropriate governance and accountability structures for these arrangements, reflecting the merits of each case, including the provision for reporting to Parliament. Nevertheless, these arrangements should be monitored closely.

Access to information

Parliament holds the government accountable by watching over departments and agencies and enjoining the government to defend its policies and

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spending. Information provided to Parliamentarians enters the public domain, and so greater transparency to Parliament also implies greater transparency and participation in governance for all citizens. In *Managing for Results, 1999 and 2000*, the Treasury Board noted considerable progress in improving reporting to Parliamentarians since the mid-1990s. As noted, the pre-budget consultations have made the budget process more transparent. Some departments such as Industry Canada have developed open lines of communication between Ministers and Parliamentary committees to exchange ideas on departmental policy initiatives. In general, these Committees need more ongoing and open reporting from all departments on their plans and how well they have achieved their objectives.

An important feature of the 1999 Social Union agreement is the explicit commitment of federal and nine provincial governments to work in concert to enhance transparency and accountability. Governments have agreed to monitor and measure the outcomes of social programmes and report the results to the public. They plan to share information on the best ways to develop performance measures so that comparable indicators can be developed, enabling governments to measure progress on agreed objectives. Mechanisms to involve Canadians in developing social policies and reviewing the outcomes and to have their complaints heard are also to be developed. It will be important that progress be made in implementing these measures.

A government is only fully transparent if the public is provided with the information it requests, and not just the information that the government is prepared to make public. Despite the aforementioned consultations and lines of communication, the business sector recently gave the government low ratings on providing advance notice on upcoming policy changes, responding positively to industry's suggestions and consulting industry on new proposals.[44] The Information Commissioner contends that private citizens also find it difficult to obtain an official response on the information that concerns them (Information Commissioner of Canada, 2000). Under Canada's *Access to Information Act* (1983), Canadians have the right to information recorded in any form from most government institutions, and governments must respond within 30 days to access requests. If requests are denied or tardy, applicants can turn to the Information Commissioner for redress. A more open dialogue could lessen the recalcitrance of government to provide better access to information requested by the public and thereby, indirectly, contribute to enhancing the quality of public expenditure.

Dealing with the risks of new governance arrangements

In recent years the Canadian government has initiated new governance arrangements where third parties rather than federal employees, contractors or agents take part in directing and managing public spending. In *collaborative arrangements*, the federal government shares control with partners and in *delegated arrangements*, entities

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make planning and operating decisions entirely outside government (see Annex VIII). These alternative methods of service delivery are in keeping with the government's move away from central decision-making and toward more autonomous, client-centred arrangements. With greater flexibility to provide local delivery of services, they can improve efficiency and save costs through specialisation. They also provide more freedom to devise innovative ways to deliver services and take sensible risks in an economy with rapidly changing technology and global competition. Operating independently of political and bureaucratic involvement, they can respond more readily to economic incentives. At issue is whether these new arrangements can attain the objective of improved efficiency, flexibility and citizen participation without compromising the benefits of accountability, transparency and probity that come with more traditional governance arrangements.

Collaborative and delegated arrangements, which were practically non-existent at the federal level before 1990,[45] have increased steadily in the past five years. Although the government does not keep a full inventory, an audit conducted in 1999 found 51 collaborative arrangements and 26 delegated arrangements through which the federal government transferred about C$ 5 billion (½ per cent of GDP) annually. About half of the collaborative arrangements are with non-government partners and one-quarter with only government partners. The new arrangements do not fit the established models of service delivery found in departments, Crown corporations and other agencies (Box 6). In traditional governance arrangements, federal departments report to a Minister. Crown corporations, which deliver public services at arms length from the government, are owned by the government and operate under the direction of a Minister. Agencies have a fair degree of autonomy but still report to a Deputy Minister or a Minister. However, in collaborative arrangements, the federal government shares the decision-making and the risk with partners who may be in other levels of government, the private sector, First Nations or the voluntary sector. In collaborative arrangements, the risk stems from the nature of the partnership: the arrangements can be complex and difficult to co-ordinate when partners have different views on outcomes and to whom they are accountable. In delegated arrangements, outside bodies not owned by the federal government have the authority to design, manage and deliver federal services within a framework established by the government.[46] In delegated arrangements, the risks relating to accountability, transparency and protection of public interest stem from their independence from government control.

The Auditor General has laid out a guiding framework for all types of alternative service delivery arrangements based on clear objectives, effective accountability mechanisms, adequate transparency and protection of the public interest (Box 7). The arrangements established thus far have tended to lack a solid framework such as this. Once the arrangements have been created, their results tend not to be well monitored, and so policy makers have trouble ascertaining which arrangements

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Box 6. Federal government approaches to programme service delivery

Traditional arrangements	
Departments and Agencies Federal entities that report directly to a Minister and are subject to the administrative rules and regulations of Treasury Board and the Public Service Commission	Transport Canada Statistics Canada
Crown Corporations Federal entities that have a board of directors, are involved in a federal public policy purpose and report through a Minister to Parliament	Export Development Corporation Canada Post Corporation Canadian Broadcasting Corporation
New arrangements under direct ministerial accountability	
Special Operating Agencies Part of a federal department, reports to Deputy Minister	Passport Office
Service Agencies Federal entity with its own CEO, reports to a Minister but has more autonomy than a department	Canadian Food Inspection Agency Canadian Parks Agency Canada Customs and Revenue Agency
New governance arrangements	
Collaborative arrangements Partnering arrangements with other levels of government, the private and/or the voluntary sectors, where policy and operational decision-making and risk are shared among partners	Labour Market Development Agreements Canada Infrastructure Works Programme National Child Benefit
Delegated arrangements Arrangements where the federal government confers discretionary authority and responsibility over programme design, planning, management and delivery of federal functions to independent outside bodies, usually corporate boards of directors, within a broad strategic policy framework provided by the government	Canada Millennium Scholarship Foundation Canada Foundation for Innovation Canadian Television Fund The St. Lawrence Seaway Management Corporation Canadian Airports Authority

Source: Office of the Auditor General.

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Box 7. **Auditor General's framework for alternative service delivery arrangements**

Credible reporting of objectives

- Clear public objectives
- Concrete performance expectations
- Appropriate performance measurement and reporting regime

Effective accountability mechanisms

- Clear roles and responsibilities
- Performance expectations that are balanced with capabilities
- Well-defined management structure
- Appropriate monitoring regime
- Partner dispute resolution mechanisms
- Specific evaluation provisions
- Procedures to deal with non-performance
- Appropriate audit regime

Adequate transparency

- Public access to information
- Communication of information on key policies and decisions

Protection of public interest

- Citizen complaint and redress mechanisms
- Public consultation/feedback mechanisms
- Policies to promote pertinent public-sector values

work well as policy tools and can serve as an example for the future. Because the funds are committed up front, and often for several years, there is little opportunity to reallocate these funds to potentially more efficient programmes that governments may want to initiate in the future. Once these arrangements come into effect, they operate outside standard parliamentary scrutiny, and so problems are difficult and sometimes impossible to correct, especially if mechanisms for redress are lacking.

Results and benchmarks are often not identified clearly when delegated arrangements are created. The Canada Millennium Scholarship Foundation, for example, aims to deliver 100 000 scholarships each year, but does not make the

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link between this output target and the programme's intended results, which are to reduce student debt and to improve access to post-secondary education. In another example, the Canada Foundation for Innovation aims to "regenerate the research capital base", but does not have a baseline of existing research capital to measure the effectiveness of its spending. In these cases it will be difficult to determine whether the programme succeeded and whether the new form of service delivery contributed to the success.

Canadian Airports Authorities provide an example of the performance problems that occur when a framework of accountability is not established at the outset (Office of the Auditor General, 2000). Between 1992 and 1999 Transport Canada transferred 21 of the 26 airports that make up Canada's National Airports System to not-for-profit organisations called Canadian Airport Authorities. The purpose of the transfer was to make airports more competitive and viable and allow local communities to use them for local development. Transport Canada entered into long-term leasing arrangements with the authorities, who manage, operate and develop the airports. As owner/landlord of transferred airports, the federal government receives rent from each airport authority for the use of land and airport facilities. Because Transport Canada did not determine the worth – the fair market value – of what it was transferring before entering leasing arrangements or renegotiations, there were no appropriate benchmarks against which to assess whether rent amounts were fair and reasonable. Moreover, Transport Canada did not define its own role as a landlord and what practices it should follow to guarantee that the interests of the public were being served. The department has yet to determine how the transfer has affected the government's fiscal position. The implication of initiating these arrangements without a guiding framework is that there is no way to ascertain whether this move saved money, service delivery was better or public interests were served.

In a counter example, the creation of the National Child Benefit, a collaborative arrangement, was exemplary in the way the federal, provincial, territorial and Aboriginal partners worked together to set clear objectives, define their roles and responsibilities and establish clear and measurable outcomes. It is possible that the more recent arrangements have benefited from the problems encountered with their predecessors.

In response to the Auditor General's concerns and a report of the Public Accounts Committee, the government has committed to put in place a new framework that will guide departments developing alternative service-delivery arrangements, including the most appropriate governance and accountability-relationships, and that will ensure that the Treasury Board is appropriately engaged in oversight of initiatives and their ongoing review and adjustment. The Treasury Board will develop a policy guide for departments who plan to introduce alternative service-delivery arrangements and maintain a database of good practices.

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Given that these arrangements came into effect only recently, it is important to ascertain their degree of success and which practices set good examples for future arrangements. An evaluation of the practices of existing arrangements will also clarify how and where the framework should be tailored to different circumstances.

Controlling social spending

Governments gained control over spending and high deficits in large part by reforming social programmes, as shown earlier in this chapter. Now that governments are operating with surpluses, there is a concern that there will be backsliding on the hard-won social reforms. A relaxation of some elements of the EI programme is already in process. There is considerable pressure to increase health-care spending, despite evidence that reforms may be the way to more efficient and effective delivery of services. Widespread increases in spending on social programmes are not in order, particularly given that government debt levels are still high. Furthermore, spending among social programmes to accommodate an ageing society will have to be re-balanced.

Population ageing will place strong pressures on areas of health care and old-age security over the next decades. Projections of age-related spending suggest that in Canada it will rise by nearly 9 percentage points of GDP from 2000 to 2050 (OECD, 2001*a*). A study by the Department of Finance Canada (King and Jackson, 2000) finds that ageing pressures will emerge gradually, adding about 0.8 percentage points in annual growth in health-care expenditures[47] to about 2005, rising to 1.5 percentage points annually by 2012, where it will remain until about 2030. Although the provinces will bear the brunt of health-care costs as the population ages, they will also see a compensating decline in the cost of education and, to a lesser extent, social welfare programmes. The study concludes that population ageing alone should not cause major problems for public finances for federal or provincial governments, provided that they promptly establish macroeconomic regimes that place emphasis on debt reduction in their mix of fiscal policies. Lowering debt loads will free fiscal resources currently dedicated to debt servicing for increases in health-care spending. The implications of this study are that debt reduction must be underway before the demographic pressures build, and governments have about ten years to curtail their debt. Moreover, even though governments can avoid major disruptions in financing if they set in place prudent debt-reduction plans, there will still be little scope for federal and provincial-territorial spending programmes to be enriched.

Optimising public-sector investment

Compared to other OECD countries, Canada has relatively low government investment both as a share of total government outlays and as a share of GDP (Figure 16). As noted, R&D expenditures, in particular, have been quite

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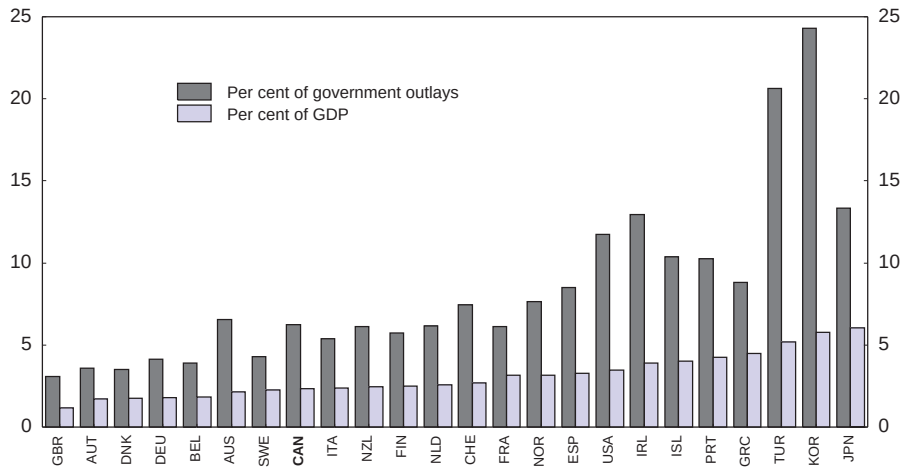
Figure 16. **General government investment in OECD countries**
Per cent, 1999



Source: OECD.

modest by international standards, and the widening US-Canada productivity gap seems to be in part the result of Canada not matching the surge in investment in productivity-enhancing technologies that occurred in its neighbouring country. However, investments both in traditional physical infrastructure (such as roads and airports) and in new-economy infrastructure (such as the electronic highway and telecommunications sectors) not only need to be stepped up but also must perform well to encourage strong productivity growth (Sulzenko and Kalwarowsky, 2000).

The federal government has embarked on a strategy for optimising public-sector investment by creating partnerships with the private sector, other levels of government, universities and research agencies and creating arm's-length agencies to deliver R&D. The benefits of such arrangements are that they limit undue political influence on choosing among research projects while overcoming the potential under-valuation by the private sector of long-term benefits of such investments. The creation of arm's-length agencies and foundations is not without problems, however. In his 1999 Report, the Auditor General raised some issues about the government's R&D strategy, namely that the problems in productivity performance that these programmes are trying to address have not been specifically identified, nor has the extent to which they are expected to increase productivity. To

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determine what works best, these programmes need to be carefully monitored. However, given that the delivery is primarily through arm's-length agencies, the decision-making process is not entirely transparent, and the ability of the government to assess the progress of research investment decisions and make adjustments when they go off track may be limited.

The Canada Infrastructure programmes are also undertaken in partnership with other entities, primarily lower levels of government. In the past, the performance of these programmes was diminished because the accountability of the partners was not clearly spelled out. The first phase of the scheme was introduced in 1994 as a C$ 6 billion shared-cost initiative between federal, provincial and local governments to develop local infrastructure and create employment. Phase II began in 1997 with an additional C$ 450 million. Although these collaborative arrangements are deemed to have contributed positively to federal-provincial relations, they have been run inefficiently without accountability for results (Office of the Auditor General, 1999). Criteria for the choice of projects were ill-defined, and many projects were approved without confirming that they met the selection criteria. Federal officials often did not verify costs claimed, and the employment effects were poorly monitored. Only two provinces put safeguards in place to limit the substitution effects – the tendency of provincial governments to transfer resources away from their own programmes and toward the federally-funded one. In the Red Book 2000 (Liberal Party of Canada, 2000), the governing party committed to various new initiatives under Canada Infrastructure including improvements to municipal wastewater systems and public-transit infrastructure. The success of a new infrastructure programme will depend on whether the design framework for Infrastructure Canada is appropriately modified to improve accountability in the co-operative arrangements. In December 1999 the provincial finance ministers laid out guiding principles for a new infrastructure programme that emphasise concrete strategic criteria for choosing among projects that are based on highest return on investment and enhanced competitiveness.

Wrapping up

While Canada has made commendable advances in controlling and increasing the effectiveness of public spending, the analysis in this chapter has identified some outstanding issues. They relate to the budget process, fiscal relations between central and provincial governments, new governance arrangements, public management and social-spending pressures. Deficiencies and problems in all these areas are not enormous, but addressing them would be of considerable value. Box 8 sets out recommendations on how to deal with them in order to further improve the outcomes of public spending.

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Box 8. Summary of conclusions and recommendations for reform

Promoting fiscal transparency in various domains

- On the basis of the Treasury Board's forthcoming principle-based framework, the authorities should assess whether a governance arrangement is the best way to deliver the service; adopt a framework that clearly defines objectives, accountability, transparency and protection of the public interest; and ensure that there is a mechanism for redress. The Treasury Board should monitor the new arrangements and evaluate their effectiveness.
- The government's review of the rate-setting process for Employment Insurance (EI) premiums should establish whether rates should be lowered more quickly to bring the EI surplus down to the amount required to meet programme objectives so as to avoid encouraging programme enrichment.
- In the budget transfer payments such as the National Child Benefit should be reported on a gross basis to more clearly indicate how much is spent on these programmes.
- Further improvements to performance reports are needed to provide Parliamentarians with the information necessary to scrutinise government policies. The Treasury Board may need to take on an even greater leadership role in the process toward full performance reporting.

Ensuring aggregate expenditure control

- Spending decisions should not be made on an *ad hoc* basis but within a medium-term framework and after careful evaluation of their economic benefits. One way to achieve this would be to publish a ranking of contingent year-end spending proposals at the beginning of the fiscal year. The budget should present the full impact of all new measures on the five-year fiscal projections. Provincial governments could also adopt medium-term frameworks to reinforce spending discipline.
- The Cabinet committees should reinstate the six key tests of Programme Review as guiding principles to evaluate new spending in comparison to existing spending, or, alternatively, adopt the four questions suggested by the Auditor General to evaluate the ongoing effectiveness of government programmes.

Fiscal relations between central and lower levels of government

- Governments need to work toward achieving a broad consensus on the facts relating to vertical and horizontal fiscal imbalances (including alleged economic disincentives of equalisation) so that they can make progress on co-ordinating policies.

Controlling social spending

- Changes to the EI programme that would move it further from insurance principles and loosen fiscal control of the programme are cause for concern.

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Box 8. **Summary of conclusions and recommendations for reform** (*cont.*)

- The ongoing eligibility of social assistance disability-benefit recipients should be monitored carefully to make sure that the programme is not being misused.
- Although the National Child Benefit is exemplary in its design, for some individuals marginal effective tax rates are high, creating potential work disincentives. Further co-ordination of programmes among governments may be desirable.
- Provinces have committed to developing indicators to report on the results of health-care spending, which should provide much needed information on the effectiveness of various programmes and the need for funding.
- Despite the considerable resources devoted to education, dropout rates are still high. Better identification and early intervention for those at risk is necessary. Work also needs to be done to ascertain the relationship between dropping out and low literacy, and what can be done about it.

Optimising public-sector investment

- Recently created arm's-length agencies and foundations need to more clearly identify the productivity and innovation problems they are trying to address and be carefully monitored so that they achieve results.
- The selection criteria for infrastructure investments need to be revised to take into consideration the rate of return and enhanced competitiveness of new projects. Programme costs and employment creation need to be carefully monitored.

Enhancing flexibility and market mechanisms in public management

- The principles set out to guide employees in managing public spending should be broadened beyond the executive level with an emphasis on reinforcing incentives that reward prudence, integrity and achievement of results through greater transparency and accountability.
- Human-resource management modernisation is crucial to increasing the number of talented and well-educated employees, reducing the excessive workload of many current employees, overhauling the costly and cumbersome administrative system, and fostering leadership.
- The evaluation function of spending departments may have been cut back too severely. If this is the case, then additional resources for evaluation are necessary.
- The target of a 10 per cent improvement in client satisfaction with the delivery of key government services within five years should be considered as a minimum as envisaged. Service improvements should be based on the priorities identified by clients.

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IV. Structural issues and policies

As mentioned in previous *Surveys*, the structure of the Canadian economy has changed in a profound way since the mid-1980s, reflecting a succession of significant reforms aimed at liberalising financial and product markets and improving labour-market outcomes. While some signs of a pick-up in productivity growth emerged in 1999 and 2000, it is too early to give a definite judgement on whether this is more than a cyclical phenomenon. Nevertheless, the catch-up in equipment investment over the last four years and the intensification of competition resulting from the expansion in foreign trade have led to a deep restructuring of the business sector in order to adapt to new technologies and remain competitive. This, combined with the reduction of the tax burden following a period of intense fiscal consolidation, offers grounds for cautious optimism regarding future growth prospects. This chapter reviews performance in product, labour and financial markets and examines the recent progress in structural reform, in particular in those areas most likely to have an impact on growth and productivity trends.

Product-market performance: is trend productivity poised to take off?

One of the surprising features of the economy is the extent to which inflation has been subdued in recent years, especially considering the strength of output growth since 1996 (averaging nearly 4½ per cent per annum), the marked decline in unemployment and the sharp rise in oil and non-oil commodity prices. Following a weak first half, characterised by tight fiscal and monetary policies, output growth rebounded sharply in the second half of the 1990s, giving Canada the second-best performance of the G-7 and one of the best across the OECD (Figure 17). Even though output has grown slightly more rapidly in the period 1993-2000 than over the previous cycle, inflation has been significantly lower (Figure 18). That is partly because output was below its estimated potential level for most of the decade. Even so, there is some evidence of a change in the inflation process. Inflation forecasting models tended to over-predict inflation in the late 1990s, although the shift is too recent to allow for a definite judgement as to its significance (Macklem and Yetman, 2000).

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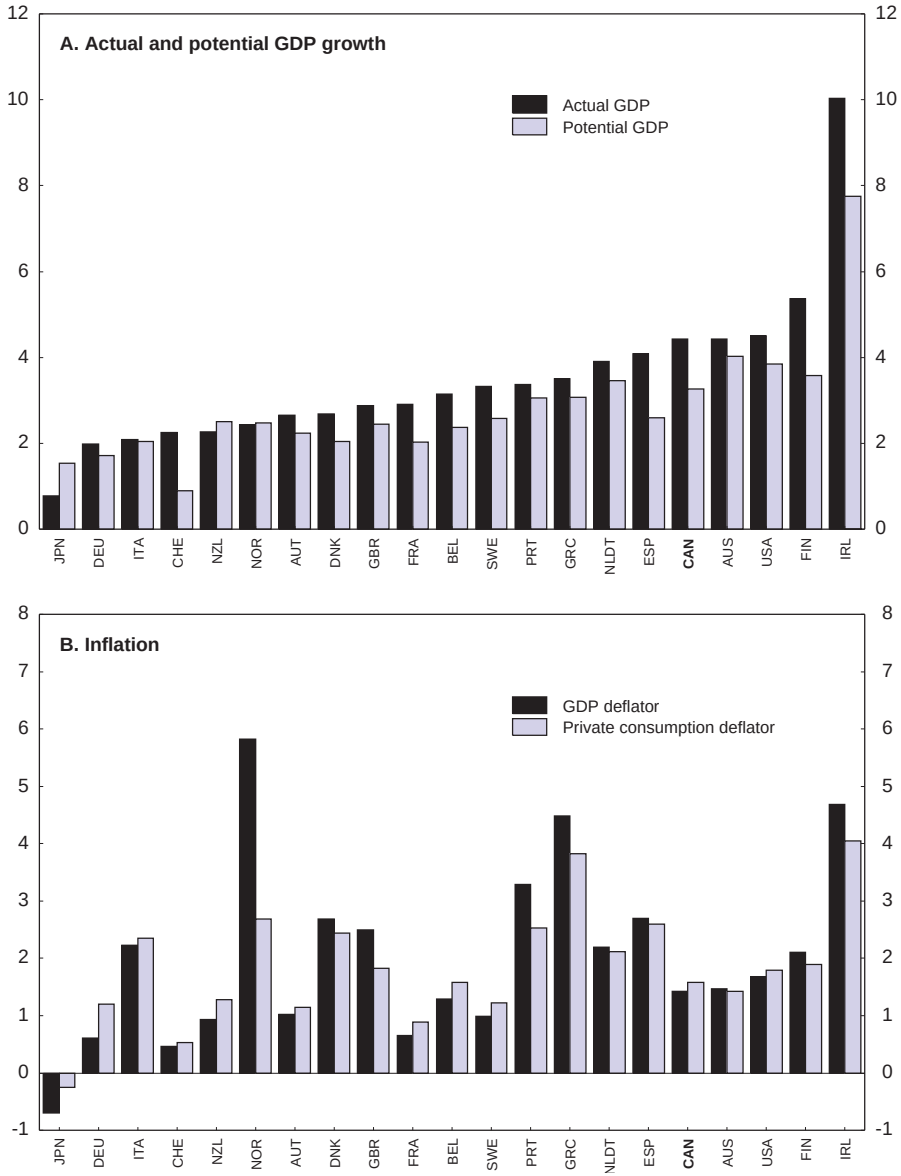
Figure 17. **Actual and potential growth and inflation**
1996-2000, average annual percentage change



Source: OECD.

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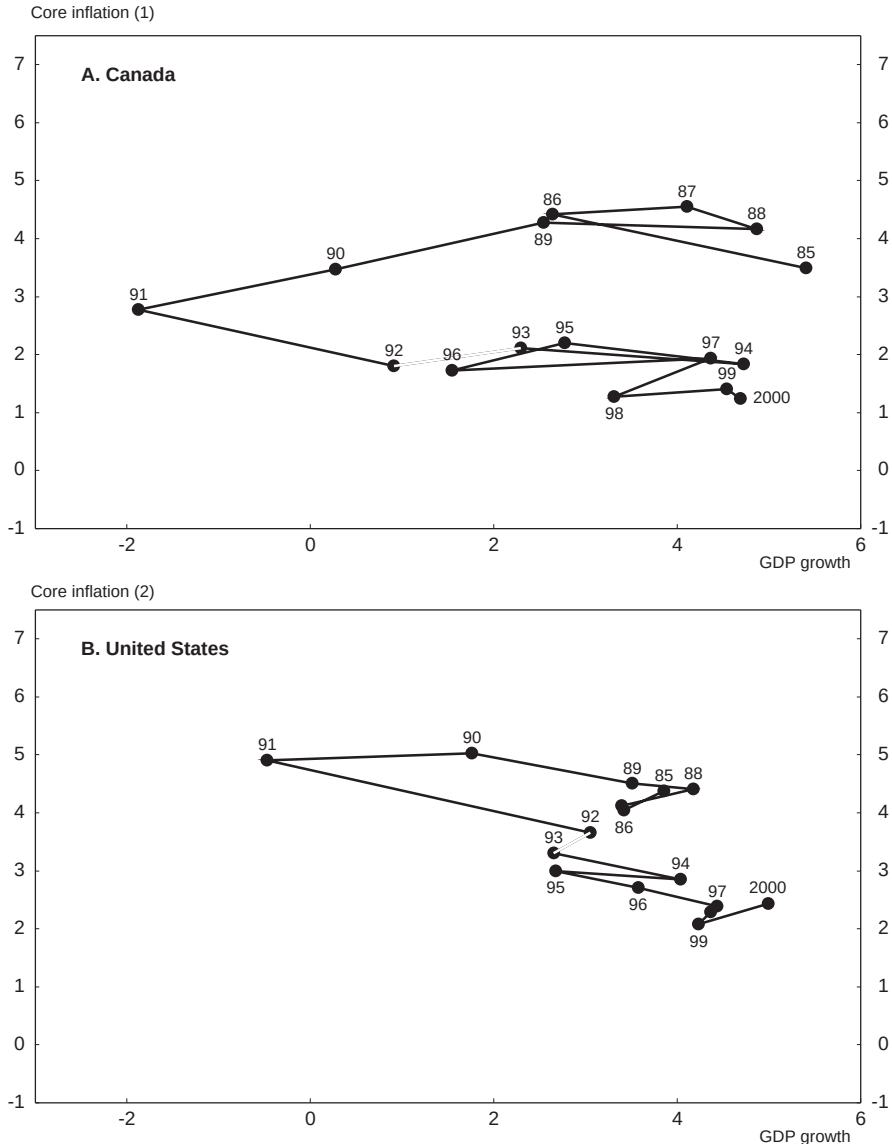
Figure 18. **Phillips curves in Canada and the United States**
Annual percentage change



1. Consumer price inflation excluding indirect taxes and eight most volatile components.
2. Consumer price inflation excluding food and energy.

Source: OECD.

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Table 17. **Sources of growth in real GDP per capita**[1]

Annual average contribution to growth

	1981-90	1991-2000	1991-95	1996-2000
Canada				
Average growth in GDP per capita[2]	1.0	1.4	0.2	2.6
equals the sum of:				
Working-age population	–0.1	0.2	0.0	0.3
Labour-force participation rates	0.6	–0.0	–0.5	0.4
Unemployment rates	–0.1	0.1	0.3	0.6
Hours worked[3]	–0.1	–0.1	–0.1	0.0
Real GDP per man-hour	1.2	1.4	1.4	1.4
MFP	–0.1	0.4	0.4	0.5
Capital intensity	1.3	1.0	1.1	0.9
Terms of trade[4]	–0.6	–0.2	–0.4	–0.1
United States				
Average growth in GDP per capita[2]	2.0	2.2	1.1	3.2
equals the sum of:				
Working-age population	0.3	0.1	–0.1	0.2
Labour-force participation rates	0.4	0.1	0.0	0.2
Unemployment rates	0.2	0.2	0.0	0.3
Hours worked[3]	0.3	0.2	0.1	0.2
Real GDP per man-hour	1.0	1.8	1.3	2.4
MFP	0.8	1.3	1.0	1.7
Capital intensity	0.3	0.5	0.3	0.7
Terms of trade[4]	–0.2	–0.1	–0.2	–0.1
United Kingdom				
Average growth in GDP per capita[2]	2.6	1.8	0.5	3.0
equals the sum of:				
Working-age population	0.2	0.0	–0.1	0.2
Labour-force participation rates	0.3	–0.1	–0.3	0.2
Unemployment rates	0.0	0.0	–0.6	0.6
Hours worked[3]	–0.0	–0.2	–0.3	–0.1
Real GDP per man-hour	2.0	2.1	2.6	1.6
MFP	1.6	1.3	1.6	1.0
Capital intensity	0.3	0.8	1.0	0.6
Terms of trade[4]	0.2	–0.1	–0.7	0.6
Australia				
Average growth in GDP per capita[2]	1.6	2.0	0.9	3.2
equals the sum of:				
Working-age population	0.3	0.1	–0.1	0.2
Labour-force participation rates	0.5	0.1	0.2	0.0
Unemployment rates	–0.1	0.1	–0.3	0.4
Hours worked[3]	–0.1	0.0	0.1	–0.1
Real GDP per man-hour	1.1	2.2	1.9	2.5
MFP	0.2	1.2	1.0	1.3
Capital intensity	1.0	1.0	0.9	1.1
Terms of trade[4]	–0.1	–0.4	–0.9	0.1

1. Estimates for Canada do not yet take account of latest national accounts revisions.
2. Nominal GDP deflated by the private consumption deflator.
3. Annual hours per employee.
4. Change in the ratio of the GDP deflator to the private consumption deflator.

Source: OECD.

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A look at the sources of growth in GDP per capita shows that Canada's recent good performance is attributable to a remarkable improvement in the labour-market situation, as indicated by the significant turnaround in participation and in employment rates (Table 17). In contrast to what is observed for the United States and Australia, for example, labour productivity did not contribute at all to the rise in per-capita-GDP growth in the second half of the 1990s, even if the revised historical data now reveal a slight improvement as from 1998. In this respect, Canada's performance is more comparable to that of the United Kingdom, where productivity gains have also been limited owing in part to the absorption of less-skilled workers. But, with the full range of official capital stock figures still unavailable (following the historical revision), there is as yet no agreement as to multi-factor productivity (MFP) trends.[48] On a growth-accounting basis, the widening of the productivity gap *vis-à-vis* the United States can to a large extent be attributed to differences in the size and performance of the ICT-manufacturing sector in the respective countries. However, this cannot be the whole story, because with a much smaller ICT sector than Canada, Australia has achieved labour-productivity gains comparable to those in the United States. Moreover, productivity growth in the ICT-services sector was weaker in Canada than in the United States, resulting also in a smaller contribution to business-sector productivity growth. As a result, while Canadians continue to enjoy relatively high living standards compared to most OECD countries, the gap *vis-à-vis* the United States has widened further in the 1990s (Figure 19). Note that relative to the United States and the United Kingdom, Canadians' living standards have also suffered from a sharper decline in the terms of the trade over the past 20 years.

Focusing on more recent developments, the strong productivity performance up to the third quarter of 2000 raised hopes that the long-awaited growth pick-up in Canada may finally be settling in. The initial enthusiasm has been tempered since then by the sharp decline in GDP per hour observed in the fourth quarter (see Chapter I). This reversal notwithstanding, recent studies have argued that cautious optimism regarding an acceleration of trend productivity growth in Canada could nevertheless be justified for a number of reasons (Macklem and Yetman, 2000; Muir and Robidoux, 2001; Sharpe and Gharani, 2000). Besides the surprisingly benign inflation outcomes, these include the strong pace of investment in machinery and equipment (M&E) observed in recent years, as well as the hope that the wide-ranging programme of structural reforms pursued since the mid-1980s, which have entailed substantial industrial restructuring and adjustment costs, will put Canada on a higher growth path.

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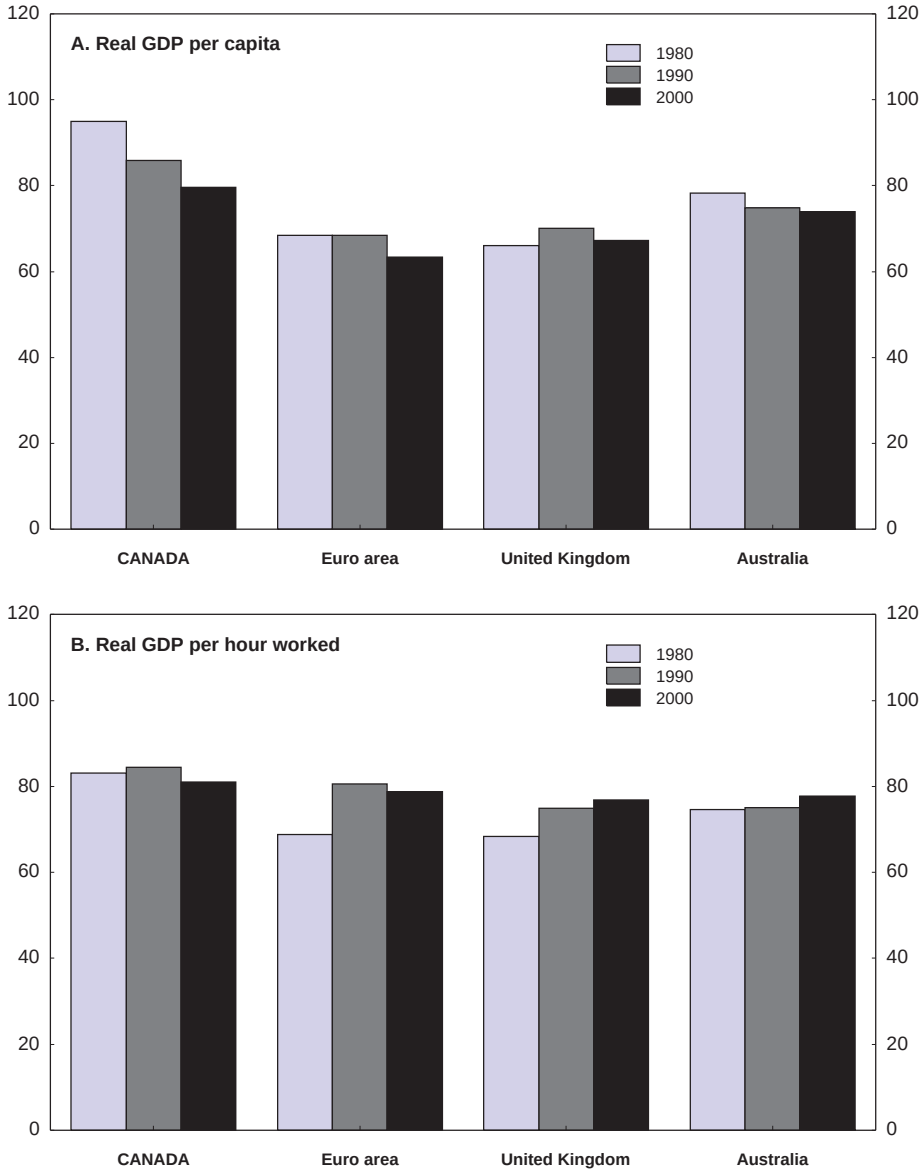
Figure 19. **Real GDP per capita and labour productivity**
In per cent of US levels at 1996 PPPs



Source: OECD.

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Investment in machinery and equipment

A strong rebound since 1996, but Canada remains behind the United States

Investment in M&E has long been identified as one of the key drivers of productivity growth, along with trade openness and human capital (Harris, 1999; OECD, 2000*c*). Empirically, the correlation between investment in M&E (as a share of GDP) and growth in GDP per capita across OECD economies stands out as particularly robust and significant. *First*, an increase in the quantity of physical capital has a direct positive, albeit transitory, influence on labour productivity growth through capital deepening. As shown in Table 17, the rise in capital intensity has contributed more significantly to growth in the 1990s in Canada than in the United States and the United Kingdom. *Second*, investment in new M&E can also lead to a sustained increase in productivity growth if the rate of capital-embodied technical change accelerates.

Investment in M&E in Canada has risen significantly in the 1990s, both in volume terms and as a proportion of nominal GDP (Figure 20). Even so, it remains below US proportions, partly because the pick-up began several years later than in the United States. However, comparisons of aggregate measures could mask more significant differences in quality improvements of the capital stock, given the difficulties in properly measuring such changes.[49] One way to assess the possible differences in the composition of investment in recent years is to compare the relative importance of investment in information and communication technologies (ICT), given its substantial price decline and contribution to recent US productivity performance.

Private investment in ICT: limited contribution so far to growth in output and productivity

ICT capital goods are generally classified in three categories: IT equipment (computer hardware); communications equipment; and software. Recent internationally comparable data indicate that in the case of communications equipment, the growth rate of real investment in Canada in the 1990s was similar to that observed in other countries such as the United States, France, and the United Kingdom, higher than in Japan and Italy, though far less than the leader, Finland (Table 18, Panel A). Moreover, the acceleration from the first to the second half of the 1990s was particularly sharp. In the case of IT equipment, where price declines have generally been more substantial, investment has grown more rapidly in Canada than in many other major countries in the 1990s, but significantly more slowly than in the United States. Overall, given the greater importance of IT equipment in total capital services, the contribution of ICT investment excluding software to aggregate GDP growth has been smaller in Canada than in the United States and Australia, though higher than in France, Italy and Japan.[50]

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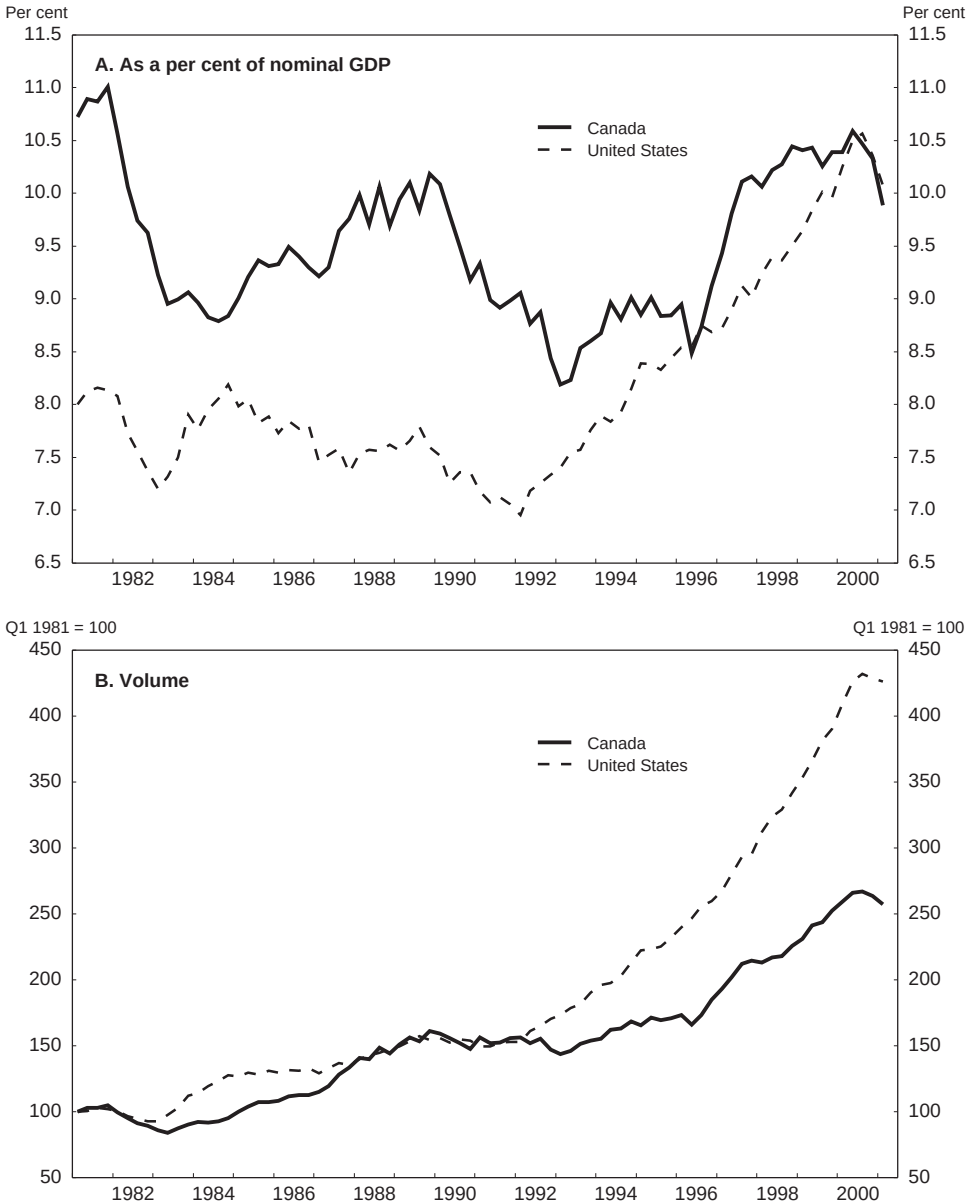
Figure 20. **Machinery and equipment investment**



Source: OECD.

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Table 18. **Contribution to output and labour productivity growth from ICT investment**

Per cent per annum

	Period	**Canada**	United States	Japan	France	United Kingdom	Italy	Australia	Finland
	A. Contribution of ICT capital to output growth								
Business-sector output growth	1990-95	**1.82**	2.48	1.46	0.96	1.35	1.44	3.37	–0.70
	1995-99	**3.83**	4.32	1.07	2.51	3.09	1.72	4.59	5.63
ICT investment growth									
IT equipment	1990-95	**20.2**	22.5	15.4	19.0	17.9	10.3	22.1	8.2
	1995-99	**23.2**	33.9	19.0	28.7	33.5	25.5	16.5	16.8
Communications equipment	1990-95	**3.7**	6.2	5.2	5.2	7.5	5.1	7.7	11.9
	1995-99	**15.9**	14.3	9.9	16.1	15.8	10.3	10.9	24.8
Contribution to output growth (percentage points)									
ICT capital excluding software	1990-95	**0.25**	0.29	0.24	0.18	0.21	0.18	0.34	0.16
	1995-99	**0.36**	0.61	0.30	0.24	0.48	0.24	0.44	0.40
Total capital services	1990-95	**0.69**	0.97	1.46	1.00	0.66	0.74	1.34	0.26
	1995-99	**0.95**	1.70	0.99	1.07	1.04	0.97	1.58	0.53
	B. Contribution of ICT-using industries to labour-productivity growth								
Business-sector labour-productivity growth	1989-95	**1.18**	1.12	1.20	1.38	2.02	1.87	–	3.30
	1995-99	**0.83**	1.94	0.83	–	1.21	0.74	–	2.72
Contributions to labour-productivity growth (percentage points)									
ICT-using industries	1989-95	**0.50**	0.47	0.93	0.15	–	0.52	–	0.47
	1995-99	**0.24**	1.77	0.55	–	0.74	–0.02	–	0.71
Wholesale and retail trade	1989-95	**0.08**	0.25	0.31	0.26	–	0.36	–	0.13
	1995-99	**0.27**	1.12	–0.11	–	0.10	0.16	–	0.23
Finance and business services	1989-95	**0.42**	0.23	0.62	–0.12	0.27	0.16	–	0.35
	1995-99	**–0.03**	0.65	0.65	–	0.64	–0.17	–	0.47
Transport and storage	1989-95	**0.03**	0.06	–0.10	0.02	–	0.16	–	0.23
	1995-99	**0.06**	0.05	–0.04	–	0.08	–0.10	–	0.22

Source: Colecchia (2001), Lee and Pilat (2001) and Oulton (2001).

While the direct contribution of ICT investment to GDP growth may look small overall, its full impact may not be entirely captured in a simple growth-accounting framework if ICT capital generates important network externalities and knowledge-spillover effects, which raise MFP in the non-ICT producing sector. So far, there has been little evidence of a favourable impact of ICT investment on MFP except perhaps in the United States, and even there the size of the impact depends on how much of the acceleration in productivity growth is assumed to be cyclical.[51]

Few comparable studies exist for other countries, including Canada, owing in part to the difficult measurement issues involved. However, in order to assess the impact of ICT investment without separately measuring ICT and non-ICT capital stocks, one recent study focused on the contribution from the largest ICT-using services sectors to MFP and labour productivity growth in the overall business sector (Pilat and Lee, 2001). The idea behind the approach is that if ICT investment is to have a significant impact on labour productivity and MFP growth, either *via* capital-embodied or disembodied innovations, one would expect to observe a substantial productivity increase in the few sectors where investment in ICT has been largely concentrated.[52] So far, the results for Canada indicate that the contribution to business-sector productivity growth from labour productivity growth in heavy ICT-using sectors has actually fallen from about ½ percentage point per annum in the first half of the 1990s to about one-quarter in the second half (Table 18, Panel B). An examination across sectors indicates that a rise in the contribution from wholesale and retail trade has been more than offset by a decline in the contribution of the financial and business services sector. Moreover, MFP growth in these ICT-using sectors was actually negative in the second half of the 1990s.[53]

The fact that little evidence of an increase in productivity growth in ICT-using services can yet be found outside the United States may not come as a surprise, considering that US firms began to invest in ICT earlier than most others. Moreover, the results would also tend to confirm earlier findings showing that as far as growth in economy-wide MFP is concerned the United States has benefited from a strong contribution from the ICT-*producing* sector as well. More generally, judging from past experience with large-scale technological changes, more time may be required before the positive network externalities show up clearly in higher MFP growth outside the ICT-producing sector itself, despite the faster speed of diffusion of information technology compared to previous technological revolutions such as electricity (Helpman, 1998).

ICT *infrastructure*

Canadians are well connected, but firms are slow to embrace electronic transactions

Regarding the diffusion of information technology, Canada entered the new millennium in a relatively favourable position. A recent report from the

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Conference Board has broadly confirmed its enviable ranking relative to other OECD countries with respect to four indicators of connectedness:[54] availability, price, reach and usage intensity (Conference Board of Canada, 2000*b*). In each of these broad indicators, Canada ranks either second or third, always behind the United States, and sometimes behind Finland or Sweden. As a result, Canada comes second in the overall connectedness index. In part this reflects the strength of the domestic telecommunications sector, which has helped Canada to achieve a high internet penetration rate. However, it ranks tenth and last in the rate of mobile telephone subscriptions.

In addition, the report noted that Canadian firms were generally not as ready as their US counterparts to embrace electronic commerce despite comparable access to the required infrastructure. The gap is particularly large in the case of small firms (those with fewer than 100 employees), where only 5 per cent of Canadian businesses recorded on-line sales compared to 14 per cent in the United States. Behind these numbers lies the concern that Canadian firms may not be actively seeking ways to exploit the potential from new technology to improve their competitiveness. A more general concern is the risk of complacency on the part of business leaders and policy makers given the favourable initial ranking. In fact, the same types of indicators suggest that while Canada is in many aspects struggling to stay close behind the United States, its lead over other countries has been narrowing (Conference Board, 2000*b*).

Some of these issues have been addressed by the *Canadian E-business Opportunities Roundtable*, a group created in 1999 on the initiative of private business leaders, with the objective of accelerating the diffusion of electronic commerce and consolidating Canada's favourable position. In an initial Report issued in early 2000 (Canadian E-business Opportunities Roundtable, 2000), the *Roundtable* identified a series of barriers to the expansion of E-business in Canada and suggested ways to reduce them. The main obstacles include: the small size of the domestic market; limited access of internet start-ups to high-risk capital – owing in part to various impediments faced by venture capitalists; and a shortage of skilled workers, which is partly aggravated by the competitive salary packages offered by US firms. The Report reckoned that the government could reduce some of these barriers with tax changes aimed at improving incentives for risk-taking, plus an easing of some regulatory restrictions, including restrictions on listing requirements, the resale of shares following an initial public offering (IPO) and on the flow of foreign investment into venture capital funds.

Policies to promote the development of electronic transactions

As discussed in the previous *Survey*, some of the tax changes recommended in the Report were adopted by the government in the February 2000 Budget. These include the reduction in the capital-gains-inclusion rate as well as

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the ability to defer tax on stock options of less than C$ 100 000 and on capital gains on investments of up to C$ 500 000 that are quickly rolled over into another small firm. In the October 2000 Budget Update the Minister of Finance announced a further cut in the federal capital-gains-inclusion rate, from 67 to 50 per cent, putting the effective tax rate below that in a typical state in the United States. In addition, the timetable for reducing the corporate tax rate from 28 to 21 per cent was moved forward, implying that Canadian corporate tax rates could fall below those in the United States by 2005, assuming US rates remain unchanged. Finally, in order to help firms retain high-skilled employees, income taxes at all level of earnings were cut further (see Chapter II). Besides the progress made on the tax front, the province of Ontario has announced its intention to ease listing requirements and to amend regulations so as to shorten the legal period before an initial investor can cash in stocks following an IPO.

While this set of measures improves the incentives to undertake risky investment, further efforts may be required to intensify the commercial use of the internet, especially in the case of households and small firms involved in traditional business sectors. The results from a recent survey of SME leaders showed that progress in the use of electronic business transactions has been slowed by the lack of information and strategic business resources, implementation costs and concerns over security. A number of solutions have been suggested to provide small firms with better access to information while helping them to overcome the IT-entry cost, including the creation of a mentoring programme to facilitate the transfer of knowledge and a special tax incentive similar to the Y2K tax credit. Even though this may be more difficult to implement concretely, such a mentoring system should be given stronger consideration than the tax-credit option. Given that a large number of firms have already invested in electronic business infrastructures, the introduction of a special tax credit may be costly if it distorts competition or subsidises firms that would have undertaken the investment anyway. The reduction in corporate tax rates represents, in this respect, a better long-term way to encourage small firms to invest in new technology.

In any event, small firms might face stronger incentives to build on-line capacities if consumers were themselves less hesitant to engage in electronic transactions. While 42 per cent of all households had at least one regular internet user in 1999, less than half of them had used the internet to buy goods or services, owing in part to the concerns over security.[55] In this regard, the government has made significant progress in putting in place the legal framework to build mutual trust by all parties involved in electronic transactions and clarifying the rules for the digital marketplace. In particular, the enactment in January 2001 of the *Personal Information Protection and Electronic Act*, which protects the personal information of individuals when used in the course of commercial activity, should help to boost consumers' confidence. In addition, representatives from business, consumers and the government have worked together within the Electronic Commerce and

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Consumers Working Group to develop a Code of on-line business practices, based on a number of principles for consumer protection. One of the challenges for the Group, however, is to find a way for the adoption of the code's business practices that takes into consideration the global nature of electronic commerce.

The government can also provide leadership by intensifying its efforts to expand the range of its own on-line services available to the public. Despite Canada's high ranking for central government on-line services (third), it is significantly behind the United States, ranked first ahead of Australia. In fact, in its second Report, the R*oundtable* indicated that on-line government was one of the few areas where progress had more or less stalled in 2000, putting at risk the stated objective of having all key public services on-line by 2004 (Canadian E-business Opportunities Roundtable, 2001). Moreover, considering the importance of public procurement in the economy, the government could boost the incentives for small firms to develop their on-line transaction capacities by accelerating the use of the internet for public-sector purchases of goods and services.

In sum, it is still unclear how new ICTs will measure up compared to previous general-purpose technologies in terms of their impact on economy-wide MFP growth (*e.g.* Gordon, 1999). However, if the encouraging signs from the recent US experience turn out to be confirmed in the next few years, Canada should be in a good position to benefit from the positive externalities, especially if it also improves its record in fundamental innovation.

Investment in R&D *and innovation*: *Canada still lags behind*

Canada ranks relatively low on two indicators of innovation: investment in R&D; and patents. In terms of R&D intensity, Canada in 1997 lagged all G-7 countries except Italy and also came behind the Scandinavians, Switzerland, the Netherlands and Belgium (OECD, 1999*e*). Even though it ranks well in terms of patents granted per capita, Canada was still far behind the United States and Japan.[56] This partly explains the fact that, despite having a reasonably good science base and a well-educated workforce, Canada is often characterised as suffering from a product innovation gap, that is, a weakness in the introduction of new products (Trefler, 1999*a*). However, it has recently made gains in the area of science-innovation linkages, where Canadian patent applications are increasingly based on published scientific research (OECD, 2001*b*). Furthermore, Canada has managed to narrow the gap in the ratio of R&D investment to GDP with its G-7 partners.

Canada's official goal is to be one of the OECD's top five R&D performers by 2010. In that perspective, the government has set an objective of doubling direct federal R&D spending by that point, and, as noted in Chapter III, it has launched several initiatives over the years to stimulate investment in R&D and a multitude of programmes aimed at funding research (Rao *et al.*, 2001).[57] The October 2000 Budget Update included a variety of measures designed to stimulate

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research and innovation mainly *via* a substantial boost to the Canada Foundation for Innovation, a public organisation developing research facilities and networks.[58] Canada also has the second most generous tax treatment for investment R&D in OECD (OECD, 1999*e*). However, there is mounting scepticism regarding the efficiency of such fiscal incentives. F*irst*, there is some evidence that the tax credit is generating a significant dead-weight loss, given that it applies to all rather than incremental R&D (Dagenais *et al.*, 1997), even if switching to an incremental approach would raise implementation challenges. On the other hand, other results using a computable general equilibrium model show a net economic benefit from using tax-financed incentives for R&D (Department of Finance and Revenue Canada, 1997). S*econd*, the efficiency of the preferential tax treatment may have been partly offset in the past by the relatively high corporate tax burden. In particular, effective corporate taxation is significantly heavier in services than in manufacturing industries compared to other G-7 countries (Sulzenko and Kalwarowsky, 2000). In this respect, the trend towards lower corporate tax rates initiated in the 2000 Budget and pursued in the October 2000 Budget Update as mentioned above is a significant step in the right direction, especially insofar as the cuts are accompanied by reductions in personal income tax rates which also have an impact on innovation incentives.

International trade and investment: a generally open regime with some exceptions

Could the vast expansion of foreign trade generate productivity gains?

Since the introduction of the free-trade agreement (FTA) with the United States in 1989, later extended to Mexico (in the form of NAFTA), the share of foreign trade (the average of exports and imports) in Canada's GDP has skyrocketed from 26 to 43 per cent, making Canada easily the most open G7 economy (Figure 21). Although it is likely that cross-border trade would have intensified independently of the FTA, exports and imports in sectors which have been liberalised under the agreement have nevertheless risen much more rapidly than in other sectors (Schwanen, 1997). Moreover, while the FTA has probably resulted in net trade creation rather than diversion,[59] the share of exports to the United States in total Canadian merchandise exports has increased further to reach 86 per cent in 2000. Considering that the degree of openness to foreign trade and investment has been identified in the empirical literature as one of the key determinants of growth, Canada's under-performance in living standards and manufacturing productivity relative to the United States, in particular since the late 1980s, is not easy to reconcile with these foreign-trade developments.

Several factors suggest that, despite the coincidence, the widening productivity gap between the United States and Canada may not be directly linked to trade developments. F*irst*, as mentioned earlier, the superior productivity

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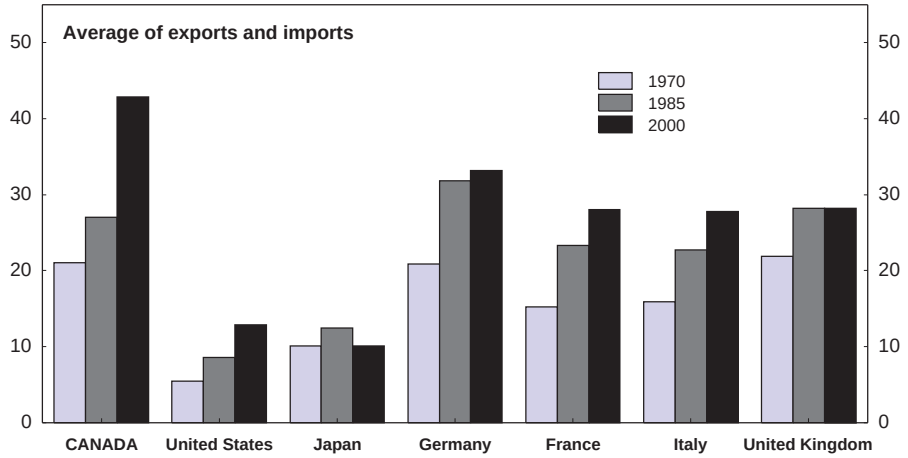
Figure 21. **Foreign trade expansion**
Per cent of GDP



Source: OECD.

performance in the United States in the 1990s was largely concentrated in two sectors unaffected by FTA: industrial machinery and equipment and electronic and other electric equipment. In fact, there is some evidence that productivity has generally risen faster in Canada than in the United States in those industries which experienced the largest tariff reductions under FTA (Trefler, 1999*b*). The productivity gains generated in these sectors were nevertheless nowhere near substantial enough to compensate for the ground lost in the high-tech sectors. *Second*, there is also evidence that, at least until the mid-1990s, the rise in foreign trade openness tended to reduce sectoral productivity gaps *vis-à-vis* the United States (Harris and Kherfi, 2000).

There is little clear evidence that trade liberalisation has resulted in increased specialisation: for example, there has been little variation in the relative shares of major industries in total manufacturing with the top ten maintaining their share around 50 per cent between 1988 and 1995 (Harris and Kherfi, 2000). However, it is likely that competitive pressures have increased. *First*, import penetration by foreign producers, and not just those from the United States, has increased (Figure 22). *Second*, the reduced pass-through of exchange-rate changes to consumer prices suggests that product markets have become more competitive (Bank of Canada, 2000), although this is a world-wide phenomenon. *Third*, even

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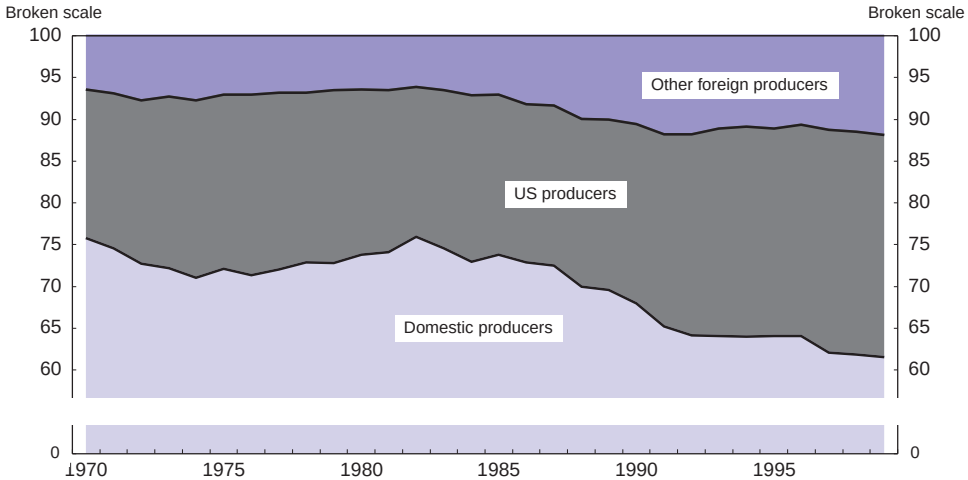
Figure 22. **Share of the domestic market for manufactures**

Per cent



Source: OECD.

though the competitiveness of domestic firms has been supported by the substantial depreciation of the Canadian dollar, a recently published survey of Canadian companies from all the major sectors of the economy has confirmed that restructuring efforts greatly intensified in the 1990s (Kwan, 2000).[60] Moreover, nearly one third of the respondents referred to competition from US firms and/or the desire to compete globally as a primary motivation for restructuring, although less than 20 per cent pointed directly to the FTA. While the need for restructuring was felt in most sectors of the economy, particularly large transition costs were borne in manufacturing, as resources were moved out of low-tech sectors that had previously been heavily protected (Trefler, 1999*b*). The rebound in manufacturing output and employment since 1996 suggests that the transitional costs may have been largely absorbed, leaving open the possibility that the long-term benefits will become evident in the near future.

Another source of optimism comes from the possibility that, given Canada's close trade and investment ties with the United States, it is better positioned than most to achieve relatively fast convergence, should the recent US productivity surge prove to be more than a cyclical phenomenon or one confined to the ICT-producing sector. The speed and extent of an eventual catch-up will depend on a number of factors including the degree to which opening up to foreign trade does

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indeed foster the transfer of knowledge and R&D benefits. It may also depend on whether or not the reduction in trade barriers has led to a reduction of inward foreign direct investment (FDI), given that the latter can be seen as a substitute for trade in goods and that FDI may well constitute a more powerful channel for technology transfer. In this regard, the fear that tariff reductions would lead US firms to lower investment in their Canadian affiliates has not materialised. FDI flows from the United States as a share of GDP have risen since the early 1990s. Moreover, studies based on micro data from US multinationals and Canadian affiliates found a significant negative relationship between Canadian tariffs and levels of capital investment by the US parent (Feinberg, Keane and Bognanno, 1998; Mirus, 2000). These results have been broadly corroborated by a study looking at the link between inward FDI and imports for a number of Canadian industries which found evidence of complementarity in all but two cases (Hejazi and Safarian, 1999).[61]

Several factors can explain this development. *First*, in addition to tariff reductions on traded goods, both the FTA and NAFTA included provisions for the reduction of barriers to the cross-border flow of services and direct investment. *Second*, relative to the United States, Canada can be regarded as a low-cost location, an advantage magnified in the 1990s by the real depreciation of the Canadian dollar. *Third*, with the prevalence of multinationals and the growing importance of intra-industry and intra-firm trade, the cause-and-effect relationship between trade and investment appears to have reversed since the mid-1980s with direct investment leading trade (Fontagné, 1999). As a result, inward FDI may have been encouraged by the reduction in barriers to imports. And, although clear evidence of the strength of technology transfer *via* FDI flows is difficult to establish, there are indications that their impact on Canada's output performance is favourable not only *via* the competitive pressures they put on domestic firms but also because foreign-controlled firms tend to be more productive than their Canadian counterparts (Baldwin and Dhaliwal, 2001; Rao and Tang, 2000). Despite these beneficial effects, barriers to foreign ownership in Canada remain higher than in most other OECD countries (Nicoletti *et al.*, 1999). This may partly explain why its share of the world FDI stock has fallen considerably since 1985, albeit from a comparatively high level relative to its share of world GDP (Figure 23).

Further trade liberalisation on the policy agenda

Against this background, Canada's approach is to pursue trade liberalisation *via* multilateral, regional and bilateral negotiations. *First*, Canada is fully participating in WTO discussions concerning the liberalisation of agricultural products and services. *Second*, it is fully engaged in the initiative to create a free-trade zone throughout the Americas by 2005, as recently agreed at the Quebec City Summit of the Americas. *Finally*, since the signing of NAFTA, Canada signed free-trade agreements with Chile and Israel in 1997 and with Costa Rica in 2001, while proceeding

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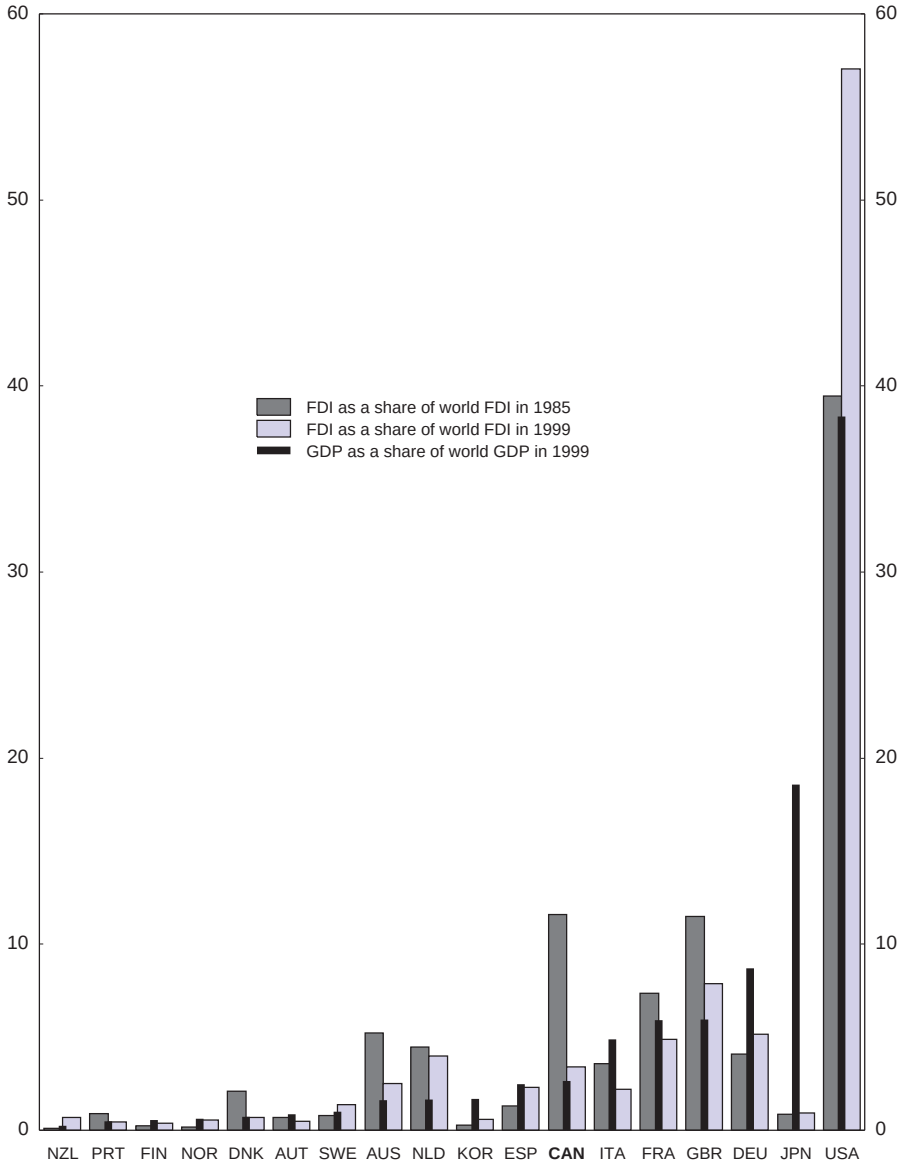
Figure 23. **Share of world FDI stock**

Per cent



Source: IMF and OECD.

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with the implementation of the Uruguay Round agreements. Canada is also negotiating free-trade agreements with the European Free Trade Area (EFTA) and the Central American Four (Nicaragua, Honduras, Guatamala and El Salvador) and has initiated exploratory discussions regarding free trade with the Caribbean Community (CARICOM) and Singapore.

Throughout these negotiations, one of Canada's priorities has been the development of a transparent, rules-based trading system underpinned by an adequate dispute settlement mechanism in order to ensure secure access to foreign markets. In this respect, Canada has been actively involved in various WTO panel disputes both as a complainant and a defendant, and it has been affected by a number of recent rulings by WTO panels. On the on-going dispute with Brazil, Canada was granted permission to impose retaliatory sanctions after the Brazilian authorities refused to comply with a WTO ruling that sales of regional aircraft by Brazil's Proex had been supported by illegal export subsidies at the expense of its main competitor, Canada's Bombardier.[62] In another high-profile case which opened a large breach in the US-Canada auto trade pact, Canada has complied with a 2000 WTO ruling by extending the existing 6.1 per cent duty to all vehicles imported from outside North America. In the past, cars built by the three American carmakers and imported from outside the United States were exempt from the duty applied on other manufacturers, a practice ruled to be discriminatory by the WTO. A better way to end discrimination and benefit Canadian consumers would have been to phase-out tariffs on all imports of automobile and parts, regardless of origin. The Canadian authorities have stated that Canada remains committed to further automotive tariff reductions, but in the context of international trade negotiations where Canada can achieve increased access to foreign markets. In the case of patent protection, Canada decided not to appeal a WTO ruling following separate 1999 challenges by the United States and the European Union and passed legislation to amend the *Patent Act* by granting a minimum term of 20 years counted from the date the patent application is filed, as required by the WTO Agreement on Trade-Related Aspects of Intellectual Property (TRIPS). Besides these, and several low-profile cases pending at the NAFTA tribunal, Canada is also engaged in a long-standing dispute with the United States on softwood lumber, which may well result in a dispute panel (see Box 9).

More generally, even though Canada's trade and investment regime is regarded as one of the most liberal, a number of barriers persist, in particular in services, textiles and agriculture (WTO, 2001). In the latter case, Canada's efforts to secure market access and eliminate export subsidies are weakened by the slow pace of liberalisation of its supply-managed agricultural sectors – dairy, poultry and eggs (see below). Moreover, while over 90 per cent of imports come into Canada free of duties, some tariffs are imposed on products which represent strategic exports for developing countries such as vegetables, flowers, sugar, textiles, clothing and shoes, although some preferential tariff rates have been granted. In

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Box 9. Softwood Lumber Agreement

One of the long-standing trade disputes (since 1982) between Canada and the United States has resurfaced recently with the expiration of the 1996 Softwood Lumber Agreement (SLA). The primary source of the dispute concerns the differences in systems of management of timber resources. While 95 per cent of US timber is sold at auction, the same proportion in Canada is publicly held and hence companies pay royalties for the right to cut trees on public land. The US lumber industry complains that Canadian forest management practices constitute countervailable subsidies to its exporters. The practice of principal concern is the provinces' provision of timber to their mills for fees that are administratively set below market value. In 1992, the US Department of Commerce agreed with this claim and imposed countervailing duties. A bi-national FTA panel ruled that there was not a sufficient legal basis to sustain the Department of Commerce's findings. As a result, the Department of Commerce terminated the countervailing duty order. In 1996, after Canadians exporters captured a 36 per cent market share, the US industry was preparing to file a new countervailing duty petition. The Canadian industry preferred self-imposed export quotas in order to avoid the risk of a long and costly dispute; this led to the SLA. Under the five-year agreement, an overall annual quota of 14.7 billion board feet was set for the four largest producing provinces. Individual allocations were made to each exporting company, with graduated fees if they exceeded their quotas, allowing the Canadian government to collect the fees rather than the US government.

The SLA expired on 31 March 2001. On 2 April 2001 the US industry filed petitions for a countervailing duty investigation and, for the first time, an anti-dumping investigation. The US Department of Commerce began its investigation on 23 April 2001. Given the preceding FTA ruling in Canada's favour, should the US industry succeed in its trade cases, Canada is prepared to challenge the results under NAFTA and, if needed, to take the case to the WTO, even though this could take several years and would be very costly to government and industry on both sides of the border.

Developments perceived to be reinforcing Canada's hand in the dispute include the acquisitions of Canadian firms by US producers, which has led to diverging interests within the US lumber industry lobby. Furthermore, estimates have been published showing that the SLA boosted US lumber prices, potentially raising the cost of a new house in the United States by between US$800 and US$1 300. As a result, a lobby of US homebuilders and consumers has been formed to support the Canadian position.

addition, Canada is one of the most active users of anti-dumping actions, with 76 definitive duties in force at end-2000, affecting exports from around 31 partners, over half of which relate to steel products. Finally, competition in the domestic airline industry is being hampered by restrictions on foreign ownership of Canadian airlines and on foreign operators servicing the domestic market.

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Overall, Canada's efforts to further open international trade on different fronts are commendable. However, it should make sure that the pursuit of bilateral or regional trade agreements does not lead to net trade diversion and that these preferential arrangements do not undermine the multilateral efforts made by the WTO. Furthermore, few bilateral trade agreements have so far been concluded with developing countries. To address the issue of least-developed-country access to Canadian markets, in September 2000 Canada extended duty-free access for such countries for over 550 additional tariff lines and liberalised rules of origin. This contrasts with the recent EU decision to provide duty- and quota-free access to its markets for producers of nearly all products from the poorest developing countries. But perhaps most importantly at the moment Canada is the only country not to have joined the draft Export Credit Understanding on Agriculture negotiated in the OECD, a six year-long effort to scale back export credit programmes for farm products by shortening the length of the credit terms offered from the current three or 10 years to 18 to 21 months. The Canadian position is, *first*, that the draft Understanding does not go far enough in imposing disciplines on export credit practices when commercial repayment terms are typically 180 days, and, *second*, that it would capture the export credit activities of State-Trading Enterprises (such as the Canadian Wheat Board) undertaken on their own account, thereby putting them at a disadvantage *vis-à-vis* their private-sector competitors. Others joining the Understanding note that the new disciplines will in fact impact on current practices and have concluded that the proposed Understanding represents a significant step towards export credit disciplines for agricultural products. Without full consensus, the Understanding will collapse and negotiations will have to move to the WTO.

F*inally*, while external trade has brought a significant contribution to growth in the 1990s, the competitiveness of Canadian firms could further gain from the completion of a single product market within Canada. In particular, the realisation of economies of scale by Canadian firms may have been hampered by the remaining barriers to internal trade. Since the publication of the last S*urvey*, some marginal progress has been made regarding the implementation of the 1995 Agreement on Internal Trade (AIT), one of the key mechanisms the federal and provincial governments are using to make regulatory changes with a view to improving competitiveness. An Internet site has been created, listing public procurement opportunities, and a public consultation project to identify pragmatic ways for improving internal trade culminated in a national conference in the spring of 2001. But the review of the AIT chapter on agriculture has yet to be considered or approved by the responsible ministers (even though inter-provincial trade in several farm sectors remains severely circumscribed). Also, despite ongoing negotiations, there has as yet been no agreement to extend the coverage of the procurement chapter to government entities (mainly crown corporations) of a commercial or industrial nature, to incorporate an energy chapter nor to clarify the

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code of conduct on permissible incentives. The major area where significant improvement is expected in 2001 concerns labour mobility, with the elimination of residency requirements as an employment condition or as a condition of eligibility for professional licensing, certification or registration and with the establishment of mutual recognition agreements by provincial regulatory bodies covering 51 professions. It is to be hoped that this will be carried out on schedule.

Agriculture: reversing the downward trend in support

Even if Canada's agriculture and food processing sector has suffered from low crop prices over the past year, it has revenues of some C$ 100 billion and was responsible for some 8.4 per cent of GDP and 13 per cent of employment in 1999. Over the decade of the 1990s it grew in all provinces except Newfoundland. Processed items have recently moved beyond primary production in terms of total exports. According to Agriculture and Agri-Food Canada, real primary agricultural production grew by an average of 2.8 per cent per year over the past decade, faster than in the United States (2.2 per cent) and much faster than in the European Union (0.4 per cent). By number, most farms are either hobby farms (those with less than C$ 10 000 per year in farm sales) or smaller-scale operations (those with farm sales of between C$ 10 000 and C$ 100 000). Only the top 30 per cent (83 353 in 1997) have sales of more than C$ 100 000 per year and an average of C$ 53 000 in net operating income. Farms in the middle sales range garner C$ 245 million in programme payments or 24 per cent of the total – an average of C$ 2 463 per farm (nearly three-quarters of average net operating income). Nonetheless, it is only the availability of off-farm income that makes their average total family incomes comparable to those of non-farm households. Unlike some other countries, Canadian farmers are not especially old: their median age is only 48 years (compared to 54 in the United States).[63]

Canada has made great strides in increasing the efficiency of its agricultural sector since the mid-1980s. Government support has dropped substantially both in absolute terms as well as relative to other OECD countries (Table 19, Panel A), and reliance on the market mechanism has been raised. Safety-net programmes have been completely overhauled, with the focus shifting from price- or commodity-specific measures to whole-farm outcomes. The most recent policy change came in July 2000 with a three-year Framework Agreement on Agricultural Risk Management designed to allow farmers to offload some income risk and for the government to target its disaster assistance.[64] This introduced the Canadian Farm Income Programme (CFIP), which provides farmers with full compensation for any shortfall in excess of 30 per cent from their individual three-year moving-average reference margin. The government therefore absorbs the entire risk of a very poor outcome beyond that threshold, but only for a finite period. The total cost of the framework agreement was estimated to be worth up to C$ 5.5 billion over its lifetime.

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Table 19. **Estimates of support to agriculture in Canada**

C$ millions

	Average 1986-88 level	Share of OECD total in per cent	Average 1998-2000 level	Share of OECD total in per cent	1998 level	Share of OECD total in per cent	1999 level	Share of OECD total in per cent	2000 level	Share of OECD total in per cent
A. Estimates over time										
Producer support estimate (PSE)	7 429	2.4	5 615	1.5	5 113	1.4	5 348	1.3	6 385	1.8
of which:										
Market price support	3 653	1.5	3 171	1.3	3 139	1.2	3 104	1.1	3 270	1.4
Payments based on output	1 263	8.0	432	1.9	352	2.0	490	1.9	454	1.8
Payments based on area planted or animal numbers	1 220	5.9	335	0.8	234	0.5	285	0.7	487	1.2
Payments based on historical entitlements	0	0.0	240	1.3	0	0.0	0	0.0	721	3.6
Payments based on input use	1 130	4.3	412	1.3	407	1.3	420	1.3	411	1.4
Payments based on overall farming income	0	0.0	1 017	27.4	979	28.7	1 039	28.1	1 033	25.6
Percentage PSE (*i.e.* PSE in relation to gross farm receipts)[1]	33	39	18	35	17	34	17	37	19	34
Consumer support estimate (CSE)	–3 286	1.5	–3 238	1.4	–3 186	1.4	–3 189	1.3	–3 340	1.5
Percentage CSE (*i.e.* CSE in relation to the value of consumption at farm-gate prices)[1]	–22	–33	–16	–28	–16	–27	–16	–30	–16	–26
Total support estimate (TSE)	9 389	2.4	7 482	1.5	7 080	1.4	7 115	1.3	8 250	1.7
As a share of GDP[1]	1.7	2.2	0.8	1.3	0.8	1.4	0.7	1.4	0.8	1.3
B. Indicators by commodity										
Producer support estimates										
Milk	2 292	3.8	2 464	3.7	2 436	3.3	2 412	3.6	2 543	4.4
Wheat	2 048	8.4	447	1.7	331	1.2	350	1.2	659	2.7
Maize	210	1.3	170	0.9	98	0.6	172	0.9	240	1.2
Other grains	711	4.9	111	0.8	77	0.5	75	0.5	181	1.6
Oilseeds	378	5.4	330	4.1	300	4.7	255	2.9	436	4.7
Beef and veal	346	1.1	433	1.0	414	1.0	380	0.9	506	1.3
Pigmeat	97	1.1	248	1.6	166	1.6	287	1.5	289	1.9
Poultry	191	3.6	43	0.6	59	1.3	33	0.5	36	0.4
Eggs	109	3.5	86	3.3	91	3.1	90	3.2	78	3.8

Table 19. **Estimates of support to agriculture in Canada** (*cont.*)

C$ millions

	Average 1986-88 level	Share of OECD total in per cent	Average 1998-2000 level	Share of OECD total in per cent	1998 level	Share of OECD total in per cent	1999 level	Share of OECD total in per cent	2000 level	Share of OECD total in per cent
Percentage PSE										
Milk	61	58	58	52	59	56	57	52	59	48
Wheat	45	48	12	42	9	40	10	45	17	40
Maize	24	40	14	32	8	29	14	34	20	34
Other grains	54	51	9	48	6	53	6	51	15	41
Oilseeds	25	26	10	22	8	17	8	23	15	25
Beef and veal	9	33	8	35	8	37	7	37	9	32
Pigmeat	5	14	9	23	7	16	11	32	8	22
Poultry	18	16	3	13	4	8	2	13	2	18
Eggs	22	15	17	10	19	12	18	11	15	9
Percentage CSE										
Milk	–63	n.a.	–57	n.a.	–57	n.a.	–56	n.a.	–58	n.a.
Wheat	–25	n.a.	0	n.a.	0	n.a.	0	n.a.	0	n.a.
Maize	0	n.a.	0	n.a.	0	n.a.	0	n.a.	0	n.a.
Other grains	4	n.a.	0	n.a.	0	n.a.	0	n.a.	0	n.a.
Oilseeds	–6	n.a.	0	n.a.	0	n.a.	0	n.a.	0	n.a.
Beef and veal	–2	n.a.	–1	n.a.	–1	n.a.	0	n.a.	0	n.a.
Pigmeat	0	n.a.	0	n.a.	0	n.a.	0	n.a.	0	n.a.
Poultry	–15	n.a.	–1	n.a.	–2	n.a.	–1	n.a.	–1	n.a.
Eggs	–19	n.a.	–16	n.a.	–18	n.a.	–17	n.a.	–14	n.a.

1. The figures for the columns labelled "Share of OECD total in per cent" are level figures for the total OECD in per cent.

Source: OECD (2001*c*).

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One result of these policy reforms is that farm production has become more diversified. For example, in Saskatchewan plantings have shifted away from wheat and towards oilseeds (canola) and special crops such as pulses. Comparing the farmers in that province with their North Dakotan rivals across the US border, greater diversification and about half as much support is observed.[65] More generally, Canada's share of total OECD producer support fell from 2.4 per cent in the years 1986-88 to as low as 1.3 per cent in 1999. In relation to gross farm receipts producer support fell from 33 per cent in 1986-88 – only modestly less than in the average OECD country – to virtually half that in recent years, while at the same time little headway was made on average in other Member countries. As elsewhere, most support still takes the form of market price support, but among the remaining forms there has been a clear shift away from payments based on output, planted area or livestock numbers and input use towards those based on overall farming income or historical entitlements, which are likely to be less distorting. The amount consumers have been burdened with has remained fairly constant in nominal terms over time, resulting in a modest reduction in relation to the value of consumption at farm gate prices. Total support has fallen from over 1.7 per cent of GDP in 1986-88 to 0.8 per cent in 1998-2000.

In recent years nearly half of producer support has gone to the dairy sector, almost all of it in the form of market price support. Indeed, that sector is one of the few that had not by the year 2000 lowered its share of OECD-wide producer support since the mid-1980s. Producer Support Estimates (PSEs) remain in the 60 per cent range, having climbed well above the OECD average. In contrast, sharp cuts have been made in several other areas, most notably in wheat, other grains and poultry. Indeed, in no other sector was the percentage PSE above 20 in 2000. Similarly, dairy is the only sector retaining an enormous implicit burden on consumers, with subsidies from consumers on wheat, oil seeds, and poultry having been virtually eliminated. However, some changes in the dairy sector are now underway. F*irst*, the federal dairy subsidy was cut by a third in February 2001 and will be eliminated by February 2002. S*econd*, following WTO rulings regarding certain Canadian dairy export pricing practices (in response to complaints by the United States and New Zealand[66]), nine of the ten provinces deregulated commercial transactions for exports of milk, resulting in major changes in export marketing. As a result, commercial export transactions are now based on bilateral contracting between producers and processors without any role for government or marketing boards. Nevertheless, this did not satisfy the plaintiffs, who requested a WTO Compliance Panel to review Canada's implementation of the previous rulings. In July 2001 that Panel ruled in the plaintiffs favour; Canada has until September to decide whether to appeal. Separately, it should be pointed out that market price support for milk has continued to increase rapidly.

As noted above, in 2000 governments in Canada provided one-time payments based on past entitlements (amounting to 11 per cent of total support) and

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increased those based on overall farm income (16 per cent of total support in 2000, which along with Australia, was the highest figure for any OECD country). While a shift in this direction may be less production- and trade distorting, it runs the risk – through moral hazard mechanisms – of inciting farmers to continue to produce at times of low world prices, thereby contributing to the prolongation of those prices. Furthermore, the advent of support based on historical entitlements has come as a supplement to other forms of support, rather than a substitute – although such payments have heretofore been one-time payments, which are not being continued in 2001. In any case, the result is that preliminary figures show that Canada's percentage PSE rose from 17 per cent in 1999 to 19 per cent in 2000, nearing the 22 per cent rate in the United States.[67] Percentage PSEs rose for every product category except pigmeat, poultry and eggs. The sharpest rises were in grains and oilseeds, which have suffered from unusually low world prices. However, at least for wheat, maize and other grains, Canada's share of total OECD support in 2000 was much greater than it had been in either 1998 or 1999. Under substantial political pressure the government in March 2001 announced further financial aid to such producers in the form of emergency assistance of C$ 500 million.[68] Assuming the normal provincial top-up (the provinces traditionally provide 40 per cent of all public funds in this shared-cost domain), the total amount of the aid would be C$ 830 million, a substantial rise on the C$ 1.8 billion previously supplied. However, farm and provincial leaders alike were vociferous in their demands for a further C$ 500 million which, fortunately, has thus far been refused.

Grain farmers have also benefited from reforms in the transportation sector. In order to improve competition and efficiency beyond the farm gate, the long history of changes in the grain handling and transport regime culminated in the implementation of amendments to the Canada Transportation Act and a Memorandum of Understanding between the Canadian Wheat Board (CWB) and the responsible Minister in August 2000. The key change was the replacement of mileage-related shipping rates by a rate cap for regulated grain movements, which lowered average railway revenues by 18 per cent (worth about C$ 178 million in an average crop year), in exchange for more flexibility to set grain rates. To increase competition the CWB was to tender at least 25 per cent of its regulated movements beginning in 2000-01 and 50 per cent in 2002-03. The question of competitive access to rail lines was unresolved and was referred to a review panel whose report was filed with the Minister of Transport at the end of June but which has not yet been released to the public.

The agricultural sector remains one with clear environmental sustainability concerns. Recently developed official indicators (McRae *et al.*, 2000) show a heterogeneous pattern of improvement and deterioration in this domain. For example, crop rotation has risen substantially (in line with added diversification), better tillage practices are being used, soil quality has generally improved, and there has been a sharp reduction in pesticide use. On the other hand, nitrogen

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water pollution worsened for about two-thirds of Canada's farmland in the years 1981-96, and nitrogen efficiency (uptake relative to input) has fallen over the decade to 1995-97. Water prices for farm use are the lowest among the 12 OECD countries for which there are figures (OECD, 2001*c*), resulting in a greater-than-average increase in water use over time. Finally, agriculture is the source of some 10 per cent of Canada's total national greenhouse gas emissions, only slightly higher than the average share observed elsewhere, but its growth rate has been the fastest in the OECD.

Fostering output growth while avoiding resource depletion and environmental degradation

Measured improvements in productivity and living standards often neglect to properly take into account the consumption of "environmental" input, given that, for national-accounts-purposes, resource rents do not always adequately reflect the depletion of resource stocks (Diewert, 2000). Canada is one of the few countries where a genuine effort is being made to develop statistics for forest, mining and oil depletion (Nordhaus and Kokkelenberg, 1999). This is particularly important for a country whose economy relies considerably on resource-based activities and where limits to the availability of inputs ought to be given consideration in the long run, if not in the short run, in order to avoid repeats of the Atlantic groundfish problems, where overfishing led to a disastrous reduction in stocks. Even in the case where limits to availability still represent a remote problem, massive resource exploitation is not free of environmental damage, such as soil erosion caused by de-forestation or destabilisation of the eco-system induced by large hydroelectric-dam construction. A Task Force on the Canadian Information System of the Environment was formed in September 2000 with the objective of implementing an integrated system of environmental knowledge management to provide better information to citizens and organisations. This will be helpful, as there are still important gaps in the Canadian public's understanding of the nation's environmental record in a comparative context.[69]

The previous S*urvey* reviewed the topic of sustainable development extensively and gave several recommendations in the areas of objective-setting and implementation of mineral resources, water use, Atlantic fisheries, pollution and climate change. Water was one of the key focuses of the special chapter. It was argued that too little of Canada's water usage is priced. Only about half of all households are equipped with meters, and prices remain a tiny fraction of those in most of the rest of the OECD, even though costs are somewhat lower as well. While there has apparently been some increase in metering over time, aligning prices with costs would no doubt curtail volumes consumed, especially in industry and agriculture. After Brazil and Russia, Canada has the third largest share of the world's available, renewable fresh water (from 6 to 9 per cent, depending

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on estimates). With some US regions facing water shortages, the temptation may arise to tap this vast resource potential by selling bulk water to the United States. The government is opposed to this idea, and legislation prohibiting bulk water removal from waters under federal jurisdiction, such as the Great Lakes, is nearing House of Commons' approval. In addition, all provinces already have or are in the process of adopting legislation or regulations to prohibit removal in their jurisdiction.[70] Bulk water removal raises tricky environmental and trade issues, requiring careful evaluation. For instance, once it is used for cross-border commercial purposes, some have claimed that water would be treated like other tradeable commodities in international trade treaties, and Canada might be under the obligation of keeping open the access to its water reserves. In addition, the creation of vast reservoirs of fresh water is also raising environmental concerns, given the damage caused in the past by some hydroelectric dams. Given these concerns, the government is justified in proceeding very cautiously, but should nevertheless ensure that Parliament examines the issue with an open mind. Meanwhile, concerns have recently been raised about the quality of drinking water following one fatal and one near-fatal incident. This is surprising in view of a recent assessment that placed the quality of Canada's surface water as second only to Finland's. The government has supported a proposal to promote nation-wide minimum water-quality standards, while respecting provincial jurisdiction in this area.

In the case of energy and mineral resources, the main recommendation from the last S*urvey* concerns the phasing-out of the favoured tax treatment of conventional resource sectors, such as oil and gas, as well as minerals and metals through generous write-offs for exploration, development and capital expenses borne by firms. This favoured fiscal treatment is hard to justify on an economic basis, given the absence of a clear market failure that puts firms engaged in resource extraction activities at a particular disadvantage. Considering in addition the potential decline in the environmental capital stock linked to the exploitation and consumption of these resources, it is not clear either that without the tax subsidy, production would necessarily fall below the socially optimal level.[71] In this regard, the tax measures contained in the 2000 Budget Update are a step in the right direction as they imply a reduction in the preferential tax treatment of the commodity-producing sector. The government is considering further changes to resource-sector taxation. These are appropriate, so long as they do not reverse the levelling of the playing field achieved in 2000 and focus on rate reductions offset by base broadening.

Concerning the Atlantic fisheries, those responsible are considering whether to implement individual quota schemes for an increasing number of species. The position of the Department of Fisheries and Oceans (DFO) is to allow participants to make that decision themselves, while admitting that such quotas are a first step towards greater industry stewardship. In 2000-01 DFO is restructuring its plans for managing fisheries based on explicit objectives, limits and targets.

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It is still unclear whether this will lead to improvements in fisheries management. There remains a need for a clear rules-based approach to fixing quotas and better enforcement in order to prevent over-fishing, in particular for species facing higher risk such as shellfish. In parallel, recent changes to capital gains taxation have generally encouraged faster license retirement, allowing the possibility of sheltering 50 per cent of the license retirement payment from capital gains tax. However, the effectiveness of this positive development in reducing the size of the fishing sector is likely to be partly offset by the recent changes to employment-insurance legislation, which remove the penalty for frequent claimants of unemployment benefits (see below). Since the constraint primarily affected workers involved in seasonal activities, one of the advantages was to reduce the attractiveness of joining the fishing fleet, without excessively penalising those already present.

Regarding the measures taken to address climate change, the federal government unveiled Action Plan 2000 in October 2000. The Action Plan includes a C$ 500 million dollar investment in measures to reduce greenhouse gas (GHG) emissions. This funding comes in addition to the five-year spending plan of C$ 625 million already announced in the 2000 Budget. The Action Plan concentrates efforts on key sectors such as transportation, energy (oil and gas production and electricity), buildings, forestry and agriculture, as well as support for science and technology. When fully implemented, it is expected to reduce the emissions of GHGs by one-third of the reduction required under Canada's Kyoto Protocol target. Canada is assessing additional measures to further reduce its GHG emissions, including major market mechanisms such as tradeable-permit schemes on a larger scale. Additional analysis of coverage, permit allocation and sectoral impacts under a domestic emissions trading system will be conducted by the federal, provincial and territorial governments. Moreover, despite the recent decision by the new US administration not to proceed with the Kyoto Protocol, Canada has reaffirmed its commitment to the Protocol. The 6 per cent reduction in emissions relative to 1990 levels looks difficult to achieve. The latest (1999) figures show a 15 per cent increase since 1990, making the target an 18 per cent cut from these levels in a little more than a decade.[72]

In addition, the proposed law to protect bio-diversity (*Species at Risk Act*) was re-introduced in parliament, and the 2000 Budget committed C$ 90 million over three years to protect species at risk, up from the previous level of C$ 12 million per year. The legislation underpins the 1996 Accord reached between all Canadian jurisdictions to provide effective protection of all wildlife species listed as being at risk in their natural habitats (currently some 380 species are listed by the federal government, up from 178 in 1988). Rather than having the at-risk species selected by an independent body, as advocated by some observers, they will be chosen by the minister, albeit under advice from scientists. However, besides the initially modest funding provided, a potential weakness of the bill is that it does not oblige the government to take any measures to protect

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habitats, an essential element of protecting species at risk. It is, therefore, perhaps not surprising that it has been poorly received by a number of prominent environmentalists.

Labour market: still high structural unemployment

Human capital is considered as one of the three main drivers of growth, along with investment in M&E and openness to foreign trade and investment. In a broad sense, human capital can be defined as encompassing both the degree of labour utilisation (labour quantity) and the level of skills and education (labour quality). On both accounts, Canada scores relatively well on an international basis but may struggle to achieve further significant improvements. While issues related to education and health are discussed in Chapter III, this section reviews recent labour-market performance and policies, in particular those related to the effects of the tax and benefit system.

Performance

As mentioned earlier, the acceleration in GDP per capita in the second half of the 1990s is mostly attributable to the sharp rebound in labour utilisation (Table 17). While participation rates came back to their (flattening) trend level, reversing the steady decline observed between 1991 and 1997, the unemployment rate fell well below the pre-1991 recession level. Because the rise in employment may partly reflect a cyclical rebound, it is difficult to judge whether these improvements in participation and employment rates can be sustained at their current levels. Even though part of the gap in living standards *vis-à-vis* the United States is due to a lower degree of labour utilisation, Canada's participation and employment rates are higher than in the majority of OECD countries (Figure 24). While prime-age male participation and employment rates are particularly high in Canada, this is partly offset by a much less favourable situation for youth and older adult categories, especially compared to Scandinavian countries (Figure 25, Panel A). While young people account for about 16 per cent of the labour force, their share of unemployed is nearly twice as large. The importance of factors such as sectoral shifts (from manufacturing to services), technological changes and minimum wages in explaining the relative deterioration of youth employment is not yet well understood (Gunderson *et al.*, 2000).

On the other hand, the incidence of long-term unemployment is not particularly high, especially compared to European countries, including the United Kingdom, which boasts an even lower aggregate unemployment rate (Figure 25, Panel B). Although Canada's relatively high rate of exit from unemployment can be seen as indicative of a relatively flexible and dynamic labour market, it may possibly mask the heavy incidence of seasonal or frequent claimants of unemployment benefits, a problem which appears to be relatively acute in Canada. Moreover,

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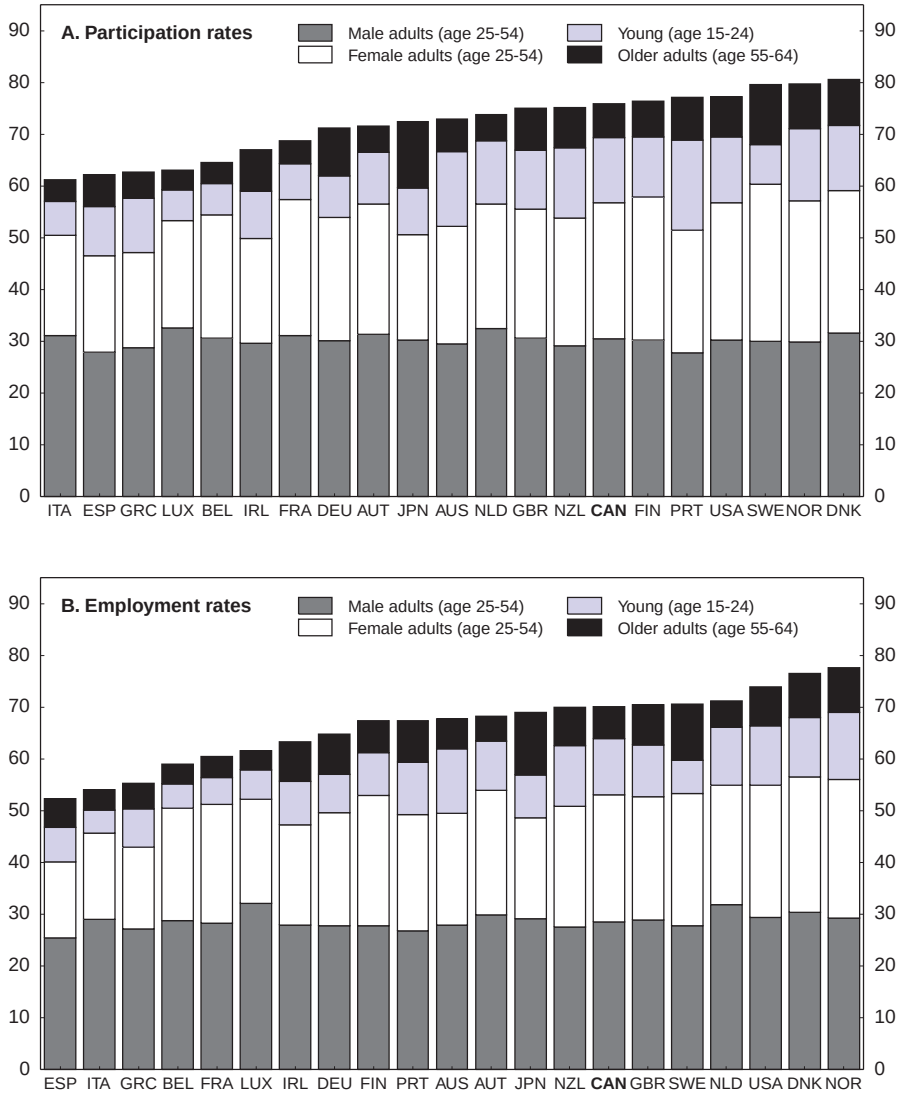
Figure 24. **Participation and employment rates by age and gender**
Contribution to total rates,[1] 1999[2]



1. Group-specific rates multiplied by the share of individual groups in the population of working age.
2. 1998 for Greece.
Source: OECD.

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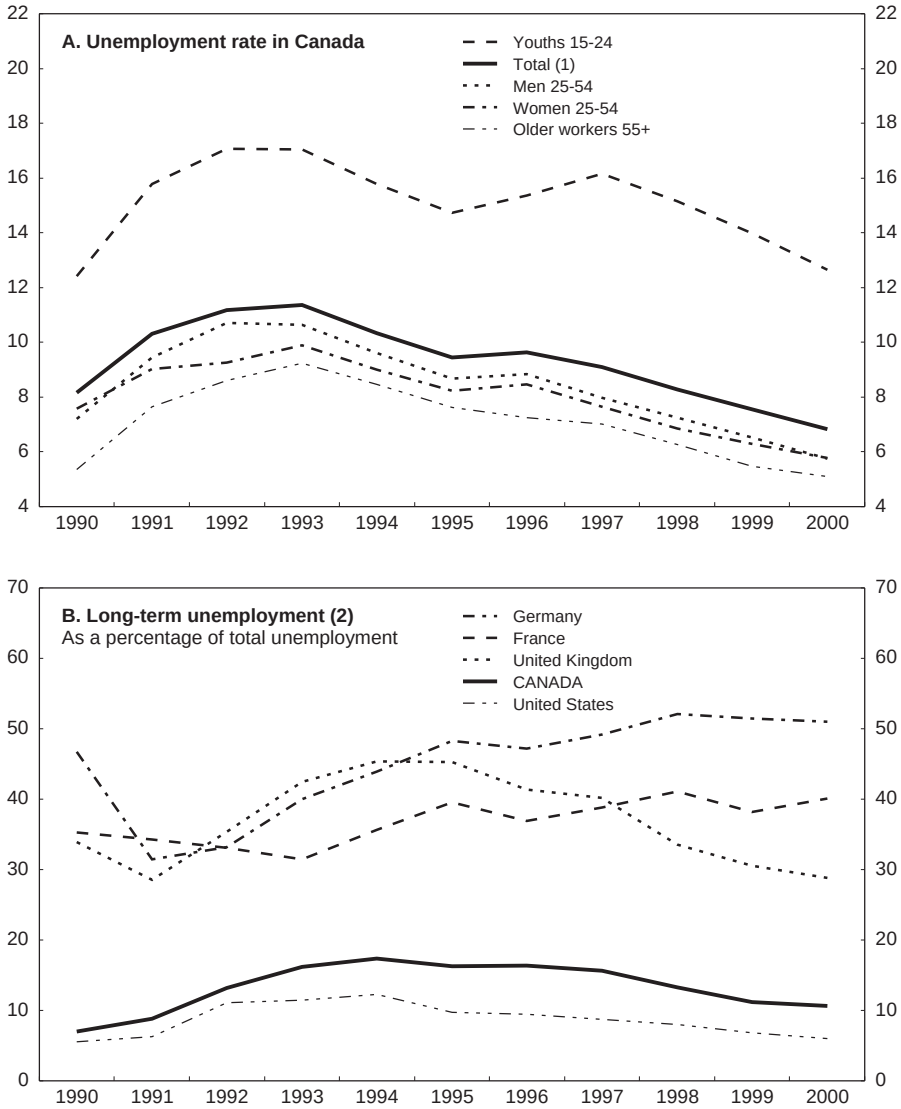
Figure 25. **Unemployment trends**

Per cent



1. Age 15 and over.
2. 12 months and over.

Source: Statistics Canada.

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despite an improvement in the trade-off between growth in unit labour costs and unemployment since the early 1990s, Canada's structural unemployment rate remains significantly above that of the United States. While unit labour costs picked up in the United States only as the unemployment rate moved close to 4 per cent, they already began to accelerate in Canada in 2000 as the jobless rate fell below 7 per cent (Figure 26). Part of the gap in the NAIRU *vis-à-vis* the United States is due to differences in measurement of unemployment (differential treatment of passive job-search methods), estimated to be worth nearly a percentage point (Riddell and Sharpe, 1998).[73] The rest could be partly attributable to the relatively high and persistent regional dispersion of unemployment rates across provinces (Figure 27).[74] The latter phenomenon has been partly exacerbated by policies that have done little to improve incentives to labour mobility, a case in point being the unemployment-benefit regime.

Unemployment income support: a partial reversal of the 1996 reform

The unemployment-insurance system has gone through several modifications in the 1990s. In the first half of the decade, changes were relatively straightforward and aimed essentially at tightening the criteria for eligibility and at shortening the duration of benefits. As a result, the programme's adverse effects on incentives declined markedly and by 1995 were back to their 1970 level, when the regime was broadly put in place (Figure 28). The reforms in 1990 and 1994 were estimated to have reduced the nation-wide NAIRU by nearly 1 percentage point in each case (Sargent, 1998). However, these adjustments did not eliminate the need for a comprehensive reform. While originally intended to provide temporary support to wage earners during unemployment spells, the system had evolved through time to become a major instrument to redistribute income from low- to high-unemployment regions and sectors (towards seasonal industries such as fishing, tourism and construction), as well as to pursue family policy objectives (extended benefit duration for maternity leave). As was observed in many other OECD countries, the system's complexity and generosity tended to rise with trend unemployment to a point where incentives to take up jobs or maintain attachment to the labour market for certain worker categories became seriously affected, leading to the rising incidence of long-term unemployment (an unemployment "trap"). Moreover, the system gave firms in some sectors the incentive to devise working schemes with employees so as to retain redundant workers *via* the rotation through multiple spells of temporary layoffs, *de facto* turning the income-support principle into an implicit wage subsidy for frequently idle manpower. As a result, the cost of the regime exploded, generating a vicious circle of rising (payroll) taxes leading to higher labour costs, lower labour demand, higher unemployment, and hence higher benefits for longer average spells.

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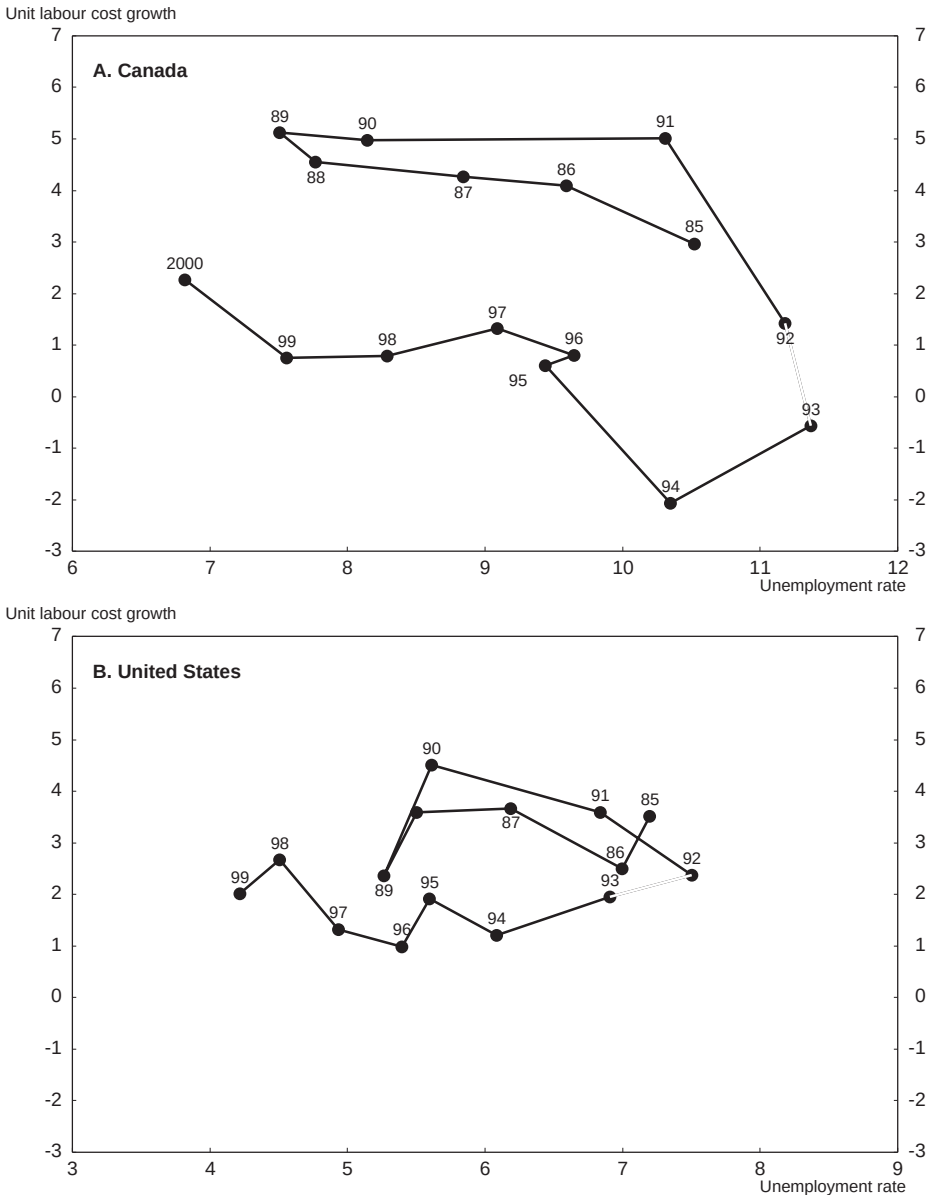
Figure 26. **Unemployment rate and unit labour cost growth**

Per cent



Source: OECD.

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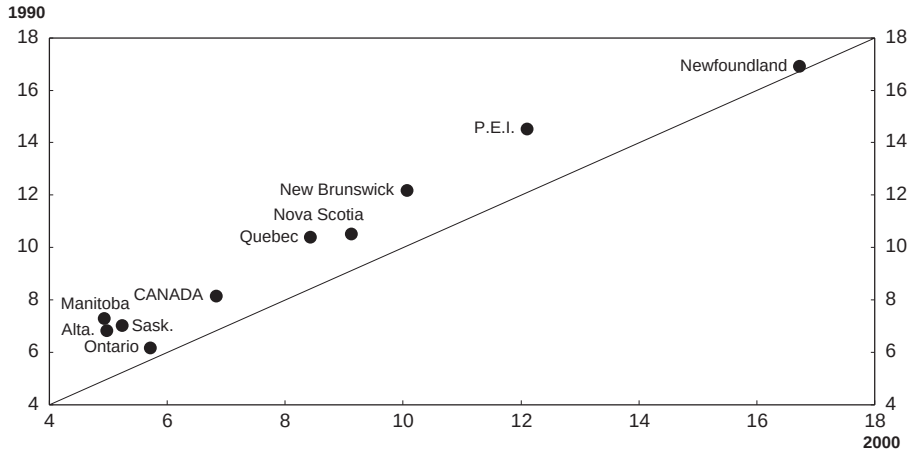
Figure 27. **Provincial unemployment disparities**

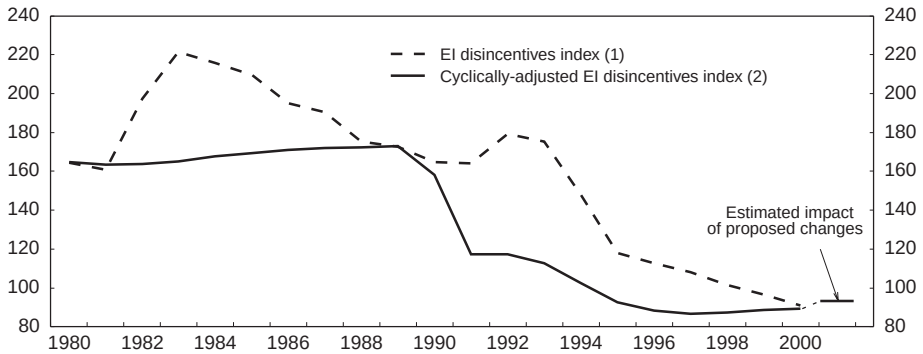
Unemployment rate, per cent[1]



1. Population aged 15 and over.
Source: Statistics Canada.

Figure 28. **Employment insurance disincentives index**

1970 = 100



1. The index summarises the key parameters of the EI system (such as duration of benefit receipt and replacement rate) for each region, which are then aggregated using population weights.
2. The cyclically-adjusted index corrects the index for cyclical changes in unemployment by assuming a constant 7.5 per cent trend unemployment rate.

Source: Department of Finance.

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These developments led in 1996 to a restructuring of the unemployment insurance system, which in the process was renamed Employment Insurance (EI). The main thrust of the *Employment Insurance Act* was to re-enforce the insurance principle on which the system was originally based and which had since been gradually undermined. In this regard, one of the key elements of the reform was the introduction of a form of experience rating for employees *via* an intensity rule linking the replacement rate (inversely) to the number of weeks of benefit collection in previous years.[75] The principle of insurance was also underpinned by an adjustable claw-back mechanism whereby the income threshold for benefit repayment was also made dependent on the frequency of benefit collection in previous years, and the recovery rate for frequent claimants was raised from 30 per cent to 50 to 100 per cent, depending on the number of weeks of benefits received in the last five years.[76] In addition, the generosity of the system was further reduced and both the eligibility conditions and duration further tightened, albeit less so than in earlier reforms.[77] On the other hand, the switch from a weeks-based to an hours-based system raised the generosity (and fairness) of the system for recipients working fewer weeks but longer hours per week.[78] While income redistribution has remained a central element of the system, some of the features were adjusted so as to target more narrowly the redistribution towards the low-income beneficiaries. For instance, the top-up provision for low-wage earners, which prior to the 1996 reform was conditional on the claimant's income alone, has been replaced by a supplement based on family income.[79] Furthermore, in order to partly offset the adverse effects of redistribution on work incentives, low-income recipients are allowed to earn up to 25 per cent of their benefit without being penalised.

Despite the overall reduction in benefits and the introduction of measures specifically aimed at improving work incentives, the 1996 reform had a smaller impact on the disincentive index than its predecessors (Figure 28), lowering the NAIRU by an estimated 0.1-0.2 percentage points. Also, notwithstanding the reinforcement of the insurance principle, the system has remained substantially more generous for beneficiaries in high-unemployment regions than in low-unemployment areas.[80] Even so, early analysis has shown that the so-called "intensity rule" could have potentially affected a majority of the recipients, leading to substantial cost savings if not significant behavioural changes (Fortin and van Audenrode, 2000). Indeed, in 1999-2000 the proportion of regular and fishing claims affected by the intensity rule reached around 44 per cent, up from 35 per cent the previous year (Table 20). Of those affected, 72 per cent were frequent claimants, whose proportion of total claims remained roughly unchanged at 40 per cent.[81] Given the large proportion of claimants affected, the intensity rule thus generated non-negligible savings, equivalent to 1.4 per cent of total benefits or nearly C$ 12 per week per claimant affected (in 1999-2000).[82] In addition, while the total number of regular and fishing claims fell by 6.6 per cent, frequent claims declined by 9.2 per cent, suggesting that the rule was perhaps beginning to have

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Table 20. **Employment Insurance benefit claims and payments**

	New claims in 1999/2000[1]		Per cent change			Amount paid in 1999/2000		Per cent change			Average weekly benefit C$	Per cent change		
	Thousands	Per cent of all benefits	1999/2000 / 1998/99	1998/99 / 1997/98	1997/98 / 1995/96	C$ millions	Per cent of all benefits	1999/2000 / 1998/99	1998/99 / 1997/98	1997/98 / 1995/96		1999/2000 / 1998/99	1998/99 / 1997/98	1997/98 / 1995/96
All benefits	1 714.0	100.0	–6.6	0.1	–13.9	9 404.0	100.0	–7.4	1.5	–16.1	284	0.6	1.9	0.0
Regular	1 361.0	79.0	–8.5	–0.6	–17.6	7 026.0	75.0	–9.4	0.5	–19.0	283	0.4	1.9	0.5
Fishing	25.4	1.5	–2.5	–3.2	7.8	217.0	2.3	–0.5	1.3	–1.7	366	3.7	–0.8	–9.4
Special	401.4	23.4	3.1	4.8	–2.5	1 739.0	18.0	3.3	4.5	–1.0	–	–	–	–
Maternity	175.8	10.3	1.1	0.4	0.4	722.9	7.7	1.6	1.9	–3.1	283	2.2	0.9	–4.4
Parental[2]	169.0	9.9	1.1	1.6	–2.0	464.8	4.9	2.0	1.8	–2.0	294	2.6	0.9	–2.7
Sickness	233.1	13.6	6.0	8.5	–1.8	544.1	5.8	7.1	11.0	3.4	260	0.7	2.3	–0.5
Memorandum items:														
Frequent claims[3]	548.7	32.0	–9.2	–5.7	–11.6	2 966.7	32.0	–13.2	–0.3	–15.6	307	0.3	1.2	–2.1
Seasonal	438.5	25.6	–6.5	–3.9	–10.0	2 365.2	28.0	–11.3	1.9	–15.4	310	0.6	0.6	–4.0
Non-seasonal	110.2	6.4	–18.4	–11.5	–16.3	601.5	6.4	–20.1	–7.6	–15.7	297	0.1	3.1	–1.6
Affected by intensity rule[5]	606.1	44.0[4]	13.8	67.3	–	–	–	–	–	–	292	0.9	2.0	–
Family supplement[6]	195.3	11.4	–	–	–	161.2	1.7	10.0	39.9	–3.4	–	–	–	–

1. The number of new claims for benefits registered in the monitoring year (March 1999 to March 2000). This is not equal to the sum of the individual categories because an individual claim might include access to a number of different types of benefits (such as regular and sickness).
2. Benefits paid to natural parents. Those paid to adoptive parents are not included.
3. Frequent claimants are individuals who have made three or more claims for regular or fishing benefits in the previous five years.
4. Proportion of regular and fishing benefits.
5. The number of frequent claimants who have their benefit lowered because of the intensity (experience rating) rule.
6. The family supplement is paid to low-income households.

Source: *Employment Insurance* 2000 *Monitoring and Assessment Report*, Human Resources Development Canada.

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some effect on behaviour. This is particularly the case for repeaters in non-seasonal activities whose number of claims fell by 18 per cent in 1999-2000 and by nearly 50 per cent cumulatively since 1995-96.[83] It would be indicative that where alternatives exist agents were responding to incentives. A substantial increase was also noted in the number of claimants affected by the claw-back provision, generating savings of a similar order of magnitude. In this case, frequent claimants subject to the lower annual-income threshold of C$ 39 000 accounted for over one-third of those affected. In spite of this, because of renewed wage growth the average weekly benefit rose for the second year in a row in 1999-2000, including for frequent claimants, although the increase was less than 1 per cent.

On balance, the reform was viewed positively for achieving improvements along three dimensions: *i*) reinforcement of the insurance principle, with an associated positive effect on fairness and work incentives; *ii*) reduction in the cost of the programme, allowing for future reductions in payroll taxes; and *iii*) introduction of better targeted income redistribution mechanisms, even though some of the perverse incentives on regional labour mobility were kept in place. Against this background, the Government's decision to backtrack on one of the key pillars of the reform, *i.e.* experience rating, is regrettable. In this year's amendments to the *Employment Insurance Act*, the government eliminated the intensity rule and adjusted the benefit repayment (claw-back) provision so as to exempt special benefit and first-time claimants as well as to go back to the uniform income level threshold. Together, these changes eliminate the link introduced in the 1996 reform between a claimant's net benefit rate and his/her past record of use of the system. The suppression of the intensity rule was motivated by the limited impact it was felt to have had thus far on frequent claimants' work effort and reliance on the system. Even though the latter is partly attributed to the small size of the penalty, there was a concern that the measure simply ended up punishing recipients in areas where job opportunities are few and far apart.

The legitimacy of the concern notwithstanding, the basic argument for the elimination of the rule is not entirely convincing. *First*, it seems rather premature to judge the effectiveness of the intensity rule in modifying behaviour on the basis of only two years of monitoring information, let alone before the measure had had its full impact. After all, changes in behaviour in response to the introduction of unemployment insurance regimes become noticeable only years after their implementation (Lindbeck, 1995). Moreover, the average reduction in the weekly benefit was rising steadily from C$ 5 in the first year to around C$ 12 in the third year and was expected to rise further until 2001, when the impact of the rule would have been entirely phased in. *Second*, in the cases where high-frequency claims result from an arrangement between workers and employers to extract an implicit subsidy from lay-offs, a change in behaviour may not be observed if workers are somehow partly compensated by employers for the loss of benefits. Abandoning the rule will, in this case, diminish the fairness of the system, deprive the regime

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of significant savings and send the wrong signal, further encouraging worker-employer collusion to extract the largest possible rent from the regime. T*hird*, the concern about penalising recipients having few alternatives could at the limit have justified amendments to the rule, but not its suppression, especially considering that low-income families with dependent children are already exempted (Nakamura, 2000). For instance, the number of weeks of benefit collection used to determine frequent claimants could have been either relaxed or differentiated according to regional unemployment rates. At the very least, the suggestion that a benefit reduction too small to change behaviour is nonetheless big enough to penalise frequent claimants excessively would deserve to be thoroughly examined. In any case, the finding that it is difficult for repeaters in some regions to adjust their behaviour quickly must have been anticipated before the rule was put in place and as such cannot have come as a surprise.

For similar reasons, removing the differential in the income threshold for frequent claimants is even more questionable, considering that the measure was directed at high-income repeat users. In addition to undermining the insurance principle, the amendment also has adverse implications on fairness and income redistribution by allowing relatively well-off users in specific sectors to continue to receive much more from the system than they contribute. Finally, the foregone cost savings resulting from these amendments translate *ceteris paribus* into higher payroll taxes to finance the additional outlays, implying weaker labour demand and higher structural unemployment. Considering also the decision to exempt special benefits and first-time claimants from the claw-back provision, the main concern that the measure affected middle-income Canadians could again have been addressed by an adjustment in the respective thresholds for first-time claimants and repeat users rather than the elimination of the second threshold altogether.

On the other hand, the amendment aimed at relaxing the entrance requirements for re-entrant parents who have been on a prolonged parental or maternity leave is justified to prevent mothers from being unduly penalised while raising young children and to help them keep an attachment to the labour market. This is consistent with the generous extension of the parental leave, which allows parents to take up to a combined 35 weeks of parental benefits as from 2001. The latter measure is expected to generate a significant increase in the parental-leave benefit which already accounts for 5 per cent of total benefits. Indeed, contrasting with the decline in the number of regular claims, special benefits continued to climb in 1999-2000, despite the significant improvement in the labour market. An area of particular concern is the steady-growing number of claims for sickness benefit, which grew by 15 per cent in the past two years. As a result, such claims now account for 12 per cent of total claims and 5.8 per cent of all benefits. A similar trend has been observed in several other countries; it may be related to the decline in the employment rate of older workers. Given that sickness benefits are

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exempted from the intensity rule and can be drawn in combination with regular benefits, one possibility is that they are increasingly used to extend overall benefit duration. If confirmed, this could also partly explain ineffectiveness of the intensity rule in terms of changing behaviour.[84] However, a preliminary investigation by Human Resources Development Canada (HRDC, 2000*c*) shows that sickness claims tend to be pro-cyclical as stronger employment growth raises eligibility. In addition, it has been found that about 10 per cent of maternity or parental claims are preceded by a sickness claim. Developments in this area need to be closely monitored in the near future to ensure that the reasons behind the worrisome trends are well identified. The government is currently carrying out such monitoring.

From passive to active support: active labour-market programmes

No major changes have been made recently to the active labour-market policies (ALMPs), which had also been restructured in the context of the employment-insurance reform. The various measures to help people get back to work are grouped under the heading Employment Benefits and Support Measures (EBSMs). *Employment benefits*, also referred to as long-term interventions, include different types of direct job subsidies (wage subsidies, public-funded jobs, financial assistance for training or self-employment), whereas *support measures*, or short-term interventions, encompass primarily various forms of job-search assistance (counselling, action planning, job-search skills, etc.). Since the 1996 reform, the control and management of these programmes have been largely decentralised to the provincial level in the context of *Labour Market Development Agreements* (LMDAs) which have been signed by all the Provinces and Territories except Ontario.[85] Consistent with the improvement in labour-market conditions across the country, the share of long-term interventions has continued to diminish, accounting for one-third of all new interventions in 1999-2000. These measures are more costly and account for two-thirds of total EBSM expenditures (Table 21). The vast majority of long-term interventions are devoted to education or training programmes, whereas wage subsidies and job creation account for a little more and a little less than 10 per cent of long-term expenditures, respectively. As for short-term interventions, the share of employment assistance services continued to rise because of the policy decision to reduce employment group services, which fell from 50 to 22 per cent between 1997-98 and 1999-2000. For the second consecutive year, the total number of interventions continued to rise in 1999-2000, as the decline in long-term interventions was more than offset by an increase in their short-term counterparts.

The LMDAs recognise the importance of comprehensive evaluations of the EBSMs.[86] Annual Monitoring and Assessment Reports contain some evaluation information as well as updates on the LMDAs. The impact on the EI reforms is assessed and tabled annually in a report to Parliament. In 1999-2000, over 293 000 EBSM clients returned to work, far less than the number of new interventions registered in the

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Table 21. **Active labour-market programme participants**

	1998/99 number of entrants	Per cent of total	1999/2000 number of entrants	Per cent of total	1999/2000 amount[1] C$ millions	Per cent of total[1]	Cost per intervention[2] C$
Long-term interventions							
Wage subsidies	30 629	4.9	26 096	4.1	146.7	7.8	5 559
Self-employment	16 908	2.7	14 538	2.3	127.9	6.8	12 195
Job creation	28 990	4.7	18 591	2.9	100.8	5.4	6 691
Training	189 563	30.5	152 865	24.0	816.0	43.4	7 394
Total long-term	266 090	42.8	212 090	33.4	1 191.5	63.4	7 459
Short-term interventions							
Employment assistance	194 314	31.3	276 897	43.5	365.2	19.4	–
Counselling and other	160 708	25.9	146 901	23.1	5.6	0.2	–
Total short-term	355 022	57.2	423 798	66.6	370.8	19.6	–
Total interventions	621 112	100	635 888	100	1 878.1	100	–

1. Does not add up to total given that 17 per cent of total cost is absorbed by administration costs and that some programmes (C$ 197.1 million) are not included in interventions.
2. Not equal to amount spent divided by number of entrants because many interventions fall in more than a single year. Figures are not provided for short-term interventions.

Source: Various monitoring reports from Human Resources Development Canada.

same year.[87] This was an increase of 9.8 per cent over the previous year, a success at least partly attributable to the strong employment performance. On the other hand, while most evaluations find a positive incremental impact from wage subsidies, publicly-funded job creation and training, reliance on income support does not seem to have fallen significantly through EBSM participation, with the notable exception of those enrolled in self-employment schemes (HRDC, 2000*c*). However, the latter's cost-effectiveness still needs to be assessed, especially in view of the relatively high cost per intervention. Experience from other countries has shown that job-search assistance, which costs less than most other programmes, is generally found to be quite effective in getting the unemployed back into work more rapidly. In contrast, direct job creation in the public sector and wage subsidies to private-sector employment are not particularly efficient in helping the unemployed access lasting jobs (Martin, 2000). In this respect, the recent trend in Canada towards more short-term interventions such as job-search assistance at the expense of long-term interventions can be seen as encouraging.

The overall evaluation process is complicated, however, by the complexities and, in many cases, incompatibilities of data systems between provinces and the federal Department of Human Resources Development. Moreover, while a minimum amount of harmonised information is provided as part of the agreements, this is probably insufficiently detailed for a broad assessment. Recent audits from the Auditor General as well as from HRDC's own audit services still report weaknesses in the administration of grants and contributions (see also Chapter III). However, since the concerns surrounding the defunct Transitional Jobs Fund were raised, progress has been made in monitoring financial control within the various programmes delivered under ESBM. In particular, both financial and quality controls have been tightened *via* the Department Action Plan elaborated to address the Auditor General's critiques and recommendations. In principle, under the Plan, no payments are to be made until: programme and financial requirements have been met; problem files are checked to limit over-payment; recovery procedures are reinforced; the staff is better trained in programme management; and regular implementation reports are made public.

A brief look at financial market reform

Following the 1998 MacKay Task Force report, legislation proposing a new framework for the financial services sector was put before Parliament in 2000 and re-introduced in February 2001. As described in the previous *Survey*, the aims of the legislation are to boost efficiency and competition in that sector, protect and empower consumers of such services, and improve the regulatory and supervisory framework. The main features include: a relaxation of the "widely-held" rule for banks and demutualised insurance companies from the 10 per cent ownership limit to 20 per cent for voting shares and 30 per cent for non-voting shares; a reduction in minimum capital

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requirements;[88] the introduction of a new holding-company regime, allowing banks and life insurance companies to achieve economies of scale without having to merge or enter a parent-subsidiary relationship with other financial institutions; and an attempt to create a stronger second tier in retail banking by providing for the establishment of closely held banks and allowing credit unions to take on a national presence, should they wish. This legislation was adopted by Parliament in June 2001 and will be implemented this autumn. The authorities will need to be vigilant to ensure that the light-handed regulatory approach planned for non-bank affiliates does not weaken the financial strength of the traditional banking sector.

Summary and assessment

Since 1997, the Canadian economy has been one of the best performers within the OECD, in contrast with the protracted period of slow growth which followed the 1991 recession. While the acceleration in output in the second half of the 1990s occurred in tandem with a cyclical improvement in the labour market, signs of a pick-up in productivity have emerged. Even though it is too early to judge whether this corresponds to a rise in trend productivity growth, there are grounds for cautious optimism. F*irst*, investment in machinery and equipment has accelerated sharply since 1997, both in absolute terms and as a share of GDP. In particular, ICT investment has been strong, even though it has so far had a limited contribution to output growth. S*econd*, Canada ranks among the leading countries in terms of access to ICT infrastructure at relatively low costs, as measured by the degree of internet penetration, the availability of on-line information, the security of electronic transactions, etc. And the recent trend towards tax reduction should help boost incentives for risk-taking and investment in the coming years. T*hird*, restructuring efforts by Canadian firms have intensified in most sectors in the 1990s, reflecting the need to boost efficiency in order to cope with the rise in competition associated with the vast expansion of foreign trade since the implementation of the FTA and the NAFTA. Considering Canada's close trading ties with the United States, it is well positioned to benefit from possible R&D or innovation-spillover effects from the recent US productivity surge, should the latter prove to be more than a cyclical phenomenon. Even so, these reasons for optimism have yet to manifest themselves in clear evidence of a rise in trend productivity growth. Consequently, the comprehensive reforms recommended in this and previous S*urveys*, summarised in Table 22, should be actively pursued.

The main outstanding issues concern the labour market, agriculture, and trade and investment policy. Given the strong contribution of labour utilisation to output acceleration in the second half of the 1990s – reflecting both declines in unemployment and rising participation rates – it is unfortunate that the authorities have backtracked on key elements of the 1996 improvements to the EI system. In particular, the suppression of experience rating provides inappropriate incentives to both

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Table 22. **Structural surveillance assessment and recommendations**

Issue/2000 recommendation	Action taken	Assessment	New or follow-up recommendation
A. Labour market and social programmes			
I. *Reform unemployment benefits and related benefit systems*			
Reducing variation in regional Employment Insurance (EI) generosity.	None.	The large differences in regional eligibility requirements help to raise disparities in regional unemployment rates and hamper labour mobility.	Recommendation maintained.
Further strengthening of experience rating.	Moved in the opposite direction. Experience rating was suppressed in recent amendments to EI act.	Decision to suppress experience rating was made before the 1996 measure was fully implemented. Preliminary evaluation suggested it led to substantial cost savings and helped reduce dependence on the EI system, especially among claimants involved in non-seasonal activities.	Re-introduce experience rating.
Examine the reasons behind the rise in the use of sickness benefits to ensure that they are being given for their intended purpose.	Preliminary investigation conducted. Further monitoring needed to better identify the causes.	The rising use of sickness benefits may indicate an attempt to increase benefit duration to offset tighter provisions. Rising proportion of maternity claims are preceded by a sickness claim.	Continue to closely monitor developments in this area.
Determine whether the various tax-incentive programmes offered to social-assistance recipients could be simplified.	Evaluation of the National Child Benefit programme is near completion.	The multiple programmes offered at the federal and provincial levels create a complex web of assistance that may elevate administrative costs and perhaps lead to unintended consequences on work incentives.	Recommendation maintained.
Ensure that disability benefits are being used for their intended purpose and not to avoid tighter welfare provisions.	None.	Alongside falling social assistance caseloads has been a rising number of disability claimants, which could imply an attempt to avoid tighter welfare provisions.	Recommendation maintained.

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Table 22. **Structural surveillance assessment and recommendations** (*cont.*)

Issue/2000 recommendation	Action taken	Assessment	New or follow-up recommendation
II. *Active labour market programmes* (ALMPs)			
Adopt a more rigorous system of evaluation.	Preliminary evaluations of Labour Market Development Agreements (LMDAs) have been made. A thorough assessment is under way.	Most evaluations find a positive incremental impact from wage subsidies, public-funded job creation and training, reliance on income support does not seem to have fallen significantly through EBSM participation.	Improve compatibility of data systems between provinces and HRDC and raise minimum amount of harmonised information to be provided.
Shifting the focus of ALMPs towards those of a shorter-term nature.	The proportion of long-term interventions has fallen further in 1999/2000.	Training schemes are still widely used and absorb a huge proportion of the total costs.	Given the improvement in labour-market conditions, continue to shift towards shorter-term and less costly ALMPs.
III. *Labour force skills and competencies*			
Develop pan-Canadian indicators of the education system.	First set of pan-Canadian education indicators (PCI) published.	The indicators represent a comprehensive overview of outcomes from the education system.	Continue tracking the indicators, and gear the development of any additional ones to areas outlined below.
Assess how rising education expenses are affecting participation in tertiary education, and how well government financial assistance is meeting needs.	None.	Participation in university education levelled off in the 1990s, while lower-income students were less likely to participate at that level.	Recommendation maintained.
Research the significance of informal training channels in the workplace and determine whether lifelong-learning strategies are consistent with them.	None.	Adult participation in formal and informal education showed little change over the 1990s.	Recommendation maintained.
Continue research on the reasons behind Canada's elevated drop-out rates.	None.	The PCI show that while drop-out rates fell slightly in the 1990s, they remain high, particularly for students from low-income households.	Recommendation maintained.

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Table 22. **Structural surveillance assessment and recommendations** (*cont.*)

Issue/2000 recommendation	Action taken	Assessment	New or follow-up recommendation
Reduce barriers to mobility.	Some progress is being made on developing mutual recognition agreements (MRAs) for occupations.	While in principle most provinces met the 1 July 2001 deadline, close monitoring is needed to assess how effectively MRAs are implemented.	Complete implementation of MRAs for all occupations.
B. Product markets			
I. *Electronic transactions*			
Reduce barriers to expansion of electronic commerce and tax issues.	Several of the tax recommendations by Advisory groups have been taken on board in the February 2000 Budget and October 2000 Update.	The tax incentives have been addressed. More effort may be required to improve small firms' access to strategic information including via the transfer of knowledge and experience by large firms.	Address non-tax recommendations stemming from the advisory group on electronic commerce.
II. *Internal market*			
Make further progress on the Agreement on Internal Trade (AIT).	Progress has been slow.	Further impetus is needed not only to meet targets, but to move beyond them in order to reap the benefits that would accrue from more liberal internal trade.	Move more swiftly to complete the AIT and set up new targets, perhaps under the Social Union Framework Agreement.
III. *International trade*			
When implementing the WTO panel decision on the Auto pact, do so by eliminating tariffs on all imports of automobiles and parts.	Canada has complied to the WTO panel decision on the Auto pact by extending the existing 6.1 per cent duty on all vehicles and parts imported from outside North America.	A preferable way to end discrimination against non-American carmakers would have been to phase out tariffs on all imports of automobile and parts.	Pursue efforts made for further opening up of international trade. Continue to comply with WTO and NAFTA panel rulings.
IV. *Agriculture*			
Continue to improve market incentives, especially where supply management systems exist.	Over the last decade Canada has improved the market orientation of its policies, except in the dairy sector.	More progress is necessary in areas where supply management systems exist, particularly in the dairy sector where support remains high.	Recommendation maintained.

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Table 22. **Structural surveillance assessment and recommendations** (*cont.*)

Issue/2000 recommendation	Action taken	Assessment	New or follow-up recommendation
Avoid policies which prevent adjustment.	Provision of C$ 500 million in extra federal aid.	Moral hazard risks may lead to a failure of farmers to adjust to changing prices.	Establish a fair framework for income support and stick to it.
C. Financial sector			
Quickly pass legislation to implement the new framework.	Legislation was adopted by Parliament in June 2001 and is expected to come into force this autumn.	The new framework holds promise to boost competition and deepen capital markets.	Implement legislation.
Detail how financial institutions would be wound up.	None.	More transparency on the winding-up process could promote systemic stability in the event of any failure.	Recommendation maintained.
Be more specific on the decision-making process that would be followed in the event of potential large bank mergers.	None.	The legislated bank merger process, while making clear the steps necessary before one could take place, does not precisely indicate how the final decision would be made.	Recommendation maintained.
Continue efforts to harmonise regulatory standards and, where possible, to reduce the number of bodies involved.	Some efforts are being made to harmonise standards to reduce the regulatory burden on financial institutions.	More progress is necessary.	Recommendation maintained.
D. Public sector			
I. *Tax policy*			
Create a framework and timetable to prioritise tax relief measures on an annual basis.	Five-year federal tax reform plan outlined in 2000 Budget. Further tax reductions were introduced in the October 2000 Update.	The five-year tax plan is a welcome step. But it does not allow a transparent assessment of the potential benefits arising out of debt reduction or tax relief *versus* additional spending.	Establish guidelines on how the tax plan might be amended. Give priority to corporate tax relief and then personal tax reductions.

Table 22. **Structural surveillance assessment and recommendations** (*cont.*)

Issue/2000 recommendation	Action taken	Assessment	New or follow-up recommendation
Examine the extent to which the tax base could be shifted from payroll, personal and corporate income toward value added or consumption.	Some progress made in 1998 in harmonising the Goods and Services Tax with provincial sales taxes, but no further progress since then.	EI payroll taxes more than cover any potential shortfall in the funding of the programme that might occur in the event of a downturn. Further personal income tax reduction would be welcome.	Recommendation maintained.
II. *Health care*			
Continue pilot projects on primary care and assess their impact as soon as feasible.	None.	Several provinces are experimenting with new forms of primary care that could both help to contain costs and boost the quality of service.	Recommendation maintained.
Introduce a mixed payment system.	None.	Many countries have put in place a mixed fee-for-service/capitation system to help reduce costs.	Recommendation maintained.
Create a database to track key data, such as waiting lists.	The federal government launched a royal commission to assess increasing costs, better use of technology and rising public expectations.	Better information would help improve public discourse as well as help to target expenditures more effectively.	Recommendation maintained.
E. Sustainable development			
Improve objective-setting and implementation.	A task force to improve environmental knowledge was formed in September 2000.	Increasing information will be helpful.	Greater use of cost-benefit analysis and making it systematically available to the public remains a worthwhile endeavour. Likewise, finding commitment devices (such as economic instruments) would reduce the gap between objectives and achievements.
Phase-out the preferential tax treatment of conventional resource sectors.	The 2000 Budget and Update led to a further reduction in the differential tax treatment.	Larger corporate tax cuts in non-resource sectors, especially services, contributed to erode the tax privilege of the resources sector.	Further harmonisation of tax treatment across sectors should be aimed at.

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Table 22. **Structural surveillance assessment and recommendations** (*cont.*)

Issue/2000 recommendation	Action taken	Assessment	New or follow-up recommendation
Make water rights transferable and price its use through metering.	None.	Some increase in metering.	Recommendation maintained.
Properly assess the economic and environmental costs associated with water exports.	The government of Newfoundland is proposing such exports.	Bulk water removal raises tricky environmental and trade issues requiring careful evaluation.	Proceed cautiously, but ensure a full and open debate.
Share of fisheries managed by individual quotas (IQs) should be extended further.	More and more fisheries are considering the implementation of management by individual quotas.	Unclear whether allowing individual fisheries to manage their sectors as they see fit will achieve the sought-after extension.	Actively encourage IQ management. Adopt a clear rules-based approach to fixing quotas and enforce rules against overfishing more strictly.
Increase the generosity of compensation for fishing license retirements.	The federal government has lowered capital gains taxation on the proceeds from license retirement.	This should help to reduce the size of the sector, although the effect is partly offset by the decision to end experience rating in the EI system.	Continue to encourage reduction in the size of fishing sector.
Implement an economic instrument with an emission base as large as possible in order to reduce the overall costs of GHG emissions abatement.	Government unveiled its plan in October 2000. Includes substantial investments to reduce GHGs and introduction of market-based mechanism on a limited, voluntary basis.	The plan's success may partly depend on how quickly economic instruments such as cap-and-trade schemes spread. The decision by the new US administration not to proceed with the Kyoto Protocol may call or a new agreement to be negotiated.	Canada should maintain its effort to reduce GHG emissions and push in international fora for a new international agreement.
Apply polluter pays principle more systematically.	None.	A variety of suggested applications was made in the previous *Survey*.	Recommendation maintained.

Source: OECD.

firms and employees that in the past have unduly benefited from the system, and is diminishing the scope for job-boosting reductions in payroll taxes. It also implies that further reductions in the structural unemployment rate may be much harder to achieve, despite being significantly higher than in the United States. Regarding agriculture, recent decisions have significantly boosted support to producers, reversing some of the hard-won gains since the 1980s. Subsidies to the dairy sector in particular remain well above the OECD average. Meanwhile, Canada is the only country blocking a 30-country agreement on limiting export credits on farm products, fearing its potential effects on the activities of the Canadian Wheat Board. As for trade policy more generally, Canada remains committed to a rules-based global trading system, although further progress towards liberalisation is needed in traditionally sensitive sectors such as textiles, clothes and, especially, certain agricultural products.

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Notes

1. In 2000, household debt increased slightly as a share of disposable income (to 98 per cent), but the ratio of net worth to disposable income remained high (at over 500 per cent), despite some decline due to lower equity prices.
2. The Bank's new measure of core inflation adopted in May (see Chapter II) has exceeded the mid-point of the range most recently.
3. Since late 1998, Canada has not intervened unilaterally in the foreign exchange market, although it participated in a concerted central-bank action to bolster the euro in September 2000.
4. See Bank of Canada, "Renewal of the Inflation-Control Target", Background information and Technical Background Documents 1 and 2, May 2001.
5. Lower-income earners would be better off, while high-income earners would be worse off. It is also worth noting that small business owners in the United States stand to benefit considerably from the tax relief due to flow-through tax treatment.
6. As discussed in last year's *Survey*, the unusually large gap between national- and public-accounts data for that period reflects, to a large extent, a different treatment of recent increases in federal transfers to the provinces.
7. Statistics Canada estimates 205 000 people immigrated to Canada in the year ending in June 2000.
8. About 13 per cent of bachelor's graduates migrate to other provinces, compared to about 2 per cent of youth overall. One of the least mobile groups is male youth receiving Employment Insurance benefits. See Finnie (1998). An increasing number of well-educated youth are also moving to the United States. Frank and Bélair (1999) estimated about 1.5 per cent of post-secondary graduates and 12 per cent of PhDs from the class of 1995 had moved to the United States by 1997.
9. For example, Employment Insurance has lower qualifying criteria and longer benefit periods for those who live in high-unemployment regions. It also offers special benefits to self-employed fishermen in the off-season.
10. See OECD (1997*a*). The government encountered the kinds of problems with the medium-term framework that other countries had during times of rapid expenditure growth. Revenue forecasts were overly optimistic, yet Ministers viewed the expenditure forecasts as future funds they were entitled to spend. Governments used the medium-term timeframe to defer the hard short-term decisions that were necessary to achieve tight fiscal control.
11. In the *November 1999 Economic and Fiscal Update*, the government announced an improved forecasting methodology, which broadened its consultation process, extended the fiscal projections to the medium term and made the assumptions of prudence more

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explicit so as to reduce the risk of forecasting bias. In preparation for the budget, the Department of Finance now consults with private-sector forecasters to agree on key economic assumptions for the projections. The private forecasting firms use these assumptions to produce five-year projections of the fiscal surplus, taking into account the cost of policy initiatives from the previous budget. The average of private-sector forecasts is then adjusted downward each year by a contingency reserve, which is directed to pay down the debt if it is not needed to cover unanticipated spending pressures, and by an explicit measure of "economic prudence" as a further safeguard against backsliding into a deficit position. After subtracting the contingency reserve and extra prudence, the remainder becomes the "surplus for fiscal planning purposes". The government then makes budget decisions over a two-year horizon.

12. In the *Economic Statement and Budget Update* 2000, the Department of Finance appealed to the authority of the private-sector economists that provide advice during the budget consultation process. "It has been the view of the private-sector economists that, for the purposes of public debate on policy options, a five-year time horizon is appropriate. However, the economists agreed that great caution is warranted in the use of long-term projections as a basis for fiscal policy decision-making. Therefore, the Government will continue to base its fiscal decisions on a rolling two-year horizon."
13. In the autumn of 2000, the governing party announced that the government would continue using the rule of thumb. See Liberal Party of Canada (2000).
14. Previously, the Canada Assistance Plan (CAP) provided shared-cost funding for provincial welfare programmes and Established Programmes Financing (EPF) provided separate block grants for post-secondary education and health care.
15. They also have greater exposure during cyclical downturns when social assistance spending tends to rise.
16. The government reduced the generosity of the programme and redirected it toward insurance principles. Frequent claimants were penalised with lower benefits through a partial experience-rating system.
17. Since the 1970s high-unemployment regions had lower qualifying requirements and longer benefit periods than low-unemployment regions.
18. Overall, federal transfers fell between 1991-92 and 1998-99. However, transfers to the Atlantic Provinces and Quebec increased whereas those to the remaining five provinces showed decreases. The redistribution of transfers occurred for a number of reasons having to do with higher Equalisation payments and the redesign of the CHST, which initially widened the disparities in per capita entitlements to the benefit of the "have not" provinces.
19. Subsequent accounting revisions have increased the contribution of federal transfers to fiscal consolidation in Atlantic Canada.
20. They also raised concerns about the number of interventions that the federal government had made in areas of provincial jurisdiction such as home care, drug insurance, the National Children's Agenda and skills and youth programmes, which they perceived as directing financial resources away from the core programmes offered with support from the CHST. Furthermore, they have also called for a new infrastructure programme with emphasis on improving highways, airports and urban transit.
21. The provincial finance ministers also called on the federal government to co-ordinate tax cuts with the provinces and territories to prevent federal tax cuts from aggravating provincial imbalances. With the introduction of a tax-on-income system, federal tax initiatives will no longer have a direct impact on provincial personal income tax revenues.

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22. The percentage of children under 18 living in families whose incomes were below the Statistics Canada definition of the low income cut-off rose from 12 per cent in 1989 to 16 per cent in 1997. Nearly one-third of all social-assistance recipients are single parents.

23. An increasing proportion of social assistance recipients has recently held a job, suggesting that re-employment efforts have been successful. However, the case-by-case management that goes along with labour-market counselling has added considerably to the administrative burden (international standards call for between 80 and 120 cases per official, while in some provinces the caseload is over 200). Another cause for concern has been the dramatic increase in the number of disability claims since the early 1990s, suggesting that there may be some substitution towards social assistance disability programmes and away from other income-support programmes, which have tightened their eligibility requirements and reduced benefit levels and duration.

24. Low-income families keep the NCB when parents move from welfare to work, making this transition more feasible. Provinces and territories have the option to reduce social assistance and to re-invest the savings in programmes that help children in low-income families. The integration of the federal tax-expenditure and provincial social-assistance elements of the programme not only reduces overlap and duplication among levels of government, it also affords them the flexibility to tailor their programmes to children in poverty as they deem appropriate. Provinces have responded by opting for additional income benefits and childcare initiatives that allow parents to work, and by expanding early childhood development programmes.

25. The evaluation will need to monitor whether work disincentives increase at threshold levels of income where financial and non-financial assistance is withdrawn. One concern is whether provinces, territories and First Nations have designed their programmes to be coherent with federal programmes so that marginal effective tax rates (METRs) are not too high and work incentives are not discouraged when families move into higher income brackets. Recent budget changes such as the reduction of tax rates and re-indexation of the tax system and benefits should help to reduce the METRs for those receiving the NCB.

26. Public dissatisfaction is not limited to Canada. The Canada Institute for Health (2000) reports that according to a 1998 Commonwealth Fund Health Policy Survey of Australia, Canada, New Zealand, the United Kingdom and the United States, less than 25 per cent of citizens in any of the sampled countries consider their health care system to work well. The striking feature of the Survey is that Canada's satisfaction used to be over twice as high as other countries, but has declined sharply in recent years.

27. Private coverage is strongly related to insurance benefits tied to employment; young people, the elderly and the working poor are the least likely groups to have private coverage. The National Population Health Survey shows that 30 per cent of low-income Canadians have dental-care coverage and 29 per cent have eye-care coverage, compared to over 60 per cent for those in upper-middle and high-income levels. See Canada Institute for Health (2000).

28. In recent years, the federal government has supported investment in research in universities, hospitals, its own laboratories and research-oriented firms, with priority given to innovation and connectedness (Sulzenko and Kalwarowsky, 2000). The strategy has materialised in programmes such as the Canada Foundation for Innovation, an arm's-length arrangement established in 1997 that awards funds jointly with the provinces and the private sector to update research infrastructure and equipment for state-of-the-art research. Other recent initiatives include Canada Research Chairs to attract the best researchers to Canadian universities, genome science centres to accelerate

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genome research; PRECARN, an industry-led consortium to help companies undertake research in artificial intelligence; and getting the government "on-line" to stimulate electronic commerce.

29. Through Infrastructure Canada, the federal government has entered into partnerships with other levels of government, as well as groups like the Federation of Canadian Municipalities and *La Coalition pour le renouvellement des infrastructures du Québec* to invest in urban and rural communities so as to enhance the quality of the environment, support long-term economic growth and improve community infrastructure. In the Budget 2000, the Government announced C$ 2.65 billion of new funding for physical infrastructure. Of this, C$ 600 million is being allocated to strategic highways. The remaining funding for Infrastructure Canada will be leveraged through partnerships with other levels of government to at least C$ 6 billion. Total investment in municipal infrastructure initiated by the Government of Canada through the Canada Infrastructure programmes will have exceeded C$ 14 billion over the last decade.

30. By 1998, 61 per cent of women and 55 per cent of men had some post-secondary education. See Statistics Canada and the Council of Ministers for Education (2000).

31. Indian and Northern Affairs Canada spends about C$ 1 billion each year on elementary and secondary education of First Nations children who live on reserves, over and above funding for school construction and maintenance. The Department needs to better define its role in providing education so it can determine whether it has the capacity and resources to fulfil that role. Moreover, it relies on First Nations and the provinces for the delivery of education programmes and so should monitor more closely whether these are delivered effectively and efficiently and articulate what recourse can be taken if not.

32. The federal government eliminated the C$ 10 billion ceiling for 1999-2000. Thereafter, the established equalisation formula again applies.

33. Results-based reporting was proposed as part of the reformed Expenditure Management System in 1995 and again in Treasury Board of Canada (1997).

34. An agenda for change is set out in *Results for Canadians*: A *Management Framework for the Government of Canada* (Treasury Board of Canada, 2000*b*). In line with this framework, the government has approved new policies on programme evaluation, internal audit and integrated risk management.

35. The *Main Estimates* contains details of government expenditures. Part I presents an overview of government spending within the context of the Budget, and Part II itemises government expenditures that require parliamentary approval.

36. There were 70 000 pay and benefits rules for the federal public service in 1996.

37. The management framework builds on two major initiatives: *Programme Review* and *Getting Government Right* (Treasury Board of Canada, 1997).

38. The federal government received a mark of 6.0 out of 10, compared to 6.2 for provinces and the private sector, and 6.4 for municipalities (Canadian Centre for Management Development, 1998). The Citizens First 2000 Survey (Institute of Public Administration of Canada, 2001) showed marks of 6.1, 6.3 and 6.4, respectively, for the federal government, the provinces and the municipalities.

39. Transfer payments to individuals and organisations are generally made as grants and contributions. Grants are unconditional payments to those who meet eligibility requirements. Contributions are subject to performance conditions by departments and recipients. In 1999-2000, discretionary federal expenditures for grants and contributions

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totalled C$ 14.3 billion. HRDC spent about C$ 3 billion in discretionary grants and contributions such as job-creation and youth-employment programmes and Employment Insurance training programmes. See Treasury Board of Canada (2000*a*) and Office of the Auditor General (2000).

40. A 1983 audit found that inadequate monitoring of job-creation projects allowed payments to be made that were not authorised. In 1986, two programmes were found to have allowed normal administrative procedures to be bypassed, so that Ministers and Parliamentarians could play a role in soliciting applications and selecting projects. A 1992 audit concluded that employment-related programmes had vague objectives and imprecise assessments of the needs in local labour markets. The 1996 audit of Canada Infrastructure programmes identified problems in accountability and in identifying the most promising infrastructure projects. A 1997 audit showed that The Atlantic Groundfish Strategy (TAGS) could not provide assurances that contributions had been spent for intended purposes. In 2000, follow-up audits for grants and contribution programmes of Industry Canada and the Department of Canadian Heritage found persistent problems in the form of payments in advance of need and unclear objectives, and a serious lack of due diligence.

41. The Auditor General has provided managers with a tool for managing the risk associated with grants and contributions: *Risk Assessment Framework for Grant and Contribution Programmes* (2000).

42. A regular budget cycle was adopted as a reform of the Expenditure Management in 1995. Exceptions occur: for example, the Economic Statement and Budget Update 2000 was released in the fall of 2000 just prior to the November election; since it actually was a "mini-budget", a fiscal update in May 2001 replaced the formal 2001 Budget.

43. The FIS has three elements: new financial systems to produce summary information for government-wide reporting and detailed auditable financial statements; full accrual accounting; and improved financial information to managers for better day-to-day decisions.

44. See Public Policy Forum (2000). The Public Policy Forum surveyed senior federal public servants and corporate executives on government-industry relations.

45. Similar arrangements had existed previously (*e.g.* in the labour market area), but they were contribution agreements for specific projects under ultimate government responsibility.

46. Their legal structures usually follow the *Canada Corporations Act* or the *Canada Business Corporations Act*. They can be non-profit independent bodies that manage non-recoverable federal trust funds, like the Canada Millennium Scholarship Foundation, or independent entities that operate as businesses and manage federal assets for a public purpose, such as the St. Lawrence Seaway Management Corporation. Accountability generally runs from employees to boards of directors and shareholders, and so their authority to spend federal funds is beyond the scrutiny of Parliament, unless explicitly directed (see Office of the Auditor General, 1998).

47. This assumes the same per capita spending for each age group. The authors note that it is by no means clear that these higher levels of spending will meet the health-care needs of ageing Canadians.

48. The Department of Finance estimates following the national accounts revisions show a strong pick-up in multi-factor productivity growth in the 1990s.

49. However, a recent study shows there is no significant difference in the quality of capital stock at an aggregate level between Canada and the United States. The MFP gap

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is attributable to the significant labour productivity gap between the two countries (Lee and Tang, 2000).

50. The results for Canada have been confirmed by a Conference Board study, which showed that the recent surge in ICT investment made a significant contribution to labour productivity growth, in contrast with the negative contribution from the reduction in non-ICT capital in relation to labour (Conference Board of Canada, 2000*a*). Unfortunately, there are no internationally comparable data on software for Canada.

51. In analysing the source of the acceleration in US labour productivity in the second half of the 1990s, a strong contribution from MFP growth in the non-ICT-producing sector has been found by Jorgensen and Stiroh (2000), Oliner and Sichel (2000), Council of Economic Advisors (2000) and, more recently, Nordhaus (2001). In contrast, Gordon (2000) found no contribution after adjusting for cyclical effects.

52. Information from input-output tables reveals that in most countries the bulk of ICT investment tends to be concentrated in a few sectors. Although some variations are observed across countries, these usually include communications, business services, finance and insurance, wholesale and retail trade as well as a few manufacturing sectors such as electronics, construction (United States) and wood products (Canada).

53. This is entirely due to the broad sector encompassing finance, insurance, real estate and business services. Within that sector, it appears that business services was primarily responsible for the negative contribution, which could partly reflect acute measurement problems. In contrast, MFP growth in wholesale and retail trade as well as transport and storage services contributed positively to overall business-sector MFP growth. Barriers to foreign direct investment in the financial-services sector may have played a role in curtailing that sector's performance.

54. A recent Economist Intelligence Unit assessment of E-business readiness also ranked Canada favourably (fourth out of 60 countries, up from seventh in the previous year's ranking).

55. According to estimates from the International Data Corporation, business-to-consumer electronic commerce accounted for around 13 per cent of all such transactions in Canada in 1999.

56. The number of US patents granted per capita in the home country was higher for Canadians than for residents of France, Italy and the United Kingdom, but lower than for those of the United States, Japan and Germany.

57. These include the Canada Foundation for Innovation, the Canadian Institute of Health Research, the Network of Centres of Excellence, the Industrial Research Assistance Programme (IRAP), Technology Partnership Canada, Investment Partnership Canada and Canada Research Chairs.

58. In March 2001, the government announced that C$ 750 million would be spent on new research and development projects. This came in addition to the C$ 500 million made available in the October 2000 Budget Update.

59. Market-share gains by US manufacturers in the Canadian market have *not* come at the expense of third country producers – see Figure 22 below.

60. Of the 140 firms surveyed, 87 per cent confirmed that they had gone through a major restructuring in the 1990s, whereas 36 per cent indicated that they had already done so in the 1980s.

61. A positive link was also found in the case of outward FDI and exports in a majority of industries.

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62. The panel had also ruled that Canada was providing illegal financial assistance for the export of regional aircraft *via* the Technology Partnerships Programme, but later ruled that Canada had sufficiently adjusted the programme to comply with WTO rules. But the dispute continues before the WTO.

63. Among non-hobby farms, however, in 1999 21 per cent were operated by someone over the age of 65 or between 60 and 64 with a public pension.

64. Farmers also benefit from cash advances and subsidised crop insurance – which apply only to crops – as well as provincially sponsored "companion programmes" that apply to all commodities and the so-called Net Income Stabilisation Accounts, that are open to all products except those under supply management. The Accounts are individualised, with contributions from farmers matched by the government. Withdrawals are allowed when net farm revenues less cash outlays fall below a five-year moving average or when taxable household income falls below a threshold level.

65. Agriculture and Agri-Food Canada officials claim the corresponding percentage Producer Support Estimates in 2000 were 17 in Saskatchewan and 33 in North Dakota.

66. In October 1999 the WTO ruled that Canada's export pricing practices on some milk (about 4 per cent of domestic production) used in dairy products such as cheese constituted an export subsidy which exceeded Canada's WTO commitments.

67. About 70 per cent of the rise is attributable to payments based on historical entitlements, 24 per cent to those based on area planted or numbers of livestock and 15 per cent to higher unit market price support, with the offset to be found in lower quantities produced.

68. Extra loans to the tune of C$ 700 million for spring planting were also provided.

69. See, for example, the debate between the Fraser Institute (2000*b*) and Boyd (2001). The former argues proudly that Canada's environmental quality had improved 18 per cent since 1980, while the latter rates its record as second worst among 29 OECD countries. Indeed, in January 2001 the government-appointed National Round Table on the Environment and the Economy warned that economic-environmental balance in decision-making had not been achieved, leading to an accumulation of toxic contaminants, a loss of natural space and a deterioration of the urban environment, putting Canadians' overall quality of life at risk.

70. The Premier of Newfoundland recently declared that his government envisaged exporting water in bulk to finance greater spending on education. Since the province has legislation on its books prohibiting bulk water removal, the provincial legislature will debate the question in the autumn.

71. For instance, the minerals and metals sector accounts for 4.3 per cent of Canada's GDP but for one-third of industrial and 9 per cent of Canada's total emissions of greenhouse gases.

72. However, it can be pointed out that the upward trend in emissions is slowing, even if it has not yet reversed, and the government's Action Plan had not yet been devised in 1999.

73. Some observers have speculated that the higher incarceration rate in the United States also likely results in a lower measured unemployment rate.

74. For a discussion of the effect of high regional unemployment dispersion on the aggregate NAIRU in the European Monetary Union, see OECD (2000*d*).

75. Under the intensity rule the benefit rate was reduced by one percentage point for every 20 weeks of regular or fishing benefits collected in the past five years, up to a maximum of five percentage points.

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76. A lower cut-off was also applied for claimants with more than 20 weeks of benefits in the last five years.

77. The maximum benefit duration was reduced from 50 to 45 weeks and so was the maximum weekly insurable earnings to C$ 750 (equivalent to C$ 39 000 per year). Moreover, the number of hours needed for eligibility for new entrants and re-entrants to the workforce was raised to 910 (or 26 weeks compared to 20 weeks before).

78. Despite the change to an hours-based system, a federal court judge recently ruled that by establishing the minimum number of hours for eligibility on the basis of a 35-hour week, the eligibility provision was discriminatory against women and parents working part time.

79. With the family supplement, the maximum replacement rate has been gradually raised from 60 per cent in 1996 to 80 per cent in 2000 but applies to claimants with children whose household income is no higher than around C$ 25 000.

80. This is due to the fact that it is easier to qualify for benefits in high-unemployment regions and that workers in such regions can qualify for more weeks of benefits for equivalent hours of work than those living in regions with low unemployment.

81. With seasonal workers accounting for 80 per cent of frequent claimants, it is not surprising to find that the impact of the intensity rule was greatest in areas where seasonal work is concentrated, in particular the Atlantic Provinces, followed by Quebec.

82. This corresponds to the direct saving, since possible additional economies arising from behavioural changes cannot be directly observed.

83. In the government's view there was no significant decline in the number of repeater claims in seasonal industries.

84. However, this link could not have been very important, as only 5 per cent of regular claimants affected by the intensity rule also received sickness benefits in 1999-2000.

85. Five provinces and the two territories have negotiated a full transfer of authority, while the other five have chosen a programme that is either managed by or co-managed with the federal government. In the latter there is no transfer of resources, and the delivery of EBSMs remains the responsibility of the federal government.

86. In order to ensure comparability and consistency across jurisdictions, a joint federal-provincial process has been established in each province and territory except Ontario to evaluate the programmes and services delivered under the LMDAs. The evaluations are done in two phases: *formative* evaluations must be undertaken within or shortly after the first year of implementation and focus on design, delivery and implementation issues; summative evaluations, which focus on longer-term cost effectiveness, are conducted in the third year of a programme. Beyond these two, subsequent evaluations are conducted every three to five years. Most formative evaluations have been completed, while the summative evaluations are now in their early stages.

87. However, it should be remembered that there is no within-the-year link between the two because of the lengthy duration of some interventions.

88. The new legislation in no way affects the requirement that the institution meet whatever capital requirements are imposed by the regulator (the Office of the Superintendent of Financial Institutions).

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Annex I

Developments in government spending

Despite radical retrenchment in the 1990s, general government spending in Canada still accounts for about 38 per cent of GDP, slightly above the OECD average and well above the share in the United States (Figure A1). Public spending on consumption is relatively high by international comparison (Figure A2). In contrast, Canada's share of net capital outlays is amongst the lowest of G-7 countries and well below the OECD average. On the other hand, interest payments as a share of GDP are among the highest of all OECD countries because of Canada's significant debt burden. In sum, Canada's public spending is weighted toward social programmes, but spending power is considerably limited by debt service payments.

Total spending as a share of GDP increased steadily from below 30 per cent in the mid-1960s towards 40 per cent in the late 1970s as governments introduced major new programmes (Figure A3). The upward trend in the expenditure ratio was reinforced by a strong

Figure A1. **Government spending and level of income**[1]

1. 1999 or nearest year available.
2. Public spending is defined as the sum of current outlays and net capital outlays.

Source: OECD.

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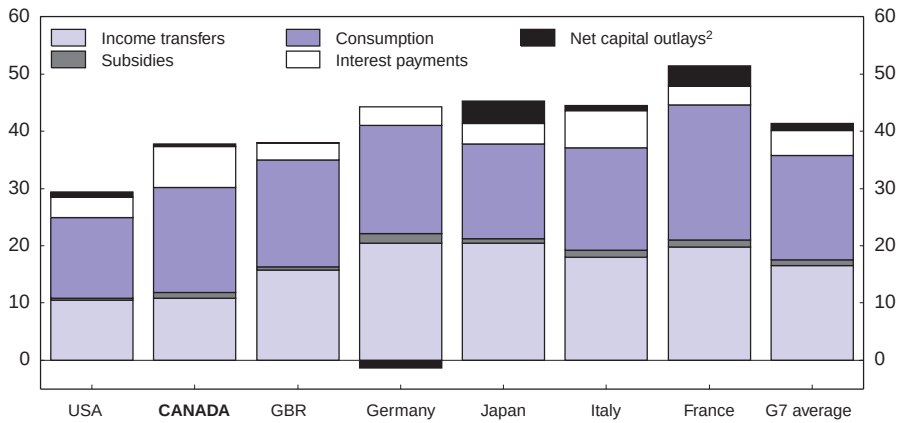
Figure A2. **General government outlays by economic category**
Per cent of GDP, 2000[1]



1. Estimated.
2. Net fixed investment plus net capital tranfers. For Germany in 2000, net capital outlays reflect special circumstances.

Source: OECD.

counter-cyclical element, with it ratcheting up sharply during the recessions in the early 1980s and early 1990s, to reach over 50 per cent of GDP. A large part of the increase in spending came from the expansion of income transfers, which rose from 20 per cent of total spending in the early 1970s to 30 per cent of spending by the mid-1980s. Tax revenue did not keep pace with the increase in government spending, resulting in chronic deficits and mounting debt. Between 1982 and 1994 Canada's deficit-to-GDP ratio was higher than the OECD median in every year but one. As a result, interest payments increased markedly as a share of total spending. After the protracted recession in the early 1990s, when Canada's public finances approached a state of crisis, the government finally took action, setting two-year spending targets that required new spending to be financed through reallocations, restructuring and streamlining programmes, curbing interregional transfers and reducing the size of the civil service. Between 1992 and 2000, Canada's programme spending as a share of GDP fell by around 10 percentage points, a greater reduction than in any other G-7 country, while total expenditure converged on average OECD levels.

After fiscal retrenchment a small surplus appeared in 1997 and 1998 – the first in almost 25 years – which then expanded significantly in 1999 and 2000 (Figure A4). Turnarounds in federal and provincial fiscal balances have brought about a perceptible decline in the debt burden. By 2000 the total government net-debt-to-GDP ratio had fallen more than 20 percentage points from its peak of nearly 90 per cent in 1995, the largest decline among G-7 countries (Figure A5). Even so, and taking account of factors that affect comparability, that ratio was still the third highest of G-7 countries, exceeded only by Italy's and Japan's. Because the provinces and territories conducted more disciplined fiscal policies through the 1970s and 1980s, their debt burden is much lower than that of the federal government,

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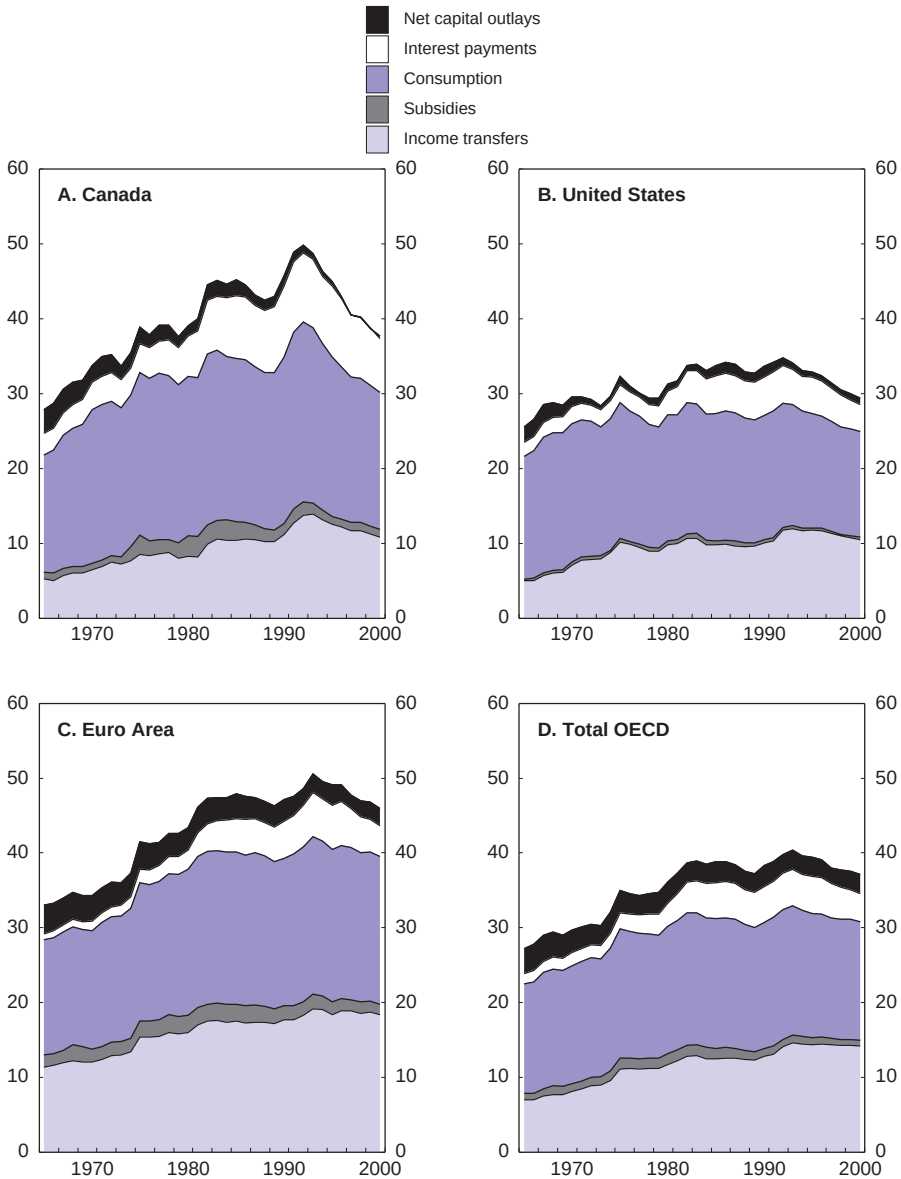
Figure A3. **Trends in general government outlays by economic category**

Per cent of GDP



Source: OECD.

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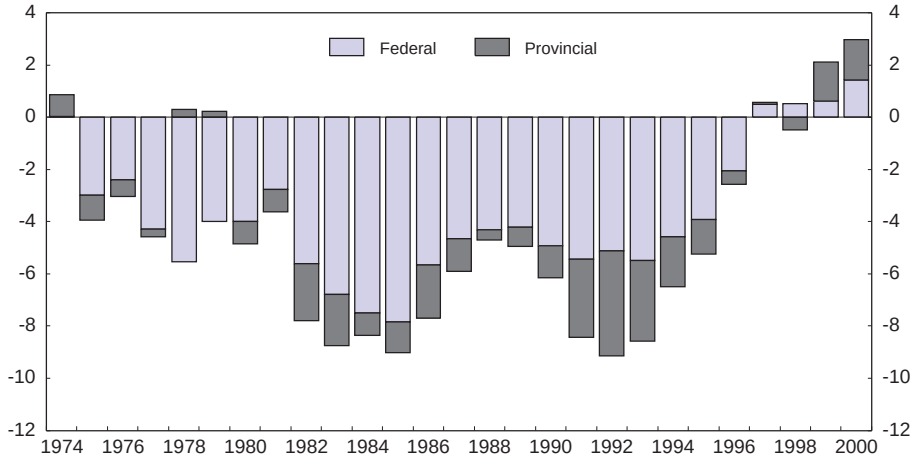
Figure A4. **Federal and provincial budget balances**

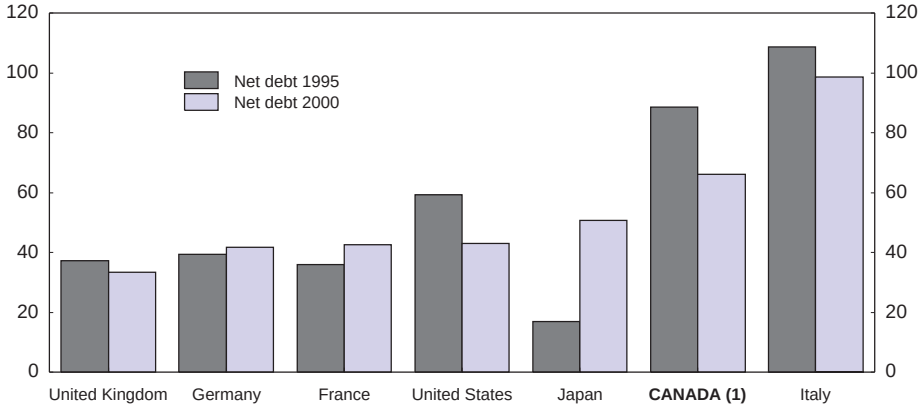
Per cent of GDP, National Accounts basis



Source: Statistics Canada.

Figure A5. **Total government net debt**

Per cent of GDP, National Accounts basis



1. Includes funded government employee pension plan liabilities (amounting to 19 per cent of GDP in 1999), which overstates the Canadian debt position relative to countries that have large unfunded liabilities for such pensions.

Source: OECD.

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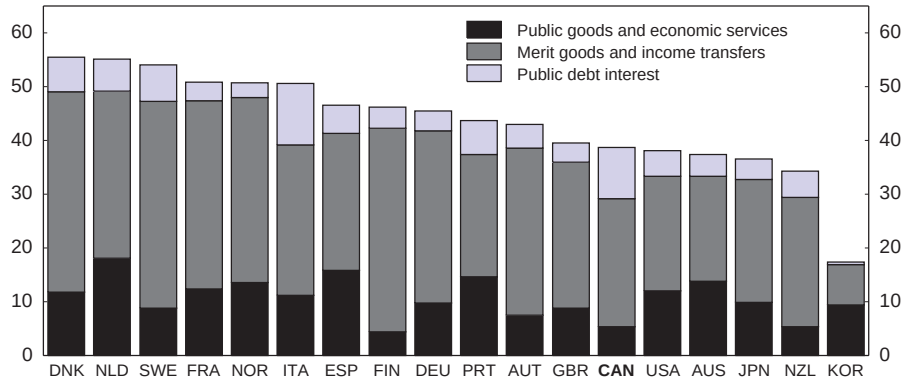
Figure A6. **Structure of government outlays by function**[1]
Per cent of GDP, 1995



Note: For France and Norway data refer to 1993; for New Zealand to 1994.
1. Outlays do not represent total government spending.
Source: OECD, *National Accounts*, *Social expenditure database*, *Education at a glance*; US Bureau of Economic Analysis, *Survey of Current Business*.

and their debt charges comprise a much smaller share of expenditures. That said, the federal government moved into surplus faster, in part because of cuts to transfers to provinces, and since the early 1990s the share of federal in total debt has fallen. Nonetheless, continued high interest payments constrain the federal government's room to manoeuvre that it may need when it designs effective longer-term fiscal policies. By implication, there is little room for short-term spending initiatives in this environment.

Functional breakdowns of spending by economic categories are not always comparable across countries because the data are drawn from a variety of sources and significant portions of spending have not been assigned to any category. Nonetheless, cross-country comparisons reveal some interesting patterns (Figures A6 and A7, Table A1). Like many OECD countries, Canada's total government expenditure rose up to the early 1990s with increasing shares of spending on health, education and social services. However, in Canada's case the increase in these spending items was much more pronounced than elsewhere (from 12 per cent of GDP in the mid-1960s to 29 per cent in the early 1990s, and still 25 per cent of GDP by 1996-97). The fiscal crisis arose largely because budget plans were continuously undermined by further expansions in programmes such as unemployment insurance, social assistance and federal-provincial shared-cost programmes. It was largely by reforming these programmes (notably social services) that governments achieved fiscal redress. On the other hand, Canada has had a historically low share of expenditure on public goods other than health, education and social services compared to other G-7 countries and is one of the few countries to show declines in this share since the 1980s.

The combined provinces and territories of Canada spend more and have higher revenues than the federal government. They are responsible for the large majority of spending on law and order, education, health, housing and leisure (Table A2). The federal government

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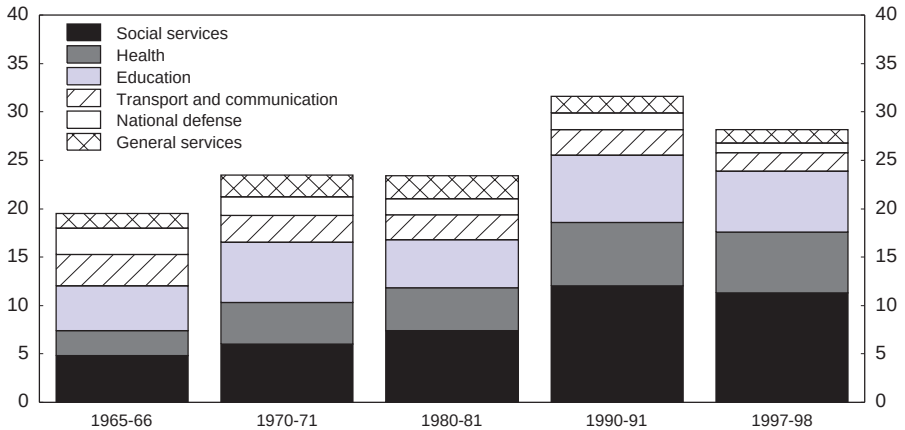
Figure A7. **General government expenditure by function**[1]
Financial management system basis
Per cent of GDP, fiscal years



1. Expenditures do not represent total government expenditure.
Source: Department of Finance, Canada.

is responsible for the lion's share of general administration, security and unemployment insurance. The federal and provincial governments are sovereign within their own jurisdictions, but often programmes are interdependent and the federal government has used its spending powers to intervene in the social-policy arena. The collection of revenues is more highly centralised than the delivery of services, with both federal and provincial governments transferring large portions of their revenues to lower levels of government.

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Table A1. **Structure of government outlays by function**

Per cent of GDP[1]

	Total expenditure	Public goods				Merit goods				Income transfers							Economic services	Public debt interest
		Total	Defence	General public services	Other functions	Total	Education	Health	Other social services	Total	Pensions	Disability	Sickness	Family cash benefits	Unemployment	Housing and other benefits		
United States																		
1990	34.9	10.9	7.0	2.8	1.0	10.8	5.3	5.2	0.3	8.5	6.2	0.8	0.3	0.2	0.7	0.4	3.1	5.1
1995	34.3	9.2	5.2	2.9	1.0	11.9	5.0	6.5	0.4	9.4	6.5	1.0	0.3	0.3	0.6	0.6	2.8	4.8
1997	32.7	–	–	–	–	12.1	5.2	6.6	0.4	9.0	6.4	1.0	0.2	0.3	0.4	0.6	–	4.4
Japan																		
1990	31.6	4.4	0.9	3.4	0.0	8.9	3.7	4.7	0.5	10.0	5.0	0.5	0.1	0.2	0.3	2.2	4.3	3.9
1995	36.5	4.5	0.9	3.6	0.0	10.1	3.8	5.6	0.6	12.8	6.2	0.5	0.1	0.2	0.5	2.9	5.3	3.8
1997	35.6	4.1	0.9	3.2	0.0	10.1	3.7	5.9	0.6	13.0	6.9	0.5	0.1	0.2	0.6	2.8	4.7	3.7
Germany																		
1990	47.4	6.4	1.9	4.6	0.0	12.7	4.4	7.1	1.2	16.3	9.7	1.2	0.4	1.3	3.0	0.6	5.3	2.9
1995	49.7	5.2	1.4	3.9	0.0	13.9	4.5	8.0	1.3	18.2	10.7	1.4	0.5	1.2	3.7	0.8	4.5	3.7
France																		
1990	50.2	10.1	3.1	3.9	3.1	12.6	5.1	6.5	1.0	18.7	10.9	1.5	0.5	2.1	2.6	1.1	3.3	2.9
1995	55.4	9.2	2.9	4.5	1.8	14.1	5.9	7.1	1.1	20.9	12.0	1.5	0.6	2.2	3.3	1.3	3.1	3.5
Italy																		
1990	53.2	6.5	1.9	4.2	0.4	12.4	5.8	6.3	0.3	16.3	11.9	1.9	0.2	0.6	1.5	0.0	6.2	9.4
1995	52.2	6.5	1.7	4.5	0.3	10.2	4.5	5.3	0.3	17.9	13.5	1.8	0.1	0.4	2.0	0.0	4.6	11.5
United Kingdom																		
1990	41.4	6.5	4.1	1.9	0.5	10.2	4.3	5.0	0.9	13.7	7.1	1.8	0.4	1.6	1.3	1.5	4.1	3.4
1995	43.6	5.4	3.2	1.9	0.2	11.5	4.6	5.7	1.2	15.6	7.3	2.8	0.2	1.9	1.3	2.1	3.3	3.5
Canada																		
1990	46.7	3.2	1.7	1.5	0.0	12.2	5.4	6.7	0.1	10.8	4.3	1.0	0.1	0.5	2.4	2.5	2.6	9.5
1995	46.3	2.9	1.4	1.5	0.0	12.3	5.8	6.5	0.0	11.5	4.8	1.0	0.1	0.8	1.8	3.1	2.4	9.6

1. Expenditure by function may not add up to total expenditure as these are derived from different sources. In particular, expenditures by function refers to fiscal years and total expenditure to calendar year, moreover, total expenditure is net of capital transfers received.

Source: OECD National Accounts, Social Expenditure Database; *Education at a Glance*, OECD; and *Survey of Current Business*.

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Table A2. **Functional distribution of public expenditures by level of government**[1]

Per cent of functional category

	General administration		Law and order		Security		Education		Health		Welfare		Housing		Leisure		Transport and communication	
	Central	Local	Central	Local	Central	Local	Central	Local	Central	Local	Central	Local	Central	Local	Central	Local	Central	Local
Federal countries:																		
Australia	52	48	15	85	100	0	28	72	51	49	91	9	32	68	29	71	22	78
Canada	59	41	0	100	100	0	8	92	17	83	66	34	19	81	16	84	31	69
Germany	46	54	0	100	100	0	5	95	71	29	77	23	5	95	4	96	50	50
Switzerland	40	60	0	100	84	16	10	90	43	57	82	18	8	92	7	93	37	63
United States	70	30	16	84	100	0	6	94	55	45	73	27	67	33	16	84	29	71
Average[3]	53	47	6	96	99	1	11	89	47	53	78	28	26	74	14	86	34	66
Unitary countries:[2]																		
Denmark	64	36	86	14	99	1	51	49	8	92	47	53	41	59	42	58	52	48
France	70	30	76	24	100	0	63	37	97	3	92	8	20	80	27	73	60	40
Netherlands	69	31	67	33	100	0	80	20	85	15	82	18	38	62	14	86	55	45
Norway	67	33	82	18	100	0	49	51	44	56	81	19	40	60	38	62	64	36
United Kingdom	78	22	58	42	100	0	0	100	100	0	91	9	0	100	0	100	67	33
Average[3]	70	30	74	26	100	0	49	51	67	33	78	22	27	73	24	76	60	40

1. 1992, or latest available. In all countries, central government includes the social security system while local expenditure shares do not always reflect local decision making power.
2. Local includes sub-central (state) levels.
3. Unweighted.

Source: Pola (1999).

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Annex II

Legislated fiscal rules for the provinces and territories

	Fiscal targets and rules	Offsetting surpluses and/or penalties for non-compliance	Exemptions and provisions
British Columbia			
Balanced Budget Act (2000)	Balanced budget by 2004-05.	No offsetting surplus required.	If revenue falls by more than C$ 500 million, then target is adjusted subject to approval of the legislature.
		Penalty of 20 per cent reduction in cabinet salary for one year.	Expenses required for emergencies or unexpected circumstances detrimental to health and safety.
Alberta			
Deficit Elimination Act (1993)	BBDRA: Balanced budget in 1996-97 and onwards. After 1999, economic cushion of 3.5 per cent of revenue.	No penalties.	Programme expenditures resulting from additional revenue received for special purposes.
Balanced Budget and Debt Retirement Act (BBDRA) (1995)			Programme expenditures related to an emergency or disaster.
Fiscal Responsibility Act (FRA) (1995)	FRA: 75 per cent of cushion for debt repayment and 25 per cent for contigency reserves.		
	FRA: legislated 25-year debt repayment plan for accumulated debt.		
Taxpayer Protection Act (TPA) (1995)	TPA: Referendum requirement for introduction of retail sales tax.		
Saskatchewan			
Balanced Budget Act (1995)	Balanced budget plan over four-year period following each election.	No offsetting surplus required.	Unanticipated event or circumstances that have a dramatic impact of expenditures or revenues in a fiscal year.
	Debt management plan but with no specific debt repayment.	No penalties.	

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	Fiscal targets and rules	Offsetting surpluses and/or penalties for non-compliance	Exemptions and provisions
Manitoba			
Balanced Budget, Debt Repayment and Taxpayer Protection Act (1999)	Balanced budget from 1995-96 onward.	Deficit in one year requires offsetting surplus in following year.	Unanticipated reduction in revenues of 5 per cent or more.
	Referendum requirements for tax increases.	Penalty of 20 per cent of cabinet salary if there was no deficit in the previous year, 40 per cent if there was a deficit in the preceding year	Expenditures related to an unanticipated natural disaster or declaration of war.
	Debt retirement fund, with payments every five years after 31 March 2000.		
Ontario			
Balanced Budget and Taxpayer Protection Act (1999)	Balanced budget in each fiscal year beginning in 2001-02.	Deficit in one year requires offsetting surplus in following year.	Expenditures related to an unanticipated natural disaster or declaration of war.
	Referendum requirement for tax increases.	Penalty: 25 per cent reduction in cabinet salary if deficit is more than 1 per cent of provincial GDP and lasts 1 year, or if less than 1 per cent, but not offset in the following year. 50 per cent reduction if deficit lasts 2 years.	
		Can accumulate net surpluses over 3 previous fiscal years to offset a shortfall.	
Quebec			
Act Respecting the Elimination of the Deficit and a Balanced Budget (1996)	Balanced budget by 1999-2000 and onwards.	If deficit is below C$ 1 billion, then offsetting surplus in the following year. If deficit is above C$ 1 billion, then cumulative offsetting surplus over 5 years.	Disasters impacting revenue, significant deterioration in economic conditions or changes in federal transfer payments or programmes.
		Past surpluses may be accumulated and applied to offset overruns.	
		No penalties.	
New Brunswick			
Balanced Budget Act (1993, 1995)	Balanced budget plan over four-year period beginning in 1996-97; objective rather than requirement.	No offsetting surplus required.	Any changes in revenue as a result of changes to federal-provincial agreements.
		No penalties.	

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	Fiscal targets and rules	Offsetting surpluses and/or penalties for non-compliance	Exemptions and provisions
Nova Scotia			
Financial Measures Act (2000)	Annual balanced budget from 2002-03 onward, with four-year fiscal plans. New programme must be financed from existing programmes.	Deficit in one year requires offsetting surplus in following year. No penalties, but report must be tabled to explain the reasons why the target was missed.	Unprecedented natural disasters. Losses associated with a sale, closure or restructuring of government corporation. Expenditures incurred with respect to debt servicing costs that exceed the budget amount.
Yukon			
Taxpayer Protection Act (1996)	Net debt accumulation prohibited. Referendum required for tax increases.	Penalty: If accumulated deficit is created or increased, election must be called by 1 February of following year.	If debt created or increased in fiscal year when the government was not in power.

Source: Department of Finance, Canada; British Columbia Ministry of Finance and Corporate Relations.

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Annex III

Treasury board's review criteria in reporting accountability for results

Context and strategies

Mission and mandate of the organisation, objectives of programmes and what major strategies are being used.

Meaningful performance expectations

Clear statement of what outcomes would be judged as successful, of concrete measurable performance expectations, and of the key expectations.

Performance accomplishments against expectations

Key accomplishments reported against previously stated expectations, including results in terms of outcomes and outputs and costs, related financial performance, how future challenges will be met, and what adjustments will be made where performance is weak.

Credible performance information reports

Performance information that is relevant, timely, reliable, fair and understandable.

Source: Treasury Board of Canada (1999).

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Annex IV
Best practices on fiscal transparency

The draft list of OECD *Best Practices for Budget Transparency* includes the following items:

- Governments should publish a pre-budget statement outlining the aggregate levels of revenues, expenditure, surplus or deficit and debt several months prior to the release of the government's budget proposal. The objective is to cast budget policy in a macroeconomic and medium-term setting, thereby establishing a top-down fiscal policy anchor.
- The budget should contain explicit detail on the economic assumptions used and statements of tax expenditures, financial liabilities and financial assets, non-financial assets, employee pension obligations and contingent liabilities. Several tracking and update reports should be available. These could include monthly out-turn reports and mid-year updates.
- The annual financial statements (or government accounts) serve as compliance reports for parliamentary and wider accountability purposes and should be certified by the auditor. Transparent financial statements should include information on the budgetary out-turn, debt structure and borrowing, commitments, contingent liabilities, trust moneys held by the government and accounting policies.

The IMF's *Code on Good Practices on Fiscal Transparency* is based on four principles:

- Clarity of roles and responsibilities: establishing clear boundaries between the public and private sectors; and within the public sector between fiscal, monetary and government business enterprise activities.
- Public availability of information – *i.e.* a commitment to publish comprehensive financial information at clearly specified intervals.
- Open budget preparation, execution and reporting, according to published statistical and accounting standards for government reporting.
- Independent assurances of integrity – *e.g.* through external audit and statistical independence.

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Annex V

The government of Canada's self-assessment of the fiscal management system in relation to the IMF's code of good practices on fiscal transparency

Clarity of roles and responsibilities

The government sector should be clearly distinguished from the rest of the economy, and policy and management roles within government should be well-defined:

- The activities of general government are clearly distinguished from the rest of the economy in the Government Financial Statistics and the System of National Accounts.
- Government involvement in the private sector is carried out mainly through regulation in an open and public manner. Direct equity investment is limited. Government ownership of the financial sector is limited to investments for public policy purposes in Crown corporations.
- Powers and responsibilities are divided clearly between the federal and provincial governments. The distribution of expenditure responsibilities and taxing powers is clear and supported by open, stable intergovernmental transfer mechanisms. The fiscal management roles of the executive, legislative and judicial branches of government are well established with a clear capacity to resolve emerging issues throughout the federal budgetary process and daily management of government.
- The vast majority of federal expenditures are budgetary. Extra-budgetary items consist largely of loans, investments and advances – primarily to Crown Corporations – and transactions related to federal employee pension accounts. All expenditures made by government – whether budgetary or extra-budgetary – are either statutory in nature or are voted.
- The Bank of Canada has considerable autonomy to carry out its responsibilities, which are clearly established in The Bank of Canada Act.
- Crown corporations appear independent but are considered part of the central government sector because they belong to the state. In accordance with the Financial Administration Act, an annual comprehensive report on the activities of all Crown corporations is submitted to Parliament. New government policy guidelines are helping to strengthen the governance of Crown corporations.

There should be a clear legal and administrative framework for fiscal management:

- The legal framework defines clear roles and responsibilities for key aspects of fiscal management to a limited extent. The framework is primarily contained in the Constitution Act 1987 and the Financial Administration Act.

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– The legislation is mainly in terms of financial compliance and does not set out transparency and accountability requirements. However, in practice the government is moving towards enhanced fiscal disclosure through regular financial reports. There are no legislative requirements for the Executive to report on the value for money spent, although this is done informally and the Auditor General regularly conducts selective value-for-money audits. All tax liabilities are clearly codified in statutes enacted by Parliament and regulations made by the Governor in Council and published in both official languages. Taxpayers' rights and obligations are clear and generally applied consistently and fairly.

– Ethical standards of behaviour for public servants are similar to the UN International Code of Conduct for Public Officials.

Public availability of information

The Public should be provided with full information on the past, current and projected fiscal activity of government:

– Budget coverage of the central government is comprehensive and presents information from the previous two fiscal years. Incorporated in budget forecasts are estimates of contingent liabilities, tax expenditures and the level and composition of debt. Contributions for quasi-fiscal activities are included in annual spending estimates and presented to Parliament.

A public commitment should be made to the timely publication of fiscal information:

– This commitment has been made, with advance release-date calendars.

Open budget preparation, execution and reporting

Budget documentation should specify fiscal policy objectives, the macroeconomic framework, the policy basis for the budget and identifiable fiscal risks:

– The government uses the average of private-sector medium-term fiscal forecasts, but not a fully articulated medium-term fiscal framework. A "scorecard" compares financial outcomes with forecasts from the previous two budgets. Some qualitative indicators of fiscal sustainability are employed, and long- range scenarios are prepared for specific sectors. Administrative fiscal rules are employed without specific legislation. Existing commitments are distinguished from new policies and risks identified systematically.

Budget estimates should be classified and presented in a way that facilitates policy analysis and promotes accountability.

– There is comprehensive coverage of all budget and extra-budgetary activities. Reports of Plans and Priorities lay out the main objectives of departments on a business-line basis. The relationship between the budget estimates and overall balance is clearly laid out. Accounting is currently on a modified accrual basis and will move to a full accrual basis in 2001-02.

Procedures for the execution and monitoring of approved expenditures should be clearly specified:

– The accounting system is comprehensive and capable of generating data on all stages of the payment process. Regulations for an open tendering process for public-supply contracts have been established. Recruitment is competitive, and employment and pay regulations are observed. Government policy states that departments must audit

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their programmes and operations, and the Auditor General provides an independent opinion to Parliament on the financial statements and "value for money" of policies and programmes.

Fiscal reporting should be timely, comprehensive and reliable, and should identify deviations from the budget:

– Generally true. The Government of Canada reporting entity includes all departments, agencies, corporations and funds that are owned or controlled by the government and accountable to Parliament. Reconciliation of accounts occurs in an effective and timely way. The value, efficiency and effectiveness of public activities are monitored by departments and tabled to Parliament.

Independent assurances of integrity

The integrity of fiscal information is subject to public and independent scrutiny by the Auditor General. Macroeconomic forecasts are publicly available and therefore open to scrutiny. There is statutory assurance of technical independence of Statistics Canada, and standards for data integrity and quality as set out in the IMF's General Data Dissemination System (GDDS) are adhered to.

Source: Department of Finance, Canada.

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Annex VI

Financial and performance reports of the federal government

The Public Accounts provide a comprehensive report on the financial statement and details on revenue and expenditure. The Accounts break down sources of funds from previous years, main estimates and supplementary estimates and adjustments. They are consolidated accounts on a quasi-accrual basis. They include pension liabilities, which adds to their accuracy. However, they do not include other liabilities such Aboriginal land claims. The Office of the Auditor General performs audits of the Accounts as well as the annual financial reports. The audit opinion follows generally accepted accounting standards and is helpful in determining Canada's credit status.

The Auditor General's Reports review whether public funds were approved and spent for the purposes they were intended, and whether they were efficient, economical and effective. The House of Commons Standing Committee on Public Accounts examines the Reports. The Committee ensures that audited departments responded to the audit recommendations, thereby completing the "accountability loop".

The Annual Financial Report gives an account of the implementation of the budget plan. Appended are condensed financial statements of the Government of Canada that have been audited for compliance.

The Fiscal Monitor reports on the progress of monthly fiscal results, compared to the previous month and year.

The Scorecard reports on the progress in carrying out deficit reduction by comparing the actual results with the budget forecast of fiscal variables.

The Economic and Fiscal Update lays out the macroeconomic setting for the budget preparations and sets the overall fiscal policy objectives. It presents Canada's recent economic developments and prospects, an update on the government's revenues, expenses and deficit (surplus) position, the medium-term economic and fiscal prospects and underlying assumptions, and issues resulting from certain policy proposals for discussion in the public consultations.

The Budget provides explicit details on the new fiscal framework, the budgetary balance and financial requirements, underlying economic assumptions as well as a sensitivity analysis of the assumptions.

The Main Estimates contain details of government expenditures. Part I presents an overview of government spending within the context of the Budget, and Part II itemises government expenditures that require parliamentary approval. Part III has been split into two separate documents that provide performance information to complement the financial information in Parts I and II. Part III of the Estimates has been integrated into the budget cycle to link expenditure planning with expenditure performance evaluation.

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- Reports on Plans and Priorities for the 84 departments and agencies, tabled by the President of the Treasury Board in the spring, provide detail on the objectives and planned results linked to resource requirements for a three-year time horizon.
- Departmental Performance Reports are tabled in the autumn by the President of the Treasury Board as part of the Fall Performance Package that also includes Managing for Results and the Public Accounts. Departments report on the results they have achieved with regard to planned performance expectations.

Managing for Results reports on the progress of results-based management and improving reporting to Parliament. It is designed to improve access to performance information on departments and the government overall.

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Annex VII

Examples of collaborative and delegated arrangements

Collaborative arrangements	Federal funding
Labour Market Development Agreements Established 1996 Partner: Provincial governments Bilateral arrangements to strengthen provincial role in design and delivery of labour market development programmes and services	C$ 7.7 billion 1995-96 to 1999-2000
National Child Benefit Established 1998 Partner: Provincial and territorial governments excluding Quebec Provides enhanced federal child benefits for low-income families as well as increased provincial, territorial and First Nations reinvestments in services and benefits for these families	C$ 4.2 billion to the NCB-supplement for 1998-99 to 2000-01 programme years (C$ 755 million reinvestments and investments between 1998-99 to 1999-2000 from other levels of governments, mostly savings reinvested in other programmes)
Canada Infrastructure Works Programme Established 1994; Phase II began in 1997 Partner: Provincial/territorial governments Arrangement between federal and provincial/territorial governments to renew physical infrastructure mainly in local communities and to promote job creation and skills development	C$ 2.4 billion 1994-95 to 1999-2000 (C$ 5.9 billion 1994-95 to 1999-2000 from other levels of government)
Delegated arrangements	**Federal funding**
Canada Millennium Scholarship Foundation Established 1998 Independent body created under the Budget Implementation Act, 1998 to manage a federal endowment to grant 100 000 scholarships annually for the next ten years	C$ 2.5 billion from 1997-98 over 10 years
Canada Foundation for Innovation Established 1997 Independent not-for-profit corporation created under the Budget Implementation Act 1997 to provide funding to universities, colleges, hospitals and other not-for-profit institutions to obtain necessary research infrastructure	C$ 1.0 billion 1996-97 to 2002-03 (C$ 1.5 billion leveraged funding from other sources, 1996-97 to 2002-03)

Source: Department of Finance, Canada.

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Annex VIII

Calendar of main economic events

2000

January

Air Canada took over Canadian Airlines in a C$ 92 million merger. Air Canada assumed Canadian's C$ 3 billion in liabilities and announced no layoffs but expected to reduce the combined workforce by 2 5000 through attrition and buyouts.

The federal government approved a plan to provide an additional C$ 1 billion over the next two years of disaster assistance for farmers, many of whom have been hit by record low prices and floods.

February

The federal government delivered its budget, with numerous tax cuts and a 4 per cent increase in programme spending. Highlights included: fully indexing tax brackets for inflation; increasing the threshold for the middle and highest tax brackets to C$ 35 000 and C$ 70 000 respectively and reducing the middle-income tax rate from 26 per cent to 23 per cent; a five year plan to level the corporate tax rate to 21 per cent and raising its threshold; reducing the capital gain tax; raising the Child Tax Benefit; and C$ 2.5 billion more over four years for post-secondary education and health.

The Alberta government tabled its budget, with a forecast surplus of C$ 1 035 million and a contingency reserve of C$ 178 million. Almost half (C$ 500 million) of the surplus is allocated to the establishment of an endowment fund. Other highlights included: a C$ 60 million reduction in user fees including the cost of registering land and mortgages, no tax changes other than the existing plan to switch to a flat tax rate of 11 per cent starting next year and increased base budgets for health and education spending over the next three years of 21 per cent and 19 per cent, respectively.

The federal government approved Toronto-Dominion Bank's C$ 8 billion takeover of Canada Trust. The plan will cut 4 900 jobs over three years and close about 275 branches out of a combined total of 1 323.

The Bank of Canada increased its Bank Rate by one quarter of a percentage point to 5¼ per cent, matching a rise in US rates.

March

The Quebec government announced major new tax reductions and spending initiatives, while maintaining balanced budgets for 2000-01 and 2001-02. Personal income tax cuts will

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come into effect earlier than envisaged, retroactive to January 2000, and the tax system will be indexed to inflation form 2003. Businesses will benefit from a ten-year tax holiday for job-creating investment projects, a refundable tax credit for electronic-commerce support for SMEs, and the extension of an existing tax holiday for investments in manufacturing and computer equipment. Additional spending concerned health and social services, education and youth initiatives, and economic development and infrastructure projects.

Prince Edward Island forecast a balanced budget in 2000-01. The budget announced its intention to move to a tax-on-income system for personal taxation (de-linking it from basic federal tax) and also provided some tax relief. New spending measures focused on health and education.

The British Columbia budget also announced a move to a tax-on-income system and provided some modest tax relief for low- and middle-income earners and small businesses while accommodating pressures for significant new spending, especially on health care and education. The budget deficit was estimated at C$ 1.3 billion in 2000-01 (including a C$ 300 million forecast allowance).

Newfoundland forecast a deficit of C$ 35 million for 2000-01, including a contingency reserve of C$ 30 million. The budget reiterated the previously announced plan to move to a tax-on-income system for personal taxation while providing tax cuts over three years. Investments were made in the priority programmes: health, education, social services and municipal infrastructure.

The Saskatchewan government, forecasting its seventh consecutive surplus, unveiled a tax-on-income structure for personal income taxation which will be indexed to inflation, in an attempt to remain competitive with neighbouring Alberta. The province will establish a new C$ 400 million Fiscal Stabilisation Fund with the proceeds from a one-time transfer of retained earnings from the Saskatchewan Liquor and Gaming Authority. New spending initiatives focused on health, education, roads and infrastructure.

Following an accounting review in 1999-2000, the New Brunswick government projected a move back into slight budget surplus position, while offering income tax cuts for individuals and small businesses. Modest spending increases on health care and education will be offset by expenditure reductions in other areas resulting from a programme and service review.

The Bank of Canada increased its Bank Rate by 25 basis points to 5½ per cent, following a similar move by the US Federal Reserve.

April

In Nova Scotia, the new government slashed expenditures to reduce the budget deficit to C$ 268 million in 2000-01, following an estimated deficit of C$ 765 million in 1999-2000. The province offered some tax relief with its move to a tax-on-income structure for personal income taxation. Overall, the budget targeted C$ 295 million in expenditure reductions. Contained programme spending was expected to put the budget into balance by 2002-03.

May

The Ontario government announced the achievement of a budget surplus of C$ 654 billion in 1999-2000, the first one in a decade. A balanced budget was projected for the current fiscal year, including an increased contingency reserve of C$ 1 billion. The budget provided additional funds for healthcare and education and delivered substantial tax cuts for business and low- and middle-income earners (including a special C$ 1 billion tax rebate in 1999-2000).

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Manitoba forecast its sixth consecutive surplus, despite an accounting review in 1999-2000. The province provided some tax relief with its transition to a tax-on-income system which will be fully implemented in 2002. New spending initiatives were targeted towards health, education and families and communities.

Shortly after tabling its 2000 budget, the Alberta government announced a decrease in its tax rate for the 2001 tax year to 10.5 per cent from the previously announced 11 per cent and an increase in the basic personal and spousal exemptions to C$ 12 900 from C$ 11 620.

The Bank of Canada increased its Bank Rate by ½ percentage point to 6 per cent, matching a rise in US rates.

September

The Bank of Canada announced that changes in its key interest rates will be made on eight fixed dates a year.

October

In a "mini-budget", the federal government announced a number of tax measures, including the creation of a fourth income-tax bracket, the elimination of the 5 per cent surtax on high incomes, the reduction in the capital gains inclusion rate to 50 per cent, and a schedule for corporate income tax cuts until 2004.

November

The Quebec government passed back-to-work legislation to stop a three-week strike by truckers at the Port of Montreal.

The federal government's mandate was renewed in general elections, with the Liberal Party maintaining an absolute majority in Parliament.

2001

January

The Bank of Canada cut its Bank Rate by 25 basis points to 5¾ per cent.

February

The 36-year old Auto Pact between Canada and the United States ended in compliance with a WTO ruling that all imports must be treated equally.

March

The Bank of Canada cut its Bank Rate by 50 basis points to 5¼ per cent.

New Brunswick tabled its 2001-02 budget, with a projected surplus of C$ 35 million. The budget eliminates provincial income tax for low-wage earners, cuts corporate income taxes, and increases spending (notably for health and education).

British Columbia released its 2001-02 budget, projecting a C$ 1.1 billion surplus despite a 7½ per cent expenditure increase with new funding directed to health care, social services,

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education and infrastructure. However, with the election of a new government in May, this budget is no longer applicable. A new budget should be tabled later in the summer of 2001.

Nova Scotia forecast a reduction in the budget deficit to C$ 91 million in 2001-02, with a continued tight grip on spending.

Quebec unveiled its 2001-02 budget, including personal income tax cuts and moderate spending increases (especially for health care and education) while aiming at fiscal balance.

Newfoundland projected a budget deficit of C$ 31 million in 2001-02, broadly unchanged from the previous fiscal year.

Saskatchewan forecast a slight budget surplus in 2001-02, with tax cuts for small businesses and additional spending partly financed from its Fiscal Stabilisation Fund.

April

The Bank of Canada lowered its Bank Rate by 25 basis points to 5 per cent.

Manitoba tabled its 2001-02 budget, with a projected surplus of C$ 10 million despite personal and business tax cuts as well as increased spending on health care and education.

Alberta revealed its 2001-02 budget, projecting a surplus of C$ 613 million and a contingency reserve of C$ 204 million in spite of a 10 per cent expenditure increase (in particular on infrastructures) and numerous tax cuts (including personal income taxes, capital taxes on financial institutions, corporate and small business taxes).

Federal provincial tobacco taxes were raised in several jurisdictions.

May

Ontario tabled its 2001-02 budget with a C$ 140 million surplus and reductions in personal and corporate income taxes as well as capital taxes on businesses. Spending growth was projected to be moderate, with addition funds mainly directed toward health care and education.

The government and the Bank of Canada announced that the inflation-control target will be extended through 2006.

The Bank of Canada reduced its Bank Rate by 25 basis points to 4¾ per cent.

In an Economic Update, the federal government acknowledged the current global economic slowdown, while demonstrating that the level of economic prudence and the contingency reserve imbedded in the planning framework would enable it to achieve balanced budgets or better in both 2001-02 and 2002-03.

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Statistical annex and structural indicators

Table A. **Selected background statistics**

	Average 1991-2000	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000
A. *Percentage change*											
Private consumption[1]	2.4	–1.6	1.6	1.8	3.0	2.1	2.6	4.6	3.0	3.4	3.6
Gross fixed capital formation[1]	2.9	–5.4	–2.7	–2.0	7.5	–2.1	4.4	15.2	2.4	7.3	6.7
Public investment[1]	1.6	5.1	–1.5	–1.3	7.3	–3.1	–4.3	–3.2	–0.9	12.3	7.6
Private investment[1]	3.1	–7.0	–3.0	–2.1	7.5	–1.9	5.9	18.1	2.8	6.7	6.6
Residential[1]	–0.3	–14.8	7.1	–3.4	4.1	–14.8	9.6	8.2	–3.5	5.3	2.7
Non residential[1]	4.7	–2.8	–7.8	–1.4	9.4	4.8	4.3	22.6	5.3	7.2	8.0
GDP[1]	2.8	–2.1	0.9	2.4	4.7	2.8	1.6	4.3	3.9	5.1	4.4
GDP price deflator	1.7	3.0	1.4	1.4	1.2	2.3	1.7	1.1	–0.4	1.4	3.7
Industrial production[1]	3.1	–3.8	1.1	4.5	6.4	4.5	1.4	4.4	2.4	4.5	5.6
Employment	1.3	–1.8	–0.7	0.8	2.0	1.9	0.8	2.3	2.7	2.8	2.6
Compensation of employees (current prices)	3.8	2.8	2.3	1.8	2.6	3.4	2.4	5.7	4.7	5.9	6.8
Productivity per worker (real GDP/employment)	1.6	–0.2	2.1	1.8	2.9	0.8	0.6	1.9	1.3	2.6	2.1
Unit labour costs	1.0	5.0	1.4	–0.6	–2.1	0.6	0.8	1.3	0.8	0.8	2.3
B. *Percentage ratios*											
Gross fixed capital formation as per cent of GDP[1]	18.9	19.3	18.6	17.8	18.3	17.4	17.9	19.8	19.5	19.9	20.3
Stockbuilding as per cent of GDP[1]	0.2	–1.2	–1.2	–0.3	0.0	1.1	0.3	0.9	0.6	0.5	0.9
Foreign balance as per cent of GDP[1]	2.5	–0.7	0.0	1.0	2.5	3.5	3.7	2.0	3.5	4.6	4.5
Compensation of employees as per cent of GDP	52.5	55.2	55.2	54.1	52.4	51.6	51.1	51.2	51.8	51.5	50.8
Direct taxes on households as per cent of GDP	16.3	16.0	15.7	15.2	15.5	15.8	16.5	16.9	17.3	17.1	17.3
Household saving ratio as per cent of disposable income	8.1	13.2	13.0	11.9	9.4	9.2	7.0	4.9	4.4	4.2	3.9
Unemployment rate as per cent of labour force	9.4	10.3	11.2	11.4	10.3	9.4	9.6	9.1	8.3	7.6	6.8
C. *Other indicator*											
Current balance (million US dollars)	–9.0	–22.4	–21.1	–21.7	–13.0	–4.4	3.4	–10.0	–11.0	–2.3	12.7

1. Volume terms, chain 1997 prices.
Source: Statistics Canada and OECD.

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Table B. **Supply and use of resources**

Million Canadian dollars, current prices

	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000
Private consumption	399 932	412 940	430 162	447 748	462 865	482 367	512 856	534 391	561 566	593 275
Public consumption	162 431	168 925	171 271	171 729	172 648	171 351	171 883	176 842	183 287	192 771
Gross fixed investment	134 409	131 231	131 074	144 955	142 998	149 938	174 841	181 616	193 831	209 034
Final domestic demand	696 772	713 096	732 507	764 432	778 511	803 656	859 580	892 849	938 684	995 080
(Annual growth rate, per cent)	(2.0)	(2.3)	(2.7)	(4.4)	(1.8)	(3.2)	(7.0)	(3.9)	(5.1)	(6.0)
Stockbuilding	–5 882	–6 562	–951	449	8 913	2 339	8 180	5 786	3 906	7 168
(Contribution to GDP growth, per cent)	(–0.5)	(–0.1)	(0.8)	(0.2)	(1.1)	(–0.8)	(0.7)	(–0.3)	(–0.2)	(0.3)
Total domestic demand	690 890	706 534	731 556	764 881	787 424	805 995	867 760	898 635	942 590	1 002 248
(Annual growth rate, per cent)	(8.3)	(3.4)	(1.5)	(2.3)	(3.5)	(4.6)	(2.9)	(2.4)	(7.7)	(3.6)
Exports of goods and services	172 161	189 784	219 664	262 127	302 480	321 248	348 604	377 349	418 542	479 450
Imports of goods and services	176 093	192 393	219 673	253 014	276 618	287 553	331 271	360 261	386 025	426 223
Foreign balance	–3 932	–2 609	–9	9 113	25 862	33 695	17 333	17 088	32 517	53 227
(Contribution to GDP growth, per cent)	(–0.7)	(0.2)	(0.4)	(1.3)	(2.2)	(1.0)	(–2.0)	(–0.0)	(1.7)	(2.1)
Statistical discrepancy	13	–1 532	–1 967	–1 167	–826	–626	–71	142	156	535
GDP (market prices)	686 971	702 393	729 580	772 827	812 460	839 064	885 022	915 865	975 263	1 056 010
(Annual growth rate, per cent)	(0.8)	(2.2)	(3.9)	(5.9)	(5.1)	(3.3)	(5.5)	(3.5)	(6.5)	(8.3)

Source: Statistics Canada.

Table B. **Supply and use of resources** (*cont.*)

Million Canadian dollars, chain 1997 prices

	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000
Private consumption	439 569	446 415	454 529	468 279	477 929	490 157	512 856	528 320	546 451	566 229
Public consumption	177 330	178 875	178 943	176 668	175 679	173 201	171 883	174 947	179 555	183 562
Gross fixed investment	145 002	141 032	138 193	148 529	145 382	151 753	174 841	178 987	192 070	204 962
Final domestic demand	761 901	766 322	771 666	793 475	798 990	815 111	859 580	882 254	918 076	954 753
(Annual growth rate, per cent)	(–1.3)	(0.6)	(0.7)	(2.8)	(0.7)	(2.0)	(5.5)	(2.6)	(4.1)	(4.0)
Stockbuilding	–8 708	–9 234	–2 545	190	8 800	2 556	8 098	5 382	4 627	9 180
(Contribution to GDP growth, per cent)	(–0.5)	(–0.1)	(0.9)	(0.4)	(1.1)	(–0.7)	(0.7)	(–0.3)	(–0.1)	(0.5)
Total domestic demand	753 193	757 088	769 121	793 665	807 790	817 667	867 678	887 636	922 703	963 933
(Annual growth rate, per cent)	(–1.9)	(0.5)	(1.6)	(3.2)	(1.8)	(1.2)	(6.1)	(2.3)	(4.0)	(4.5)
Exports of goods and services	209 812	224 857	249 226	280 890	304 727	321 787	348 604	379 514	417 093	448 812
Imports of goods and services	214 887	224 920	241 458	260 894	275 871	289 968	331 271	347 417	372 935	403 126
Foreign balance	–5 075	–63	7 768	19 996	28 856	31 820	17 333	32 097	44 158	45 687
(Contribution to GDP growth, per cent)	(–0.2)	(0.7)	(1.0)	(1.6)	(1.1)	(0.4)	(–1.7)	(1.7)	(1.3)	(0.2)
Statistical discrepancy	3 375	929	–806	–939	–1 058	–820	11	37	–499	–438
GDP (market prices)	751 493	757 954	776 083	812 722	835 588	848 667	885 022	919 770	966 362	1 009 182
(Annual growth rate, per cent)	(–2.1)	(0.9)	(2.4)	(4.7)	(2.8)	(1.6)	(4.3)	(3.9)	(5.1)	(4.4)

Source: Statistics Canada.

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Table C. **Industrial production, employment and other business indicators**

Seasonally adjusted

	1996	1997	1998	1999	2000	Q1 2000	Q2 2000	Q3 2000	Q4 2000	Q1 2001
Indices of industrial production										
(1990 = 100)										
Total	114.6	119.6	122.5	127.9	135.1	133.6	135.1	136.0	135.8	134.2
Durable manufactures	120.6	131.0	138.0	151.0	163.3	160.7	163.2	165.6	163.5	157.7
Non-durable manufactures	104.8	107.2	109.9	112.4	114.8	114.0	114.2	115.2	115.7	116.1
New residential construction										
(annual rates)										
Building permits (million C$)	15 718	18 317	17 945	19 957	20 342	20 555	19 493	21 024	20 297	22 420
Starts (thousand units)	123.3	148.2	138.4	149.5	153.3	160.5	141.8	156.6	154.2	163.0
Employment and unemployment										
(thousands, monthy averages)										
Labour force	14 902	15 151	15 417	15 721	16 002	15 899	15 946	16 027	16 137	16 188
Non-agricultural employment	13 039	13 356	13 711	14 122	14 538	14 421	14 500	14 554	14 678	14 722
Employees										
Mining	131	143	143	137	141	143	141	139	141	
Manufacturing	1 737	1 800	1 873	1 914	2 006	1 986	1 999	2 010	2 028	
Durables	963	1 004	1 053	1 077	1 130	1 115	1 127	1 133	1 144	
Non-durables	775	796	821	836	876	871	874	876	884	
Transportation, communication, utilities[1]	839	852	873	886	909	902	907	910	917	
Unemployment (thousands)	1 437	1 377	1 278	1 188	1 091	1 081	1 065	1 110	1 109	1 126
Unemployment (percentage of labour force)	9.6	9.1	8.3	7.6	6.8	6.8	6.7	6.9	6.9	6.9
Average weekly hours worked in manufacturing	38.4	39.3	38.6	38.7	38.9	38.9	38.9	39.1	38.6	
Retail sales (C$ million, monthly averages)	18 406	19 820	20 556	21 732	23 086	22 649	22 840	23 413	23 442	23 736
Orders and inventories in manufacturing										
(C$ million)										
New orders (monthly averages)[2]	33 401	36 398	36 993	41 475	44 971	44 155	44 653	45 501	45 575	43 248
Unfilled orders (end of period)	28 619	38 870	41 610	47 424	50 302	47 517	48 362	49 745	50 302	48 835
Total inventories (end of period)	46 643	48 777	52 437	58 460	64 675	60 120	62 083	64 035	64 675	65 110

1. Includes storage, electric power, gas and water utilities.
2. 3-month averages for quarters.

Source: Statistics Canada; OECD, *Main Economic Indicators*.

Table D. **Prices, wages and finance**

	1996	1997	1998	1999	2000	Q1 2000	Q2 2000	Q3 2000	Q4 2000	Q1 2001
Prices (1990 = 100)										
Consumer prices, all items	101.6	103.2	104.2	106.1	108.9	107.5	108.5	109.5	110.3	110.5
of which:										
Food	101.3	102.9	104.6	105.9	107.4	106.0	107.2	108.0	108.2	110.6
Non food	101.7	103.3	102.9	105.0	109.1	107.9	108.3	109.3	111.0	110.0
Producer prices, manufactured goods	100.4	101.2	101.2	103.1	108.2	106.6	107.9	108.4	109.8	109.6
Wages and profits										
Hourly earnings in manufacturing (1990 = 100)	103.2	104.1	106.3	106.4	109.9	110.0	110.3	109.9	109.5	
Corporate profits before taxes (C$ million, annual rates)	80 335	87 932	85 851	104 689	127 513	123 108	125 620	129 484	131 840	136 884
Banking (C$ million, end of period)										
Chartered banks:										
Canadian dollar deposits	449 541	490 148	489 113	521 527	593 952	581 903	580 242	598 342	593 952	606 377
of which: Personal savings deposits	292 444	289 697	289 752	298 523	343 001	338 600	339 781	339 490	343 001	347 598
Liquid assets	87 099	78 257	77 632	79 666	93 428	83 312	86 316	92 119	93 428	103 425
Holdings of Government of Canada direct and guaranteed securities	55 361	51 073	57 727	53 975	73 691	59 102	64 652	71 675	73 691	79 483
Total loans	468 017	538 428	535 090	548 176	604 547	584 898	592 633	600 691	604 547	616 083
Currency outside banks	27 158	28 643	30 515	34 119	33 986	33 238	33 615	33 924	33 986	35 103
Interest rates (per cent, end of period)										
3-month commercial paper rate	3.1	4.8	5.0	5.3	5.7	5.5	5.9	5.8	5.7	4.7
Over-10-year Government bond yield	6.8	5.8	5.1	6.2	5.6	5.9	5.9	5.8	5.6	5.6
Miscellaneous										
Share prices Toronto stock exchange (1990 = 100)	154.0	188.8	197.5	206.3	280.8	263.8	280.6	312.1	266.9	243.7

Source: Statistics Canada; OECD, *Main Economic Indicators*.

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Table E. **Balance of payments**

Million US dollars

	1991	1992	1993	1994	1995	1996	1997	1998	1999	2000
Merchandise exports	128 888	135 236	147 441	167 072	193 329	205 409	219 109	219 872	245 831	284 477
Merchandise imports	122 768	127 764	137 295	152 213	167 538	174 319	200 583	204 501	219 993	244 569
Trade balance	6 120	7 474	10 147	14 860	25 791	31 090	18 527	15 371	25 839	39 907
Services credit	20 357	20 783	21 883	23 982	26 082	29 251	31 602	33 266	34 813	37 224
Services debit	30 325	30 813	32 432	32 521	33 468	35 908	38 003	37 719	39 157	41 742
Services, net	–9 967	–10 030	–10 550	–8 539	–7 386	–6 656	–6 402	–4 453	–4 344	–4 519
Investment income, credits	12 935	11 392	10 687	15 450	18 870	19 197	24 016	21 666	22 540	28 502
Investment income, debits	30 341	28 877	31 485	34 407	41 597	40 755	44 874	41 357	43 655	46 761
Investment income,net	–17 406	–17 484	–20 799	–18 957	–22 727	–21 559	–20 859	–19 691	–21 116	–18 258
Official transfers, net	–1 111	–997	–711	–549	–325	383	529	390	718	1 052
Private transfers, net	–6	55	136	204	201	115	–26	109	39	–74
Current account	–22 369	–20 981	–21 776	–12 983	–4 445	3 374	–8 231	–8 276	1 138	18 106
Capital account	5 595	7 093	8 296	7 498	4 943	5 836	5 422	3 325	3 398	3 542
Direct investment, assets	–5 835	–3 590	–5 700	–9 295	–11 463	–13 098	–23 066	–34 583	–18 415	–44 039
Portfolio investment, assets	–10 182	–9 720	–13 860	–6 537	–5 342	–14 167	–8 558	–15 165	–15 526	–42 196
Other investment, assets	2 811	1 387	–1 323	–20 070	–11 171	–26 498	–13 549	4 377	3 441	–4 585
Total assets, net flows	–13 204	–11 923	–20 885	–35 901	–27 975	–53 763	–45 173	–45 370	–30 499	–90 819
Direct investment, liabilities	2 880	4 722	4 731	8 205	9 256	9 634	11 525	22 574	25 150	63 323
Portfolio investment, liabilities	27 493	20 436	40 927	17 070	18 386	13 691	11 686	16 673	2 389	13 227
Other investment, liabilities	–255	–2 218	–6 353	16 133	–3 666	15 629	27 925	6 144	–8 521	520
Total liabilities, net flows	30 122	22 938	39 304	41 409	23 975	38 954	51 135	45 391	19 019	77 068
Change in reserves	1 835	4 757	–935	358	–2 753	–5 499	2 448	–5 023	–5 935	–3 689
Financial account	16 917	11 017	18 420	5 507	–3 999	–14 808	5 964	21	–11 481	–13 751
Errors and omissions	–141	2 872	–4 941	–23	3 501	5 599	–3 154	4 930	6 945	–7 897

Source: Statistics Canada; OECD Secretariat.

Table F. **Public sector**

	A. Budget indicators General government accounts Per cent of GDP					
	1961	1970	1980	1990	1999	2000
Current receipts[1]	27.8	35.6	37.4	42.8	43.8	44.3
Non-interest current expenditure[1]	22.9	28.0	32.6	35.7	32.6	31.6
Primary budget balance	–0.9	1.4	–1.6	0.8	7.8	8.7
Net interest payments	0.7	0.6	–0.2	5.1	4.3	3.3
General government budget balance	–2.7	–0.4	–4.1	–5.8	2.2	3.4
of which:						
Federal	–1.7	–0.5	–4.0	–4.9	0.9	1.8
Provincial-local	–1.1	–1.2	–1.0	–1.2	0.7	1.0
Pension plans[2]	0.0	1.3	1.0	0.3	0.1	0.4
General government debt						
Gross debt	73.9	62.5	57.5	93.1	112.3	102.6
Net debt	31.9	21.0	26.5	61.5	74.9	66.3
of which: Federal	24.1	14.8	23.9	54.0	51.2	50.9
	B. The structure of outlay and capital accounts Per cent of GDP					
Outlay						
Total general government expenditure	25.8	31.7	38.0	45.5	40.3	38.9
Current consumption[1]	15.9	20.7	21.7	23.3	20.3	19.8
Current transfers	7.0	7.3	11.0	12.7	12.3	11.9
Persons	5.9	6.1	7.9	10.8	11.0	10.6
Business (subsidies)	0.9	0.9	2.7	1.5	1.0	1.1
Non-residents	0.2	0.3	0.3	0.4	0.3	0.3
Total current program expenditure	22.9	28.0	32.6	35.7	32.6	31.6
Gross interest payments	2.9	3.7	5.4	9.4	7.7	7.2
Capital						
Net capital transfers[3]	–0.1	–0.2	–0.4	–0.4	0.2	0.2
Non-financial capital acquisition[4]	4.7	4.0	3.0	3.0	2.0	2.4
	C. General government expenditure by function, financial management system basis Per cent of GDP, fiscal years					
	1965-66	1970-71	1980-81	1990-91[5]	1999-00[5]	2000-01[5]
Social services	4.8	6.0	7.4	12.0	10.7	10.2
Education	4.6	6.2	5.0	6.9	6.2	5.8
Health	2.6	4.3	4.4	6.6	6.4	6.6
Transport and commmunication	3.3	2.8	2.6	2.7	1.8	1.6
National defence	2.7	1.9	1.6	1.7	1.2	1.1
General services	1.5	2.3	2.4	1.7	1.4	1.6

1. Exclude capital consumption allowances.
2. Canada and Quebec Pension Plans.
3. Includes net capital formation assistance to persons, businesses and non-residents, and other net capital transfers.
4. Includes fixed capital formation, inventories and existing assets.
5. Based on the new Statistics Canada's FMS universe, excluding CPP/QPP.

Source: Department of Finance; OECD Secretariat.

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Table G. **Financial markets**

	1970	1980	1993	1999	2000
Size of the financial sector (percentages)[1]					
Sector employment/total employment	4.8	5.7	6.5	5.9	5.8
Net financial assets/GDP[2]	–2.0	–2.3	–5.7	–11.0	–13.1
Structure of financial assets and liabilities					
Financial institutions' share in domestic financial assets (per cent)	8.2	14.3	17.2	16.0	15.8
Government securities in NFB[3] total financial assets (per cent)	1.6	0.7	2.6	1.4	1.3
Structure of NFB liabilities					
Debt to equity ratio[4]	1.13	1.44	1.61	1.44	1.37
Short-term:					
Securities and mortgages ($ billion)	8.6	32.4	117.7	145.6	156.7
Trade payables ($ billion)	12.4	54.9	111.6	155.7	170.6
Long-term:					
Bonds ($ billion)	13.7	28.7	97.5	155.9	159.1
Loans and corporate claims ($ billion)	22.8	109.0	272.1	385.8	413.8
Internationalisation of markets					
Share of foreign currency assets and liabilities in the banking sector[5]					
Assets	28.9	39.1	30.8	40.2	40.5
Liabilities	28.6	40.2	33.3	42.3	42.2
Foreign purchases of Canadian securities[6]	6.8	9.4	20.8	0.2	0.4
Canadian purchases of foreign securities[6]	–0.7	0.3	7.0	0.8	1.4
Debt (per cent of GDP)					
Private non-financial sector					
NFB[3, 7]	70.3	77.4	89.3	94.1	94.1
Households[8]	38.8	48.3	57.2	58.5	57.6

1. Includes all public and private financial institutions including pension funds, mutual funds, and insurance companies.
2. Calculated based on the broadest definition of financial assets and liabilities (financial liabilities include share issues).
3. NFB = non-financial corporate business, excluding farms.
4. (Liabilities – shares)/shares.
5. Per cent of consolidated balance sheet of chartered banks; excludes other deposit-taking institutions.
6. Per cent of net issues on dosmestic securities market. Data include new issues as well as secondary market transactions.
7. Liabilities less shares.
8. Persons and unincorporated business liabilities less trade payables, other loans and other Canadian bonds.

Source: Bank of Canada; Statistics Canada.

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Table H. **Labour market indicators**

	A. Labour market performance			
	1976	1980	1990	2000
Standardised unemployment rate	7.0	7.5	8.2	6.8
Unemployment rate:				
Total	7.0	7.5	8.2	6.8
Male	6.4	7.0	8.2	6.9
Female	8.1	8.2	8.1	6.7
Youth[1]	12.2	12.8	12.4	12.7
Share of long-term unemployment in total unemployment[2]	3.9	5.2	7.0	10.7
Dispersion of regional unemployment rates[3]	3.1	3.2	3.6	3.8

	B. Structural or institutional characteristics			
	1976	1980	1990	2000
Participation rate:[4]				
Total	68.0	71.5	76.6	76.3
Male	84.5	85.7	84.9	82.1
Female	51.4	57.2	68.3	70.5
Employment/population (15-64 years)	63.1	66.0	70.3	71.1
Average hours worked (manufacturing)	. .	. .	36.9	38.1
Part-time work (as per cent of dependent employment)	12.6	14.4	17.1	18.1
Non-wage labour costs[5] (as per cent of total compensation)	8.0	8.3	9.6	11.3
Government unemployment insurance replacement ratio[6]	0.7	0.6	0.6	0.6
Unionisation rate	31.5	31.2	29.8	27.0

	Average percentage changes (annual rates)		
	1980/1977	1990/1981	2000/1991
Labour force	3.1	1.9	1.2
Employment:			
Total	3.0	1.8	1.3
Goods-producing	. .	. .	0.3
Services	. .	. .	1.7

1. People between 15 and 24 years as a percentage of the labour force of the same age group.
2. People looking for a job since one year or more.
3. Measured by standard deviation for 10 provinces.
4. Labour force as a percentage of relevant population group, aged between 15 and 64 years.
5. Supplementary labour income (including contributions to social security, pension funds and other forms of SLI).
6. Average weekly benefits (regular)/average weekly earnings (including overtime).

Source: Canadian authorities.

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Table I. **Production structure and performance indicators**

A. Production structure

	Per cent share of GDP at factor costs (constant prices)[1]			Per cent share of total employment[2]		
	1980	1990	2000	1980	1990	2000
Agriculture	1.8	1.9	1.7	n.a.	3.4	2.5
Mines, quarries and oil wells	4.1	3.5	3.5	n.a.	1.5	1.1
Manufacturing	17.5	16.8	18.2	n.a.	15.7	15.3
of which:						
Food and beverages	3.2	2.5	2.2	n.a.	n.a.	n.a.
Paper and paper products	1.2	1.0	0.9	n.a.	1.1	0.8
Primary metal industries	0.9	0.8	0.8	n.a.	1.0	0.7
Fabricated metal products, machinery and equipment	2.8	2.1	2.1	n.a.	1.9	2.3
Chemicals and chemical products	1.2	1.4	1.4	n.a.	0.8	0.8
Construction	7.6	7.1	5.4	n.a.	6.2	5.5
Market services	64.0	66.1	67.3	n.a.	71.2	74.1
of which:						
Transport, storage and communication	6.7	7.3	8.5	n.a.	5.0	5.2
Wholesale and retail trade	10.0	11.0	12.9	n.a.	15.9	15.5
Finance, insurance and real estate	15.4	15.0	16.1	n.a.	6.5	5.8
Community, business social and personal services	25.0	25.7	23.9	n.a.	37.6	42.4
Government services	8.0	7.1	6.0	n.a.	6.4	5.1

B. Labour productivity
Real output per hour worked, annual per cent growth

	1971-1980	1981-1990	1991-2000
Business sector industries	2.1	0.9	1.7
Business sector excluding agriculture	1.8	0.8	1.3
Goods sector industries	2.8	1.6	1.8
Service sector industries	1.7	0.6	1.5
Manufacturing sector industries	2.9	2.4	2.1

1. Industrial structure of GDP at factor cost series on the SIC 1980 basis.-
2. Industrial structure of employment series on the NAICS basis.

Source: Canadian authorities.

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